

ASICS Integrated Report 2020



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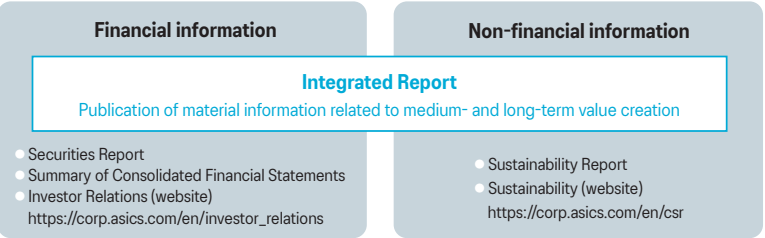
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Positioning of the Integrated Report



Editorial Policy

To remain a Company trusted by shareholders and all other stakeholders, ASICS publishes this integrated report presenting a systematic summary of efforts to resolve social issues through business activities and enhance corporate value from both financial and non-financial perspectives. In compiling this report, we referred to the International Integrated Reporting Council (IIRC) *International IR Framework* as well as the Ministry of Economy, Trade and Industry *Guidance for Collaborative Value Creation*. Based on the ASICS SPIRIT founding philosophy, we aim to convey the ASICS business model and value creation story up to realizing our vision of creating high-quality lifestyles through intellectual sports technologies.



Special Note Regarding Forward-Looking Statements

Information contained in this report includes forward-looking statements regarding future projections. It includes risks and unknown factors based on ASICS determinations at the time the report was created. Please be aware of the potential for actual results to differ from future projections due to a variety of constantly changing factors.





Philosophy

Founding Philosophy

“Anima Sana in Corpore Sano”

The history of ASICS began over 70 years ago with a decision by founder Kihachiro Onitsuka to enter the sports business and contribute to nurturing Japan's youth, who were still struggling after WWII, based on the Latin phrase “Anima Sana in Corpore Sano,” which translates as “a sound mind in a sound body.”

He believed that to overcome high hurdles from the start would enable the Company to more easily overcome subsequent hurdles. He decided to take on the challenge of developing shoes for basketball, the most difficult type of shoe to design at the time. Critical to the development process is the concept of “human-centric science,” whereby the bodies and movements of athletes are observed and the data incorporated into product development. This is the unchanging spirit that has been passed down from the time of our founding to the present day.

Philosophy of ASICS

1. Provide valuable products and services through sport to all our customers
2. Fulfill our social responsibility and help improve conditions for communities around the world
3. Share profits brought by our sound services with our shareholders, communities and employees
4. Maintain a spirit of freedom, fairness and discipline, respectful of all individuals

Vision

Create Quality Lifestyle Through Intelligent Sport Technology

Values

Sportsmanship

- | | |
|-----------|--------------------|
| Article 1 | Respect Rules |
| Article 2 | Be Courteous |
| Article 3 | Be Persistent |
| Article 4 | Work as One Team |
| Article 5 | Be Prepared |
| Article 6 | Learn from Failure |

Alongside Performance Athletes

Since our founding in 1949, based on Kihachiro Onitsuka's founding philosophy Anima Sana in Corpore Sano (a sound mind in a sound body), ASICS has evolved alongside athletes, including those participating in international competitions, who constantly aim to improve their performance.

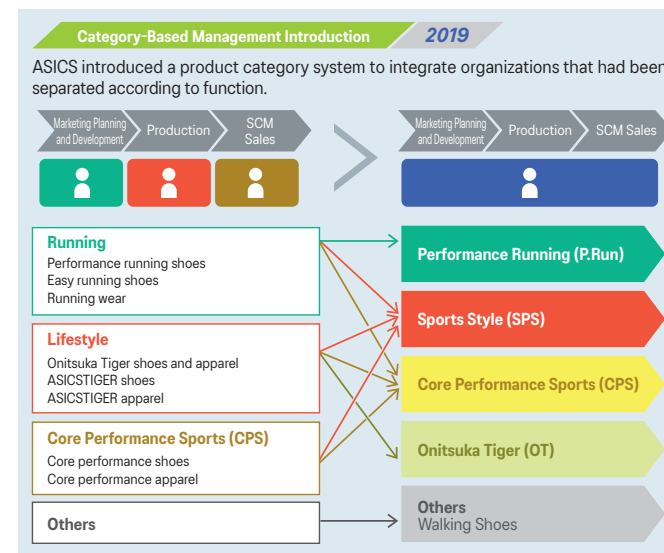
We remain steadfast in our efforts to carefully observe athlete bodies and seek the essence of human movement, which is the source of ASICS strengths.

Company Name Embodying Our Founding Philosophy

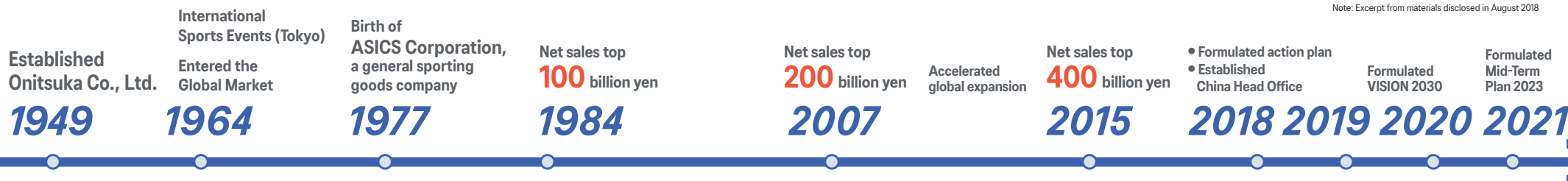
1977

ASICS Corporation

With the aim of becoming a globally competitive brand, Onitsuka Co., Ltd., GTO Co., Ltd., and JELENK Co., Ltd., were merged to create the ASICS Corporation, a comprehensive sports equipment manufacturer that puts corporate purpose first. The Company name is an acronym for the Latin phrase constituting our founding philosophy "Anima Sana in Corpore Sano."



Note: Excerpt from materials disclosed in August 2018



Source of ASICS Strengths

1. Human-centric science

Kihachiro Onitsuka's heart was always with the athlete. One anecdote tells how, when developing shoes for marathons, he would wait at race finish lines to examine the condition of runners' feet immediately after they had completed the race. This spirit is still alive in ASICS. Maintaining close communications with athletes and thinking about what they need to achieve better results leads to technological innovations.



Source of ASICS Strengths

2. Big data and technological capabilities

As the fitness boom that began with aerobics in the 1980s amplified the need for high-performance sneakers, ASICS launched full-scale research on ergonomics. In 1985, we established the ASICS Institute of Sports Science (ISS) to promote research on kinematics, exercise physiology and the analytical evaluation of materials, while at the same time utilizing foot shape measuring devices installed in retail stores to accumulate foot shape data across the globe, mainly focused on Japanese people. At present, we have collected data on approximately 1 million people and continue to produce shoes that meet people's needs offering advanced functionality through the combination of big data and technology.



Source of ASICS Strengths

3. A trusted brand based on product strengths

In the early 1960s, there was a preconceived notion that having blisters on one's feet after running a marathon was natural. To overcome this notion, ASICS took on the challenge of developing shoes that prevent blisters, which resulted in the creation of the Magic Runner. Subsequently, we have developed products meeting the needs of top-level athletes and a wide range of other runners. Manufacturing that precisely meets the needs of runners has enhanced ASICS product strengths and led to the establishment of the modern ASICS brand.



Magic Runner 1960 sales launch



MATESPEED Sky 2021 sales launch

Aiming to Become a Brand Chosen by People around the World

ASICS manufactures and sells sports shoes, sportswear, sporting goods and other products for everyone from performance athletes to people who simply love sports, growing into a sports brand that has now firmly established its place in the global sports market.

The highly functional performance of shoes created in conjunction with performance athletes incorporated into running shoes optimized for average sports enthusiasts make ASICS running shoes the favorite of many amateur marathon runners around the world. We will expand our brand across the globe through products and services meeting the needs of as many people as possible and the co-creation of value with ASICS stakeholders.

December 31, 2020

Total assets

333.1 billion
yen

Total employees

8,904 people

OneASICS™ members

3.94 million
people

Net sales

328.7 billion
yen

Overseas sales ratio

72.6 %

e-Commerce net sales

51.7 billion
yen

**Empathy for products
and services aiming
for reliable quality,
and a healthy mind and body**

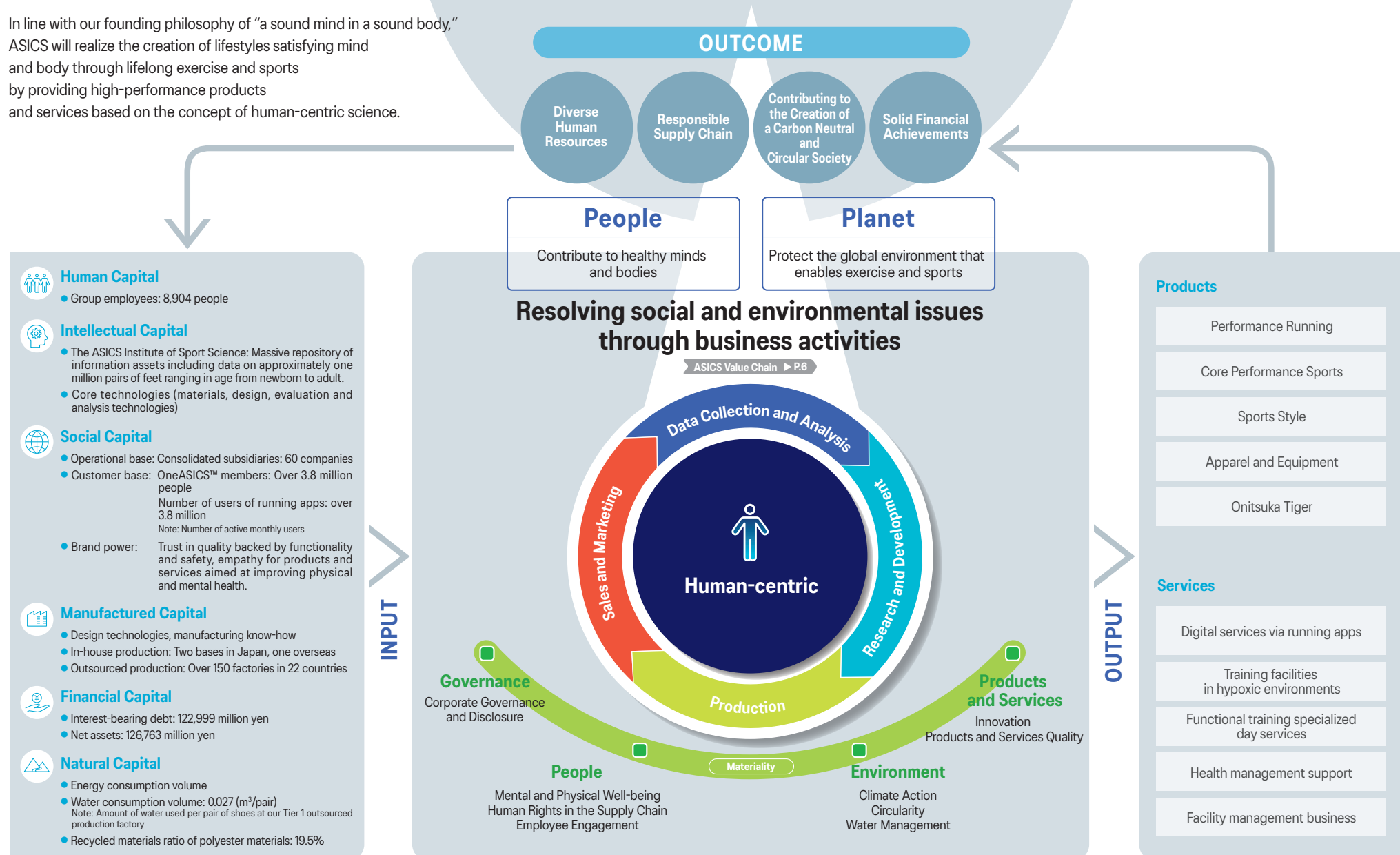
**Design technologies
and manufacturing
know-how**



Value Creation Process

In line with our founding philosophy of “a sound mind in a sound body,” ASICS will realize the creation of lifestyles satisfying mind and body through lifelong exercise and sports by providing high-performance products and services based on the concept of human-centric science.

Sound Mind, Sound Body



ASICS Value Chain

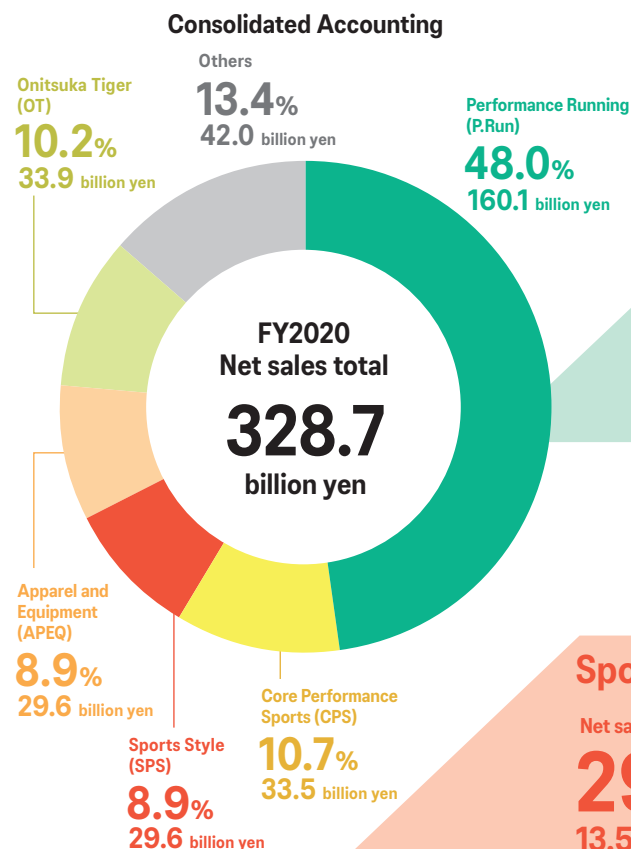
ASICS utilizes the human movement and foot data collected, research and development conducted and products and services created up to now in outsourced production factory operations. We are also engaged in sales and marketing activities that include assisting customers with selecting shoes that meet their individual needs and making service proposals.



ASICS Category

ASICS provides valuable products and services to all customers in the following categories, and continues to challenge every possibility to create a quality lifestyle.

Net Sales by Category



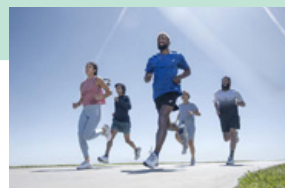
ASICS develops well-designed shoes combining world-class sports technologies with a range of styles that match various needs so everyone can lead an active daily life.



Performance Running (P.Run)

Net sales
160.1 billion yen
5.9% decrease year on year

ASICS offers running shoes that provide excellent fit and comfort to all runners, realizing running efficiency and safety so runners can feel and perform better in any running experience.



Shoes once used for competitions have been reproduced as a premium lifestyle brand for those who demand a sophisticated style comprising fashionable shoes, apparel and accessories.



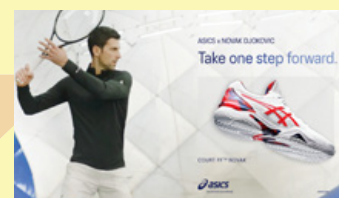
Onitsuka Tiger (OT)

Net sales
33.9 billion yen
25.6% decrease year on year

Core Performance Sports (CPS)

Net sales
33.5 billion yen
19.7% decrease year on year

We develop shoes for athletics, tennis, volleyball and other competitive sports offering excellent functionality enabling athletes to display high performance.



Apparel and Equipment (APEQ)

Net sales
29.6 billion yen
24.4% decrease year on year

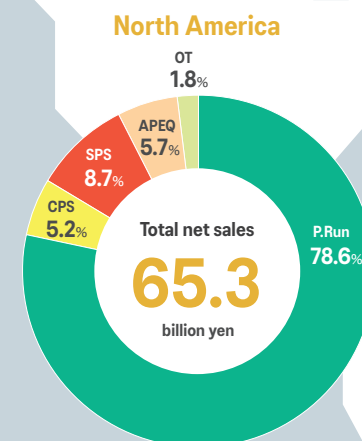
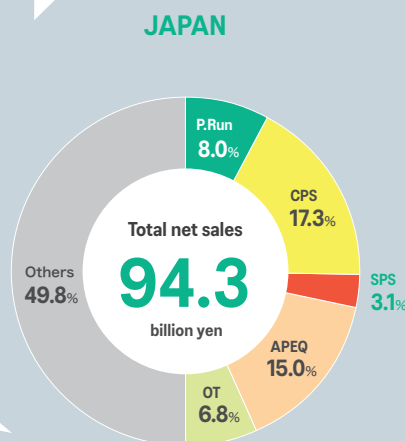
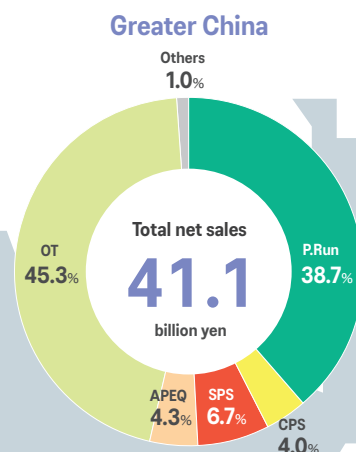
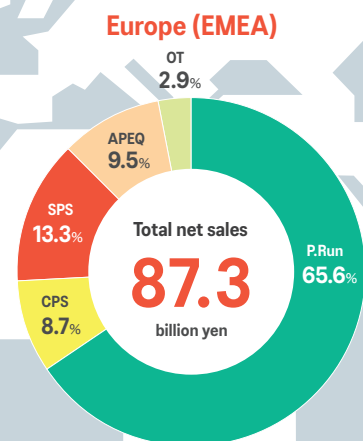
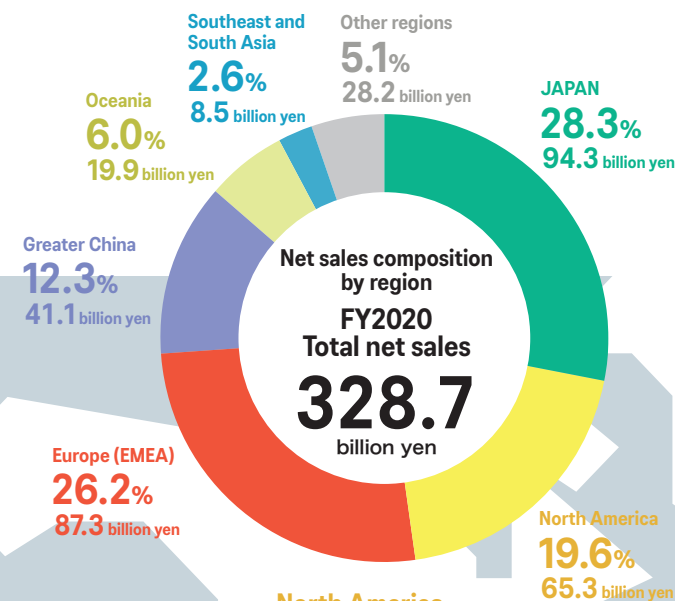
We offer highly functional running wear, training apparel, uniforms for other competitions, apparel for sports and various types of equipment.



ASICS Regional Segments

ASICS is expanding worldwide through 60 consolidated subsidiaries. In Japan, we are expanding our core running business, while in Europe and the United States, we seek to expand our presence and become No. 1 In the rapidly growing Greater China region, we are working to increase profits by raising brand awareness.

Consolidated Accounting



P.Run: Performance Running
CPS: Core Performance Sports
SPS: Sports Style
APEQ: Apparel and Equipment
OT: Onitsuka Tiger

Ongoing Digital, Personal and Sustainable Advances Centered on Human-centric Science

Anima Sana in Corpore Sano

Creating Value Based on Human-Centric Science

ASICS is a company that began by making sports shoes based on Kihachiro Onitsuka's desire to nurture young people with healthy minds and bodies. The company name ASICS is derived from a line in a poem by Roman satirist Juvenalis, "Anima Sana in Corpore Sano (If you pray to God, pray for a healthy body and spirit)." Through sports, we can realize a healthy and fulfilling life both physically and mentally. This idea is still firmly passed on as ASICS cherished founding philosophy.

We believe in the importance of continuing to embody this philosophy even as times change, and the concept that will realize this philosophy is human-centric science. In other words, in addition to closely observing human behavior, exercise and movement, we will employ scientific analysis leading to the development of products and services that enable safer, more efficient and more effective exercise. This is ASICS' core value, infused in all our products and services.



Motoi Oyama
Chairman and CEO,
Representative Director

Developing products in this way fosters trust and confidence, making ASICS a brand to which customers remain loyal over the long term. Consistent repetition of these efforts supports the ASICS brand value of today. Among the various functions offered by shoes, ASICS places the highest priority on safety. No matter how simple the exercise, injuries and other risks are inherent in sports. How can we prevent these risks? Asics products pursue improved functionality and quality, with safety as the top priority, from the research and development phase to manufacturing.

The base for developing human-centric science is the ASICS Institute of Sports Science (ISS), a research and development facility located in the Kobe, Hyogo Prefecture. ISS is engaged in exhaustive research on various aspects of human characteristics, structural design, materials, analytical evaluation test methods and production technologies. At the same time, we are engaged in the consistent designing and prototyping of products, as well as data analysis leading to new services. We collect massive amount of data on the physical movements and body shapes of a wide range of people including top athletes, infants, adults and the elderly. This data is analyzed scientifically while developing products and services based on assumptions about needed functionality. The ISS is also a monument symbolizing the concepts of founder Kihachiro Onitsuka and social advancements. Every time I am there, I am reminded of Mr. Onitsuka's strong desire to cultivate healthy minds and bodies through sports. I visited ISS at the beginning of 2021, and looking out at the Seto Inland Sea from the rooftop, which features carvings of deities who protect ships, it felt as though ASICS was a ship about to embark on a new voyage, filling me with a renewed sense of motivation.

Sound Mind, Sound Body

Returning to Our Founding Philosophy

Starting in 2021, we are promoting the English translation of our founding philosophy (A Sound Mind in a Sound Body) under the brand tagline "Sound Mind, Sound Body." This is the essence of ASICS as a company and a brand.

Although interest in mental and physical health has been on the rise in recent years, COVID-19 has been a sharp reminder of the importance of health. Given these circumstances, ASICS concepts and corporate activities have not always been sufficiently communicated. With the tagline "Sound Mind, Sound Body"

ASICS will communicate its aim of realizing lifestyles that are healthy for mind and body through our provision of products and services.

At the same time, all of us at ASICS understand the thought that went into Mr. Onitsuka's founding philosophy, which is the origin of our Company name. The "Sound Mind, Sound Body" concept declares our intention to create products based on human-centric science, compliance and meeting customer expectations without exception.

Business Model

Strong Relationships of Trust with Partners Comprising the Supply Chain

The ASICS business model is centered on highly competitive manufactured goods or "products." As a sports equipment manufacturer, we develop products that are made at outsourced production factories and sold all over the world—this is our basic form. With this business model, ASICS strength lies in the fact that it has established strong relationships of trust with materials and resource suppliers and production outsourcers. Outsourced production factories are rapidly expanding production lines based on demand forecasts and complying with production policies required by ASICS, which is made possible by the fact that ASICS conducted dialogues on equal terms to create better products.

To continue the production and supply of products in a timely and appropriate manner, we are also working to prepare for unexpected disruptions in the supply chain. Going forward, we will transform our business model under the keywords "digital" and "sustainable" based on relationships of trust with the various partners that make up the ASICS supply chain, enhancing our existing strengths to make them even stronger.

Megatrends

Business Environment Surrounding ASICS Will Continue to Provide a Tailwind Even in the Post COVID-19 World

The business environment surrounding ASICS will continue to provide a tailwind even after COVID-19. Exercise is becoming more and more important for maintaining physical and mental health, as running and walking, which can be easily engaged in while reducing the risk of infection, are becoming widespread due to COVID-19, which has been great business opportunity for ASICS.

Additionally, as the population ages in Japan and throughout the world, moderate exercise is increasingly recognized by a wider range of generations as leading to an extended healthy life expectancy. Moreover, in

India, Indonesia and other developing nations where disposable income continues to increase, the base customer for sports equipment purchases is also expanding. Other major trends in the social environment include the digitization of consumer purchasing activities and the growing preference for products that are considering the global environment.

VISION 2030 Targeting the Future of ASICS

Create Quality Lifestyles through Intelligent Sport Technologies

In light of these changes in the environment, ASICS formulated VISION 2030 to clearly demonstrate our significance to society. With a renewed focus on our founding philosophy, ASICS aim is to "create quality lifestyles through intelligent sport technologies." To this end, we will further advance our business model with a focus on 2030, developing products constituting the source of present earnings, facilities and communities facilitating spaces for sports activities and analysis and diagnosis providing programs based on the use of data for analytical and diagnostic software services. We will expand business in all domains under the common themes of digital, personal and sustainable.

Products: Personalized Products

We will continue to strengthen products as a pillar of our business. One initiative currently under development is personalized shoes. The size and shape of each foot is very different, and even the word *shoes* means something different depending on the situation and usage. When people have less training, they require a wider variety of functions, such as the need to consider injury prevention and safety rather than performance. We will incorporate ASICS shoemaking knowledge accumulated by specializing in top athletes and are making efforts to use digital technologies to incorporate and customize this knowledge from a variety of perspectives for the general public.

Facilities and Communities: Linking Optimal Environments and Friends

Our aim is to expand business at the ASICS Sports Complex TOKYO BAY low-oxygen training facility located in Toyosu, Koto Ward, Tokyo. In the future, we want to deploy the operational know-how accumulated in Japan to business overseas. Further, as we already operate Tryus functional exercise-specific day care facilities mainly in the Kansai region, we will continue to grow this business in anticipation of increasing demand due to the accelerating aging of the population. In terms of communities, although many marathons are being cancelled due to COVID-19, we launched the ASICS World Ekiden 2020 virtual relay race in which approximately 56,000 people participated. Going forward, we will continue to proactively hold both virtual and real world events.

Analysis and Diagnosis: Coaching Based on Personal Data

Amid growing demand for running products, the number of subscribers to Runkeeper™, OneASICS™ and other digital services continues to grow. In terms of analysis and diagnosis, based on data collected by these digital services, ASICS will collaborate with other companies and combine personalized services to provide an unprecedented experience. In March 2021, we collaborated with CASIO COMPUTER CO., LTD. which possesses advanced sensing technologies, to launch the Runmetrix service, which visualizes running using a motion sensor attached to the runner's waist to provide personal coaching services tailored to each individual. As a next step, in October we plan to launch provision of Walkmetrix for walkers.

To realize our 10-year vision, we formulated Mid-Term Plan 2023 covering the crucial first three-year period. Before touching on that, I want to look back on the AGP2020, the previous three-year plan upon which the new one is based.



Yasuhito Hirota
President and COO,
Representative Director

Looking Back on the Previous Three-Year ASICS Growth Plan (AGP) 2020**Crouch Low, Leap High**

In the fiscal year ended December 31, 2020, the impact of COVID-19 resulted in lockdowns in most countries as well as the postponement of the Tokyo 2020 Olympic and Paralympic Games. This was an extremely challenging year for ASICS, with net sales of 328.78 billion yen, a 13% decline year on year, while in terms of profits, the Company recorded an operating loss of 3.95 billion yen. ASICS management views this tumble into the red very seriously. In the previous mid-term plan AGP2020, we set high targets for sales and operating income that were revised downward in 2018, yet we were unable to meet even these revised targets. Looking back, the previous mid-term plan had been formulated based on the assumption that business expansion would continue on the growth trajectory seen up to fiscal 2015, thus we believe the biggest reason for not achieving plan targets was that we were unable to respond rapidly enough in a changing environment.

ASICS must reflect on the previous mid-term plan, squarely address issues that have emerged since the onset of COVID-19 and improve our management structure to generate profits.

At the same time, we will promote innovations. From fiscal 2019 up to now, we combined existing organizations separated by function into five categories promoting business that integrates manufacturing and sales. This category system has strengthened management visualization and collaborations between the Head Office and sales companies, significantly transforming the management cycle. Even amid the turmoil caused by COVID-19, we were able to respond quickly in each region, securing funds and managing inventory properly, evidence that our category system worked well. Even in Performance Running, where we have stepped up efforts as a product growth area, the addition of functions reflecting feedback from sales companies has improved ASICS product evaluations, which I feel will be seen in future business performance. e-Commerce (EC) is also expanding rapidly, as consumers shift to more digital purchases. In the new mid-term plan, based on reflection points and issues raised so far, we will carefully cultivate the green shoots that have begun to emerge and promote the necessary reforms by crouching low and leaping high.

Mid-Term Plan 2023

Accelerating the Digital Shift Focused on Profitability

Under the Mid-Term Plan 2023, we will continue major policies from the previous plan by maintaining our focus on the Performance Running category, accelerating growth in China and improving profitability in the apparel and ASICS operated store categories. We will allocate management resources most heavily in the digital category with the aim of transitioning to digitally-focused management. By region, while accelerating growth in Greater China and further expanding profits in Oceania, we will accelerate growth while investing in India, Indonesia and the Middle East, areas that are expected to become pillars of earnings in the future. In mature markets such as Japan, the United States and Europe, we will focus on improving profitability.

With “digital” and “sustainable” set as strategic goals, ASICS will promote various measures under three priority strategies: Expand profit drivers, transform to profitable business and reinforce business foundations.

Specifically, in the mainstay Performance Running business, based on the concept of a running ecosystem centered on runners, ASICS will focus on providing a running experience satisfying mind and body through seamless links to digital services such as training menu proposals, progress management and entries for various competitions. We will also expand the contact points with runners, which will lead to increased ASICS brand loyalty and EC business growth. We will also open stores in locations near running tracks in hopes that many runners will utilize them for directly accessing products and personalized services facilitating an experience of our product functionality.

ASICS biggest challenge is acquiring top runners. Although sales in this segment are not very significant in terms of the running market overall, but account for an overwhelming majority of race competitors. Innovation is needed to regain market share. We will refine our product development capabilities based on human-centric science including materials, while at the same time acquiring top runners. With these efforts as our driving force, we want to firmly “recapture the summit” by acquiring more top runners.

We will also improve the brand power of Onitsuka Tiger (OT), which is being developed as a premium lifestyle brand, ASICS will strive to make further improvements to the brand and product image, while growing OT as a profitable business.

Tokyo 2020 Olympic and Paralympic Games under the Pandemic

Preparing for Every Eventuality while Kindling the Flame of Passion for Sporting Events

ASICS is the only Tokyo 2020 Gold Partner in the sports equipment (apparel and sporting goods) category, and the manufacturer of items such as the official sportswear of the Japan national team. As the Tokyo 2020 Organizing Committee formulated a Sustainable Sourcing Code, ASICS also established and follows a procurement policy for manufacturing all items in a sustainable manner in accordance with this code. These items include the official sportswear of the 2020 Japan national team, made using materials recycled from donated clothes rich with memories collected from people all over Japan embodying ASICS commitment to sustainability.

Regarding the holding of the 2020 Tokyo Olympic and Paralympic Games, with due consideration for the spread of COVID-19, there were various discussions about limiting the number of spectators or holding the games without any spectators at all, leading to an unavoidable impact on anticipated sales around the venues as well as ASICS performance. That being said, ASICS support for athletes and the passions of all sports enthusiasts remains unchanged. We will prepare for every eventuality, including the possibility that the Olympic Games will be cancelled, as we continue to encourage enthusiasm and anticipation for sporting events.

Risks and Challenges

Addressing Climate Change and New Entrant Risks, Strengthening Global Human Resources

What risks and challenges must we confront to realize the future set forth in VISION 2030? One external risk is intensification of the competitive environment due to the entry of new competitors. As new competitors are entering the market, mainly overseas, we will respond by differentiating ASICS based on technological capabilities rooted in ASICS human-centric science.

An even larger external risk is global warming associated with climate change. Environmental changes making it difficult for people to exercise and play sports is a major risk to the survival of ASICS, and also the reason why ASICS continues to engage in corporate activities emphasizing consideration for the global environment.

ASICS recognizes that the most important internal risk is retaining and developing human resources able to realize the future we envision. ASICS is rare among Japanese companies in that approximately 70% of our sales are overseas. Under our categories system, led by the Head Office in Japan, while applying global governance, each region will rapidly develop measures rooted in local communities and capture overseas growth. Promoting global management in this way, ASICS has already established a common global human resource system and is actively engaged in employee exchanges. Going forward, however, particularly amid the advancing digital shift, I sense there is an urgent need to retain and develop human resources able to oversee products and services from a global perspective.

Sustainability

Contributing to Physical and Mental Health. Making the World Sustainable for Future Generations

In this final section, I will explain how ASICS contributes to the achievement of the Sustainable Development Goals (SDGs). The critical concept here is sustainability. In 2019, ASICS established the Sustainability Committee, chaired by the President, as an advisory body to the Board of Directors. To realize our 2020 sustainability goals, we have been engaged in six priority areas: product and service sustainability; product chemical safety management and traceability; operational energy efficiency and management systems; safe and ethical workplace standards and sustainable practices at Tier 1 and Tier 2 suppliers; governance and transparency, organizational efficiency and development of an engaged workforce; and contributions to healthier communities through movement and sport.

Further, ASICS sustainability plans and strategies have been confirmed as consistent with the United Nations SDGs. These activities are essential as everyone on Earth will have to live in the future being created. ASICS business activities correspond to all 17 SDGs, but are particularly relevant to Goal 3: Good Health and Well-Being; Goal 5: Gender Equality; Goal 6: Clean Water and Sanitation; Goal 8: Decent Work and Economic Growth; Goal 12: Responsible Consumption and Production; Goal 13: Climate Action; and Goal 17: Partnerships for the Goals.

From the perspective of ESG management, regarding environmental (E) issues, ASICS is aligned with global efforts to limit average temperature increases to 1.5 degrees above pre-industrial levels, and committed to net-zero greenhouse gas emissions by 2050 and aims to reduce CO₂ emissions 63% by 2030. For running shoes released in 2021, we are replacing part of upper materials made from petroleum-derived materials with recycled polyester materials made from PET bottles or old clothing for more than 90% of new products to drive circular manufacturing. We are also working on to shift to renewable energy for electricity used at our outsourced production factories.

In terms of social (S) issues, ASICS will of course contribute to the physical and mental health of people through our products and services. For supply chain in the shoe manufacturing process, there are still only a few aspects that have been mechanized, requiring a substantial amount of labor by human hands. ASICS conducts audits so that people working at outsourced production factories can work in safe and healthy environments where labor standards are observed. ASICS promotes compliance with CSR standards through its participation in Better Work, a program operated by the International Labor Organization (ILO) and International Finance Corporation (IFC).

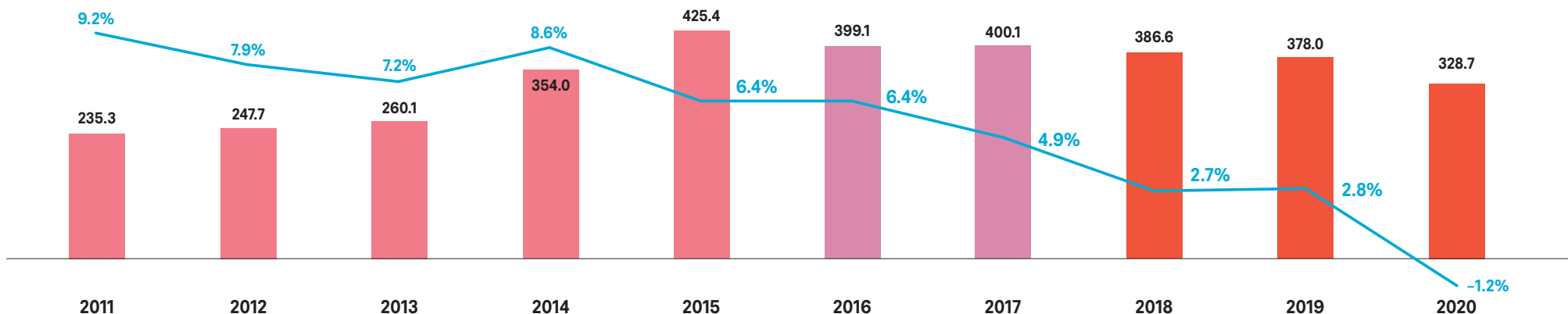
Regarding governance (G), ASICS transitioned to a Company with an Audit and Supervisory Committee. I think the Board of Directors composition has evolved into a relatively advanced form, with outside directors accounting for the majority of members and gender diversity expanding. Looking at the efficacy evaluation results for the Board of Directors, scores are improving every year. We recognize the remaining issue is to ensure diversity in terms of nationality on the ASICS Board of Directors, thus we will continue efforts to secure appropriate talent. From the perspective of global governance, we will promote management while appropriately utilizing both centripetal and centrifugal forces, including Head Office led personnel and finance efforts, as well as site led sales and promotion activities. As governance has no end goals, ASICS will maintain a vigilant awareness of ESG perspectives.

While passing on our founding philosophy, ASICS will continue to provide valuable products and services to sports lovers and all ASICS stakeholders by adapting changes in line with today's digital revolution. Additionally, we will contribute to the realization of a sustainable environment and society by focusing on sustainability in all our business activities. ASICS will be intimately involved in exercise and sports for the rest of our lives and will continue to strive toward the realization of a world in which everyone has a healthy mind and body. We ask for your continued understanding and support of ASICS stance and initiatives.

(Interview conducted May 2021)

Previous Mid-Term Plans and Achievements

■ Net sales (Billion yen)
■ Operating income ratio



AGP*2015 (2011-2015)

Targeting sustainable growth appropriate
for a management environment promoting globalization

	FY2010	AGP2015 Targets	FY2015	CAGR*
Net sales	235.3 billion yen	400.0 billion yen	428.4 billion yen	13.0%
Operating income	21.5 billion yen	40.0 billion yen	27.4 billion yen	5.0%
Operating income ratio	9.2%	10.0%	6.4%	—

Summary

Riding on the tailwind created by the running fad in the United States and Europe, ASICS firmly expanded global sales leading to further growth. Despite achieving the net sales target of 400.0 billion yen, the Company fell short of its operating income ratio target.

Issues

Issues identified include improving the speed at which information obtained through communications with customers is reflected in products and services, and creating a foundation for sustainable growth through an expanded customer base, innovation and brand establishment.

AGP*2020 (2016-2020)

Contributing to society through the realization of
our vision combining sports and lifestyle

	Pre-Revision AGP2020 Targets	FY2016	FY2017
Net sales	750.0 billion yen or higher	399.1 billion yen	400.1 billion yen
Operating income ratio	10% or higher	6.4%	4.9%
ROE	15% or higher	7.8%	6.5%

Summary

Sales continued to expand until 2015, when we were targeting customer base expansion and a CAGR of 12%, but our inability to respond to changes in the marketplace caused sales to slump. Further, we made several long-term investments assuming the proactive opening of new directly operated stores and growth in sales growth, but our inability to control SG&A caused profitability to decline.

Issues

Issues identified include improving profitability by focusing management resources in areas where sales growth is expected, increasing awareness of profitability among all ASICS employees and improving efficiency in all business processes.

Revised AGP*2020 (2018-2020)

Transitioning to a focus on profitability,
achieving sustainable growth

	Revised AGP2020 Targets	FY2018	FY2019	FY2020
Net sales	500.0 billion yen or higher	386.6 billion yen	378.0 billion yen	328.7 billion yen
Operating income ratio	7% or higher	2.7%	2.8%	-1.2%
ROE	10% or higher	-11.2%	4.5%	-11.6%

Summary

Introduced a category structure management system, set Performance Running, China and digital as priority areas for concentrating management resources. Despite efforts to improve profitability, the impact of COVID-19 led to substantially missed targets.

Issues

Issues identified include the need to respond flexibly to the external environment, including the societal and other changes accelerated by COVID-19, while executing strategy aimed at establishing an ongoing profit structure.

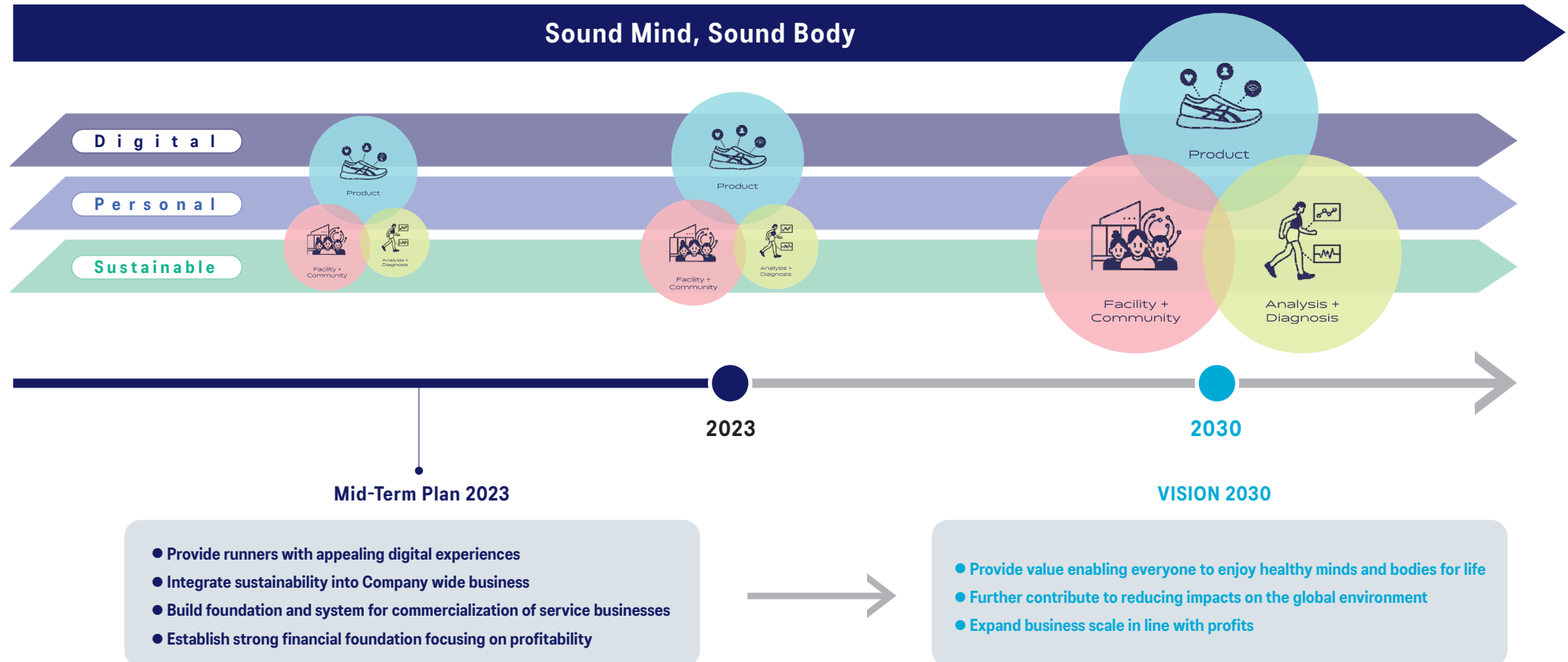
*AGP: ASICS Growth Plan

CAGR is the five-year average growth rate for the period between FY2010 and FY2015 (FY2010 ended March 31, 2011 FY2015 ended December 31, 2015)

Formulation of Mid-Term Plan 2023 for the Realization of VISION 2030

The ASICS founding philosophy, Anima Sana in Corpore Sano (sound mind in a sound body), expresses our desire to realize healthy and happy lives for everyone throughout the world. We firmly believe that, as the world around us changes, our founding philosophy will be even more essential for people in the society to come. To this end, we formulated VISION 2030, a long-term plan for the period leading up to 2030. Under this plan, while honoring the core ideal of our founding philosophy, ASICS aims to realize a world in which everyone can engage in exercise and sports throughout their lifetimes to maintain healthy minds and bodies through the provision of products and services contributing to the improvement of mind and body in wider contexts. For the first three years of VISION 2030, crucial for achieving this plan, we formulated Mid-Term Plan 2023.

Targeting the sustainable growth required to achieve VISION 2030, under Mid-Term Plan 2023, we will strengthen collaborations in three business domains centered on Running and Product categories



Mid-Term Plan 2023

The ASICS Mid-Term Plan 2023 sets strategic targets for the digital and sustainability efforts, which are crucial for realizing VISION 2030, under policies aimed at increasing profitability and establishing a stable financial foundation. To this end, we established three priority strategies: expand profit drivers, transform to profitable business and reinforce our business foundation.

First, in terms of expanding profit drivers, we will concentrate resources on Performance Running and Onitsuka Tiger to amplify profit growth. Additionally, we will drive growth Company wide by accelerating sales growth in line with profits in Greater China. At the same time, to cultivate future pillars of earnings, we will invest in growth markets such as India, Indonesia and the Middle East as well as service businesses.

To transform to profitable business, we will work to improve the profitability of the apparel business and further focus on selected sports categories. We will also revise our directly operated store strategy within our omnichannel strategy centered on EC. In addition, we will enhance profits Company wide by improving profitability in mature markets including Japan, North America and Europe, where sales are robust.

In terms of reinforcing our business foundation, efforts will be focused on digital, personal and sustainable innovations, the use of digital technologies to reform supply chains, strengthening human capital and diversity and inclusion initiatives. We will also strengthen our management base by further refining the category structure and implementing financial strategies and balance sheet management. We will steadily implement and monitor Mid-Term Plan 2023 initiatives under a governance system ASICS transitioned to in the previous fiscal year to ensure we achieve our goals.

1 Realize a strong financial foundation through the establishment of a profit structure and increased asset efficiency (ROA)

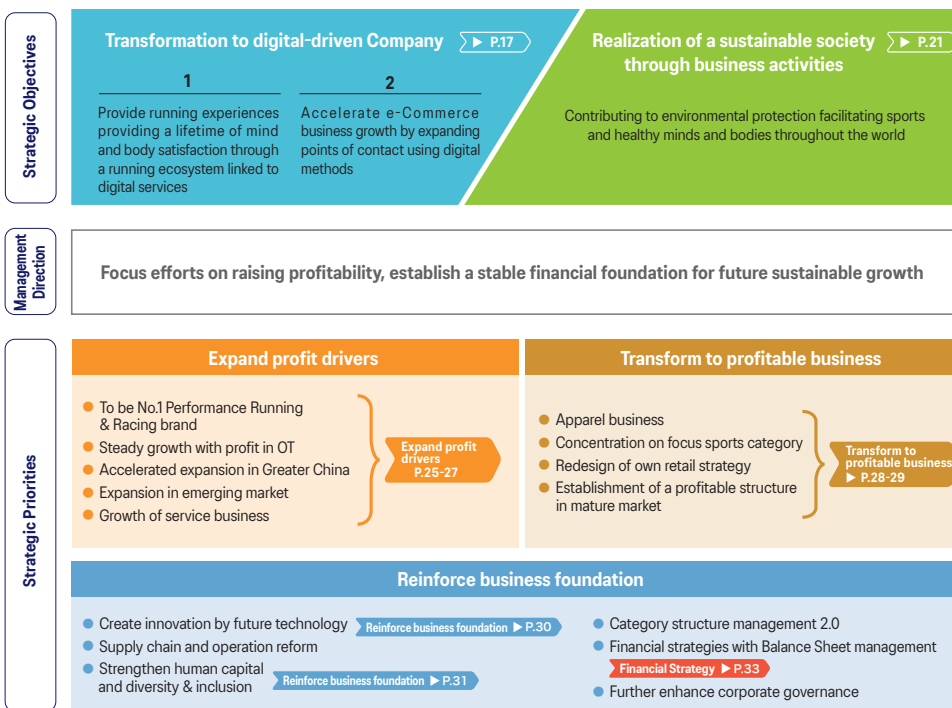
2 Set and pursue non-financial targets to realize VISION 2030

Financial Indicators

KPI	FY2019	FY2020	FY2021 Forecast*	Mid-Term Plan 2023 Targets
Operating profit	10.6 billion yen	-3.9 billion yen	11.5-13.5 billion yen	25.0 billion yen
Operating profit ratio	2.8%	-1.2%	3.0%-3.4%	6.0% or higher
ROA	2.3%	-5.0%	-	4.0%

* Announced in May 2021

Sound Mind, Sound Body VISION 2030



Non-Financial Indicators

EC Growth	2023: Three times higher compared to FY2019
OneASICS™ members	2023: Five million or more people (three times higher compared to FY2019)
CO ₂ emissions reduction rate	2023: Approximate 15% reduction in CO ₂ emission per product (compared to FY2015)
Female manager ratio	2023: 35.0% (global overall) Note: Defined as someone with subordinates who undergoes performance evaluations, including store employees



Message from the Officer in Charge

Using Digital Technologies to Build a Running Ecosystem to Make Great Leaps Forward in ASICS Brand Growth

Mitsuyuki Tominaga,

Managing Executive Officer; General Manager, IT & Digital (CDO) and CEO, ASICS Digital Inc.

Q Can you provide some background on the positioning of “digital” as one pillar of ASICS strategic objectives?

ASICS has three sales channels: wholesale, retail stores and e-commerce (EC). We are accelerating the shift to EC sales channels in response to changes in consumer purchasing behavior caused by COVID-19. And, in order for customers to enjoy sports and enhance their performance ASICS can do more than provide products. In all kinds of sports related scenarios, the use of digital technologies is essential for developing services that provide total support. Through digital technologies, we can increase the number of customer touch points and optimize marketing in response to changes in customer purchasing behaviors. Customers focus more than ever on product technologies, development concepts, corporate philosophies and other product information and backgrounds, as the influence of social media ratings and reviews on customer product selection is also increasing. Customers can enjoy the advantages of each sales channel, whether trying on items for a comfortable fit while consulting with the sales staff in a retail shop, or enjoying the convenience of shopping online—we are looking at using both methods and plan to accelerate digital investments to create an omnichannel.

Q To achieve the objectives outlined in VISION 2030, what role does digital play and what are some of the specific measures involved?

The aim of VISION 2030 is to create quality lifestyles through intelligent sports technologies. To this end, our view is that digital objectives are not something only IT departments pursue. There is a sense of crisis that, if we do not move forward with a digital focus permeating our entire business strategy, it will be difficult to survive amid competition, let alone achieve short-term growth.

In addition to products, ASICS assets include data analysis cultivated over many years at various sports facilities and the ASICS Institute of Sport Science. Utilizing digital data obtained in this way, ASICS will be able to provide personalized services to each and every customer, leading to the realization of lifestyles that will satisfy both the mind and body through sports.

For customers to continue enjoying sports, it is also important to provide competition-winning performance enabling them to run faster. Furthermore, it is easier to stay motivated when connected to coaches and fellow runners rather than silently training alone. Further, it is important to prevent injury through the provision of information on stretching and other cooldown techniques. ASICS provides training management and coaching

services using the Runkeeper™ running app and wearable devices created through a collaboration with CASIO COMPUTER CO., LTD. Additionally, we use the race registration website Race Roster to support the provision of competition information and participation in races. And, if we can integrate a variety of customer data through omnichannel developments between EC and retail stores, we can expect not only effective marketing activities, but also improved customer satisfaction.

At the core of our promotion of these measures, we will focus efforts on increasing the number of OneASICS™ free service memberships. Data collected by multiple apps, devices and other services will be used to provide registered members of OneASICS™ with personalized services based on customer data such as running frequency, distance and speed, as well as competition participation records and purchase history. Beyond enhancing ASICS customer loyalty, we also believe this will be a catalyst for the dramatic growth of the ASICS brand, thus we are passionately promoting this digital strategy.

Q With regard to promoting this digital strategy, what resources are required for ASICS to maintain its competitive advantage?

To realize lifestyles that satisfy the mind and body through sports, ASICS provides products and services based on human-centric science as well as facilities such as hypoxic atmosphere training centers, which is a major feature that other sports manufacturers cannot match. Further, in a fiercely competitive environment where each company in the industry is proactively promoting digital developments amid the emergence of digital native companies, another of ASICS competitive advantages as a top brand focused on running is the inclusion of both race registration functionality and training programs in its digital strategy.

Currently, we are promoting a global digital human resource system comprising 400 employees, and while all competitors are focusing on securing digital human resources, it is essential ASICS invests in talented digital human resources who can develop digital businesses globally with new ideas and concepts. At present, rather than developing human resources, we are strengthening this system by increasing the number of new employees.

In concrete terms, ASICS will collaborate with companies that possess technologies and knowledge that complement the business we are developing, while also considering M&A among other means of incorporating the necessary resources.

Strategic Objective

Transformation to Digital-Driven Company

To Providing a Running Experience That Will Satisfy Mind and Body throughout One's Life

ASICS provides products and a variety of value-added services centered on digital technologies.

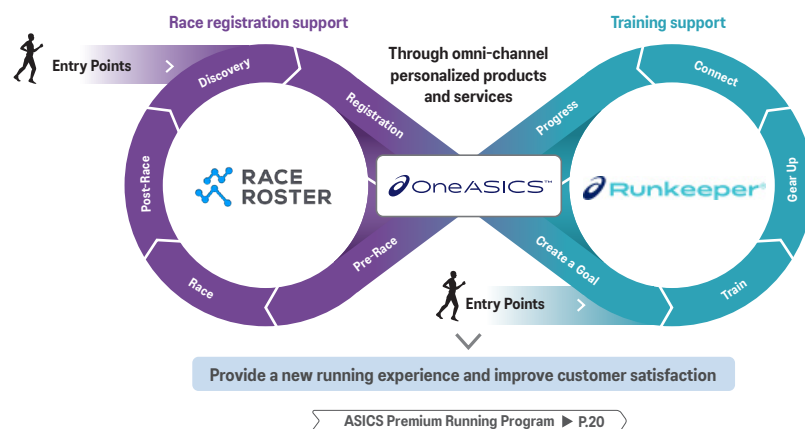
Through the Running Ecosystem created from digital services, ASICS will continue to provide customers with a running experience that will satisfy minds and bodies for a lifetime.

App Membership as the Gateway to Becoming Part of the Running Ecosystem

ASICS is creating a running ecosystem that provides customers with total support in all aspects of running, from daily training to coaching, to the provision of shoes and participation in races. The initial point of entry into this ecosystem is the ASICS running app. The Runkeeper™ exercise tracking app for smartphones, which was adopted by ASICS in 2016, has been downloaded by 60 million people, with approximately four million people using the app on a daily basis. In 2020, we introduced the Race Roster platform for registering in nearly 5,000 races a year, mainly in the United States and Canada. Participating in races is one of the greatest sources of motivation for runners. During COVID-19, initiatives that make people feel like they are connected to others, such as virtual relay races held globally, are both a new way to enjoy sports and maintain positive mental health. Although race registration fees paid by nearly three million Race Roster users annually comprise a portion of our earnings, rather than attempting to grow earnings with apps, ASICS will focus efforts on growing the number of running app users as potential members of the OneASICS™ free membership service. People who are registered for races will also need shoes and running wear, and can train for the race using Runkeeper™. ASICS will improve customer satisfaction by providing the users of our running apps with new running experiences.

Providing New Running Experiences through Personalized Services Utilizing Data

Over the past several decades, ASICS has accumulated and analyzed athletes' foot shapes and other data, reflecting this knowledge in product manufacturing. The use of digital data and corresponding analytical technologies, which are a significant aspect of product manufacturing research, will be used going forward for product recommendations that meet the needs of each runner as well as the development of services including coaching for races. Working with the CASIO COMPUTER CO., LTD., we have already launched provision of the Runmetrix coaching service for runners using dedicated apps and motion sensors to provide a new running experience that offers general runners a wider range of personal coaching options related to shoes and running styles that previously were available only to top athletes. While the reasons for running vary from person to person, including improving performance and fitness, maintaining the ability to continue exercising comfortably without injury and working up a sweat to refresh mind and body, ASICS views the demand for coaching as an important factor expected to grow larger in the future, thus we will expand Runkeeper™ menu options while provide coaching that meets individual needs with the aim of growing the number of OneASICS™ members. Starting with running, ASICS will support the healthy minds and bodies of as many people as possible by developing a wide range of digital services related to exercise and sports, including walking, cycling and tennis.



Strategic Objective

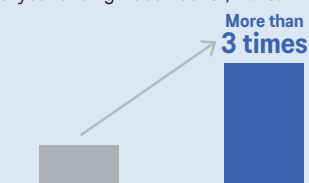
Transformation to Digital-Driven Company

Expanding Touch Points Using Digital Technologies to Accelerate EC Business Growth

EC has accelerated rapidly amid the spread of COVID-19. We are striving to improve ASICS brand loyalty by reintroducing digital data obtained through customer touch points such as apps and EC to ASICS customers in the form of new running experiences.

Our EC sales rose sharply, from ¥27.8 billion in the fiscal year ended December 31, 2019, to ¥51.7 billion in the fiscal year ended December 31 2020. With no brick-and-mortar presence, the EC business enjoys high profit margins, and going forward, we will proactively invest in EC while expanding EC sales at a compound annual growth rate (CAGR) of 30% by the fiscal year ending December 31, 2023. The aim is to increase the ratio of EC to total sales from 7% in the fiscal year ended December 31, 2019, to approximately 20% in the fiscal year ending December 31, 2023.

EC Sales



EC Ratio



Management resources required for strategy execution

Known capital

Services personalization, Technology development

Social capital

Sales channels such as directly managed stores and e-commerce

Human capital

Digital human capital, sales staff skilled in customer service

Management base ▶ P.30

Connecting Data Collected by OneASICS™ to New Customer Experiences

Regarding EC business expansion, in addition to improving customer value by personalizing websites, EC is used for customers who are unable to shop in-store. Further, customers who want to try on products seen online can purchase them in-store. ASICS is promoting an omnichannel strategy to enable flexible connections with customers according to various patterns of behavior and customer requests.

Additionally, OneASICS™, which launched in 2018, already has nearly three million members around the world, and in the fiscal year ended December 2020, in line with the expansion of EC sales, the OneASICS™ e-mail distribution list doubled, strengthening our platform for effective digital marketing. If we can expand customer touch points using running apps that lead to OneASICS™ registration, we will be able to collect basic data on customers such as gender, age and location from Runkeeper™ user training information. With this data, we will deepen our understanding of customers in near real time at retail stores as well as on EC websites, facilitating proposals for shoes and other products that are most appropriate for customers,



whether shopping in-store or online. From the customer's perspective, retail stores have evolved into new spaces for communication where customers can feel free to seek consultation on running.

We will increase the number of OneASICS™ members, deepen customer personalization and give back in a way that contributes to customer convenience through product pre-purchases and optimized point benefits. We will develop data-driven marketing campaigns to increase the number of ASICS fans and enhance ASICS brand loyalty.

Using Digital Technologies to Realize Improved Customer Service and Operational Efficiency

With regard to customer service even after products have been purchased, we will utilize digital technologies to achieve advances that meet various needs. In response to product return requests, in addition to creating a system enabling products purchased through EC websites to be returned or immediately refunded in-store, we will respond to customer inquiries regarding digital tools with an advanced FAQ incorporating chatbots and AI. Specifically, post-purchase customer support, which was not visualized within conventional wholesale channels, can now be analyzed anew as EC sales expand, solidifying into a form that contributes to customer convenience.

In this way, ASICS will collect customer data through its digital strategy utilized to develop personalized services, expand its defensive range and evolve to further enhance customer value.

ASICS Premium Running Program

Pilot Running Program Using ASICS to the Fullest

ASICS is providing the ASICS Premium Running Program on a trial basis for runners in Japan for a three-month period starting in April 2021. This program incorporates ASICS's iconic digital services and use of real locations, including motion sensors, coaching on the latest running devices, and hypoxic atmosphere training facilities and run stations. As an official partner of Tokyo Marathon 2021, ASICS provided runners with full marathon experience the right to participate in this event for ¥165,000 yen. The high level of interest from runners was apparent as approximately 250 runners applied to participate, greatly exceeding the 30-runner limit after only a few weeks of recruitment.



This program includes the following services.

1 Motion Sensor, the latest running device Worn around the waist, this device

Facilitates the analysis of running form and pace, and when used daily, enables training menu management and analyzes and improves running form.



2 ASICS RUNNING LAB

Measures running abilities such as physical characteristics, muscle strength, form and endurance, facilitating time estimate calculations for full marathons and personalized advice from professional staff.



3 Online Events

Running coaches, trainers and researchers at the ASICS Institute of Sport Science host online events consisting of lectures on a variety of topics, including examples of strength training, conditioning and efficient training methods.



4 Running Concierge

Using the LINE chat function to inquire about running-related concerns and questions, ASICS running coaches, trainers and other specialists respond to customer concerns. Additionally, users are able to receive advice and support based on ASICS RUNNING LAB and motion sensor measurement results.



5 Limited-Participation Virtual Races

ASICS holds monthly virtual races exclusively for program participants. Users can evaluate training efficacy through monthly opportunities to reach new record highs.

6 Other Services

- Shoe rental service
- Use of hypoxic atmosphere training facilities
- Run station
ASICS RUN Tokyo Marunouchi

Furthermore, Runkeeper™, which is used in about 250 countries around the world, was used at the ASICS World Ekiden 2020 held in November. At this event, 13,602 teams from 179 countries comprising approximately 56,000 runners applied to participate, the largest number of runners in the history of virtual racing.

Using Runkeeper™, ASICS was able to provide opportunities to connect with family, friends, colleagues and others by facilitating a shared experience of this event, even though people were physically separated.

Going forward, we will continue to expand this digital content to provide news ways to enjoy sports globally.



Strongly Driving Sustainability Aligned with Global Standards to Continuously Realizing Sound Mind, Sound Body towards the Future

Minako Yoshikawa
Senior General Manager, Sustainability Division

Q What does sustainability mean to ASICS?

The ASICS spirit of sustainability is summarized in the words "Sound Mind, Sound Body." In order for people to keep achieving it toward the future, we must resolve both social and environmental issues together. "Sustainability" has been set as one of ASICS strategic objectives. This means that sustainability is an overarching theme of our entire business and each employee working at ASICS should have ownership, rather than being limited to specific divisions. To further integrate sustainability into our business, we hold the biannual Sustainability Committee, chaired by the President, as well as incorporate sustainability into personal goals within employee evaluations.

With regard to ASICS materiality (priority issues), in 2021 we revised and summarized into nine materiality topics under the themes of "People" "Products and Services," "Environment" and "Governance." Of these, everyone agreed that "Mental and Physical Well-being" is the most important issue for ASICS, with all other materiality positioned as elements necessary for supporting it.

Q What is the connection between ASICS sustainability efforts and sustainability of society?

ASICS provides products and services to realize sound minds and bodies for people. ASICS is also developing innovative and sustainable technologies and materials with low environmental impact at every stages of the value chain, from materials selection to disposal and recycling. More people using ASICS products and services will lead to the enhanced sustainability of society. In this way, I think our sustainability initiatives have great value to society.

Additionally, sports such as running that are done outdoors have an especially close relationship with the environment, thus to realize ASICS sustainability, it is essential to protect the global environment so that future generations can play sports. Accordingly, ASICS climate change efforts are in line with the world's most advanced standards to limit average temperature increases to 1.5 degrees above pre-industrial levels. We set the ambitious target of reducing CO₂ emissions 63% compared to 2015 by the year 2030, and we are proactively promoting circular manufacturing to achieve this. Further, throughout the supply chain, we ensure the occupational safety and health and the workers' human rights are respected as represented by our philosophy,

"Sound Mind, Sound Body." The environmental and supply chain initiative will truly have significant impact when ASICS works towards the common goal together with suppliers, business partners, and industry partners.

Based on this idea, ASICS was the first Japanese companies to participate in global initiatives such as the Sustainable Apparel Coalition (SAC), an organization promoting sustainability of the global apparel and footwear industry, and the International Labor Organization (ILO) Better Work Program.

Q How will ASICS sustainability evolve and expand going forward?

To reduce environmental impacts, we must shift to a circular model by transforming business model without being bound by the framework of the existing business portfolio. In shifting to a circular model, it is essential to link it to digital transformation. We must think in the entire value chain to realize a circular model. To reduce CO₂ emissions, we must make efforts in all processes from the upstream materials sourcing to downstream distribution, sales and end of life while focusing on manufacturing where we have big environmental impact. Looking at the entire value chain, we must also be able to collaborate beyond the boundaries of ASICS. Although this is a challenging initiative, we would like to promote a circular business model built on a sustainable value chain.

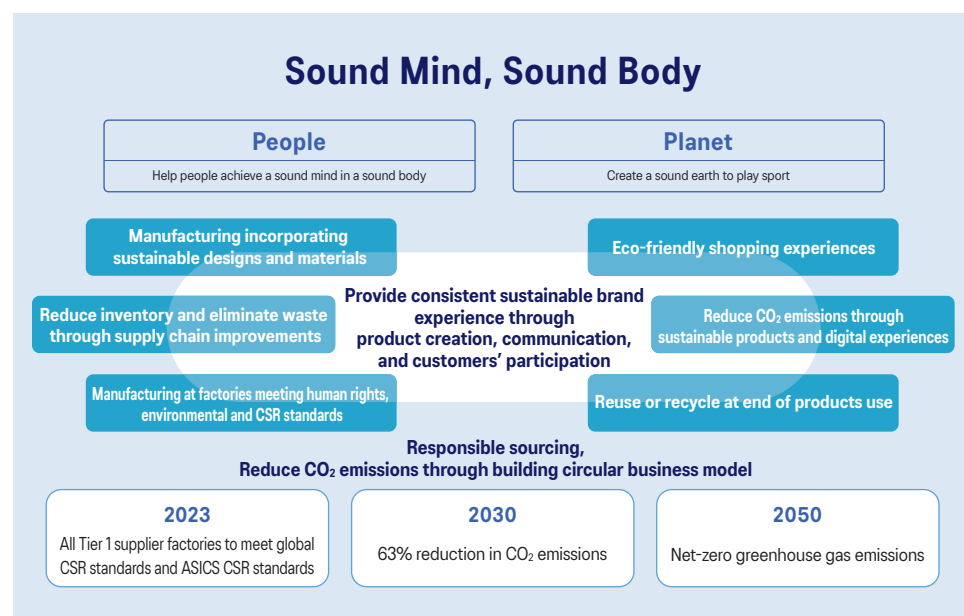
Strategic Objectives

Realizing a Sustainable Society through Business Activities

Help People Achieve a Sound Mind in a Sound Body and Create a Sound Earth to Play Sport

Preserving a sound earth, which is closely connected to sports, is essential for ASICS to help people achieve a sound mind in a sound body through sports for the next generation. Sustainability is a fundamental part of ASICS and we are strongly driving sustainability by positioning sustainability in the highest management concept such as the common theme for realizing VISION 2030 and the strategic objectives of Mid-Term Plan 2023.

ASICS sustainability consists of two main pillars: "People" to help people achieve a sound mind in a sound body, and "Planet" to preserve the planet to play sports for future generations. Under Mid-Term Plan 2023, we aim to realize a sustainable society through our business activities by promoting responsible sourcing which human rights and labor conditions are respected and CO₂ emissions reduction through building circular business model throughout the value chain.



People

Help People Achieve a Sound Mind in a Sound Body through Business Activities

COVID-19 has highlighted greater concerns than ever before about the importance of having a mental and physical health.

To ensure people have a more enjoyable and positive experience while running or walking with friends, even amid the restrictive COVID-19 environment, ASICS implements measures aimed at achieving mental and physical health with new approaches leveraging digital content, including the ASICS World Ekiden 2020 relay marathon race.

Additionally, through partnerships with NPOs, ASICS provides children's sports programs that children can improve mental and physical health and gain skills necessary for life through cooperation with friends.

At the same time, in collaboration with companies possessing specialized expertise and with academic partners, we are conducting research to capture the true effect of sport on the minds of thousands of participants around the world. Insights gained from the research will be used to develop innovative products and services.

ASICS business is supported by a global supply chain comprising suppliers engaged in product manufacturing. We are implementing supply chain management programs in accordance with ILO and other international standards at more than 150 Tier 1 suppliers in over 20 countries around the world, mainly in Southeast Asia. When we select any new footwear, apparel or accessories supplier, we assess their social and environmental sustainability performance against ASICS' standards before engaging in a business relationship. Once we establish a formal business relationship with a supplier, we continually monitor the supplier's sustainability performance and periodically assess their facilities. Through these programs, we are implementing responsible sourcing including our supply chain.

Strategic Objectives

Realizing a Sustainable Society through Business Activities

Supplier Standards

All ASICS suppliers including product manufacturing factories are asked to comply with the ASICS Global Code of Conduct, ASICS Policy of Engagement and the Global Policy on Environment. The Business Partner Management Policy asks all suppliers to comply with laws and international standards regarding workers rights, occupational safety and employment conditions to realize safe, healthy and ethical workplaces and labor conditions.

When launching production in a new country, we make an effort to work with internal and external stakeholders to evaluate country risks related to human rights specific to the industry, country and region.

We implement ongoing improvements to the supply chain, address risks associated with human rights referred to as “modern slavery” and continuously improve labor conditions and reduce environmental impacts through supplier training.

To enhance the transparency of corporate activities, we publish a list of our partner suppliers, and in collaboration with international organizations such as the ILO, we protect factory worker human rights and strive to ensure workplaces that are safe and healthy in both mind and body.

Further, in collaboration with internal and external stakeholders, we are providing support to our suppliers factories and factory workers severely affected by COVID-19.

Please see P.38 for details.

Planet

Preserve the planet for future generations to play sports

Climate change is becoming more and more serious and beginning to impact environments where people play sports.

From global competitions to local activities, concern over heatstroke is limiting people to play sport outside including school club activities and children’s playing outdoor during summer.

ASICS is proactively engaged in climate change efforts to preserve the planet to play sports and achieve a sound mind in a sound body for generations to come. In support of the Financial Stability Board’s Task Force on Climate-related Financial Disclosures (TCFD), and aiming to to limit average temperature increases to 1.5 degrees, ASICS was the first sporting goods company to set “science based targets (SBT)” and promoting initiatives targeting net-zero emissions.

For details regarding TCFD, please see the Sustainability Report

The linear economy in which we currently operate takes, makes and wastes resources. Evidence suggests this economy accounts for 45% of global greenhouse gas emissions. In response, there is a global move toward the circular economy.

Yet in the apparel industry, less than 1% of material used to produce clothing is recycled into new clothing globally.

LESS: Design products using fewer resources and generate less waste

CLEANER: Comply with restricted chemical substance standards

LONGER: Extend product life through durability and personalization

RECYCLE: Collect and reuse or recycle well-used resources

Under VISION 2030, ASICS aims to create value through expanding its services such as virtual communities and marathons, and running analyses and diagnoses using data accumulated through products, and not achieving business growth by increased mass production. If we are able to provide of products and services personalized to individual customers using digital technologies, this will lead to minimizing resources used and extending product life. In the future, we will also aim to deliver products that generate zero waste throughout the value chain, such as shoes made using a 3D printer at home.

From 2021, more than 90% of our performance running shoes will be made using recycled materials and we launch shoes and apparel using recycled materials made from old clothing and textile waste as we promote circular manufacturing aiming to shift to 100% recycled polyester in all our products as polyester is one of the main materials we use. Additionally, in pursuing innovations to improve sustainability and functionality, ASICS has applied Cellulose Nano Fiber (CNF), a next generation high performance bio-based material, to over 8.7 million pairs of shoes. We won the Japan Open Innovation Award in 2020 for the first-ever shoe to feature CNF.



Targets updated in 2021 have been approved by “Science Based Targets initiative (SBTi)” as target’s level is considered to be based on science in order to achieve the 1.5°C goal in the Paris Agreement.

Establishing a Stable Financial Foundation for Enhanced Profitability and Sustainable Future Growth

1. Introduction of category-based management

The ASICS Action Plan formulated in August 2018 introduced a category-based management system integrating manufacture and sales, strengthening cooperation between the Head Office and sales companies and establishing a structure focused on profitability incorporating the PDCA cycle. Further, this category management system functioned effectively even amid the turmoil caused by the spread of COVID-19, facilitating the rapid implementation of necessary actions led by each category, including the controlling of SG&A expenses and managing inventory appropriately through close cooperation in each region. Under Mid-Term Plan 2023, ASICS will further refine this category management system with the aim of engaging in thorough selection and focus to maximize profits.

2. Selection and focus for portfolio reorganization

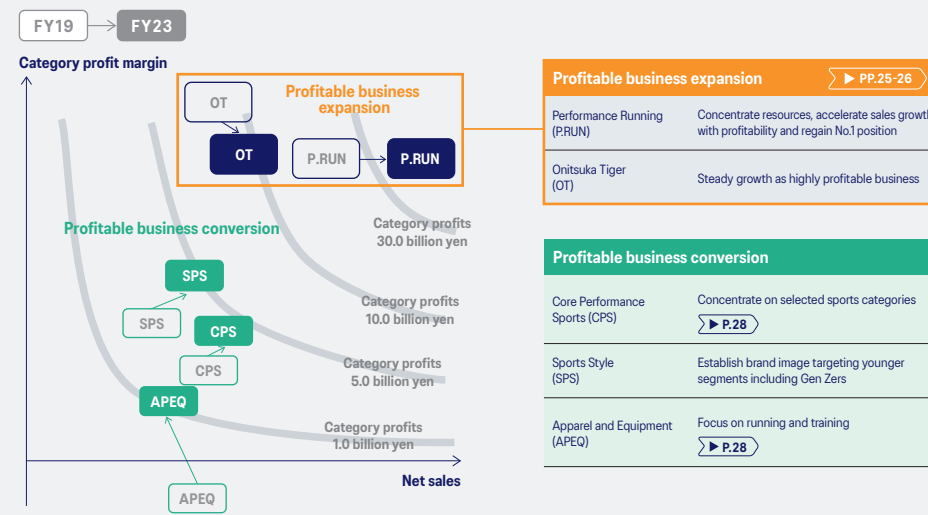
To establish a stable financial foundation, we will first concentrate management resources on highly profitable businesses to achieve further growth and as a growth driver for Company wide profitability. At the same time, less profitable businesses must be made highly profitable rather than simply aiming for expansion.

On the category axis, we will first focus on our core Performance Running business. Even during COVID-19, the market itself remained strong amid intensifying competition, thus we aim to allocate more management resources to expand our No. 1 position. We will also continue to grow the Onitsuka Tiger brand as a main pillar of ASICS earnings. At the same time, with regard to less profitable businesses, rather than pursuing increased profits through higher sales, we concentrate on selected sports categories and promote the transformation of sports categories where profits have been squeezed.

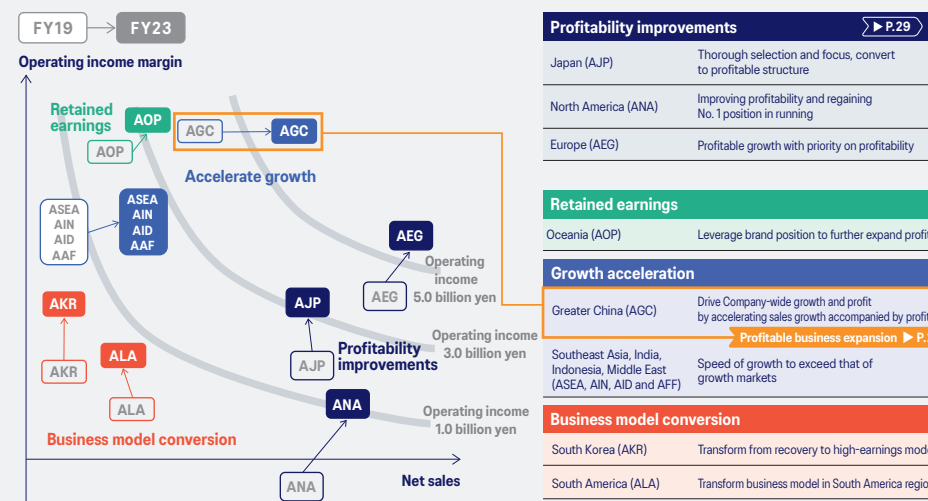
On the regional axis, we face the issue of improving profitability in Japan, North America and Europe, which account for a high percentage of sales. In these regions, we will focus on running while strengthening cost controls to transition into more profitable business leading to higher profits Company wide. At the same time, in Oceania and Greater China where profit margins remain high, we will continue to target growth in line with profits going forward. IN Greater China in particular, we can expand market share even further and will do so as quickly as possible. Further, although sales are currently on a small scale, we will put ASICS on a solid growth trajectory, with India, Indonesia and the Middle East as the pillars of earnings going forward while conforming to business practices in each country.

Highly profitable businesses where management resources are focused will be the growth drivers behind improved profitability, while at the same time, we will also attempt to reform the earnings structure of less profitable businesses.

Maximize profit through concentration on focus category



Improve profitability in mature market and expansion in emerging market



Expand profit drivers

To Be No. 1 Performance Running Brand

Under its mission statement, “To Become the No.1 Running and Racing Brand,” the ASICS core Performance Running business aims to achieve a the No.1 position in the US running specialty store market, the European mid-priced running shoes market, and the Japanese marathon market.

ASICS has strengthened its product power in the performance domain, capturing an extremely high share of the US running specialty store market until around 2016. However, at present, that share has been taken away by competitor companies in China and across Asia, resulting in only a small percentage of shares in many markets. Under the Mid-Term Plan 2023, ASICS aims to expand its market share through the ongoing launch of innovative products. In terms of measures to achieve this goal, we have already established mechanisms for creating innovation roadmaps and systematically proposing innovative products. Further, to establish globally consistent branding and provide products and services, we are formulating a unified global strategy applied as regional strategies tailored to the unique characteristics of each market in an effort to promote the localization of our global strategy.

To become the No.1 performance running and racing brand, we will enhance the appeal of ASICS products constituting the Company’s strength, and to expand market share, we will institute measures in each region aimed at expanding customer touch points, increasing brand recognition and enhancing the popularity of our products. Additionally, when top athletes set new records using ASICS products, it has a substantial ripple effect even on regular runners. Accordingly, we will strive to enhance product appeal through innovations so that top athletes will choose ASICS. We will closely monitor the percentage of runners using our products at major marathon events and measure this impact as an important KPI.

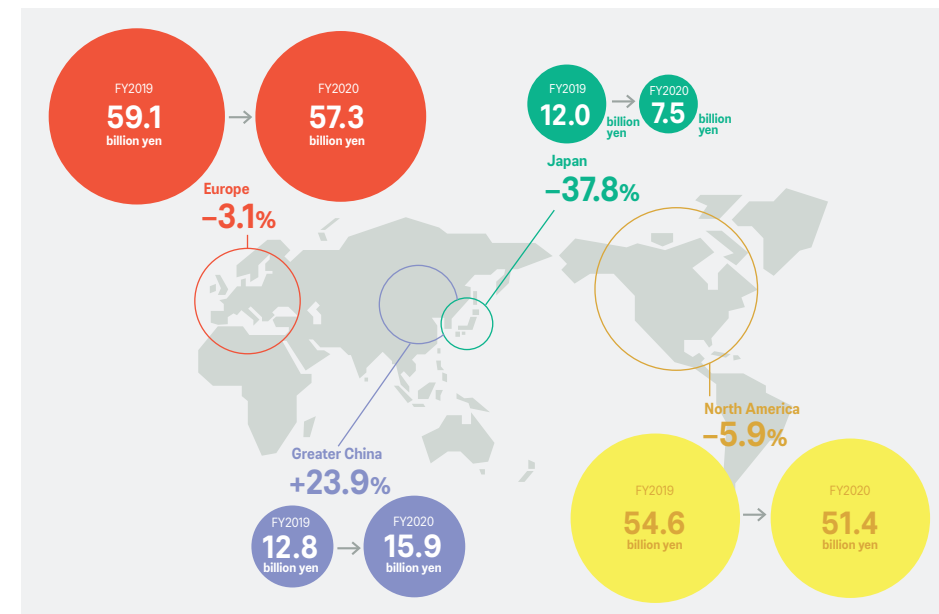
To improve profitability in the Performance Running category, ASICS focuses on gross profit as the most important management indicator. There are many requests for discounts uncompetitive products, which often remain unsold and are disposed of, while competitive products are handled by retailers without the need for discounts and in very few instances do products remain unsold. ASICS will maintain a thorough focus on gross profit from the perspective of simultaneously enhancing profitability and brand power. To increase gross profit, it is critical that we continue launching products that are competitive in the market. ASICS development divisions will continue to value feedback from the runners constituting our core customers while collaborating to create appealing products.

To create the ASICS Running Ecosystem, we will consider services in terms of both products and digital technologies leading to the creation of an ideal ecosystem.

Performance Running (P.Run) Performance Data

	FY2018	FY2019	FY2020	Increase/Decrease
Net sales	170.7 billion yen	170.1 billion yen	160.1 billion yen	-5.9%
Operating income	8.5 billion yen	4.5 billion yen	9.0 billion yen	+98%
Operating income ratio	5.0%	2.7%	5.6%	+2.9 ppt

Performance Running (P.Run) Net sales by Major Region



Expand profit drivers

Steady Growth with Profit in Onitsuka Tiger

Onitsuka Tiger is positioned as a premium lifestyle brand. With a line of products encompassing all ages, generations and genders, this brand has many long-selling products with sales enhanced using proprietary sales channels centered on ASICS directly managed stores, making this category an earnings driver within the ASICS Group. Further, in terms of organizational structure, the application of Company systems on a global level aimed at quick decision making is also a strength of this system facilitating integration both upstream and downstream.

Under Mid-Term Plan 2023, Onitsuka Tiger continues to be positioned as a priority category. As we head toward 2030, we will provide added value products and services, establishing Onitsuka Tiger as a premium lifestyle brand.

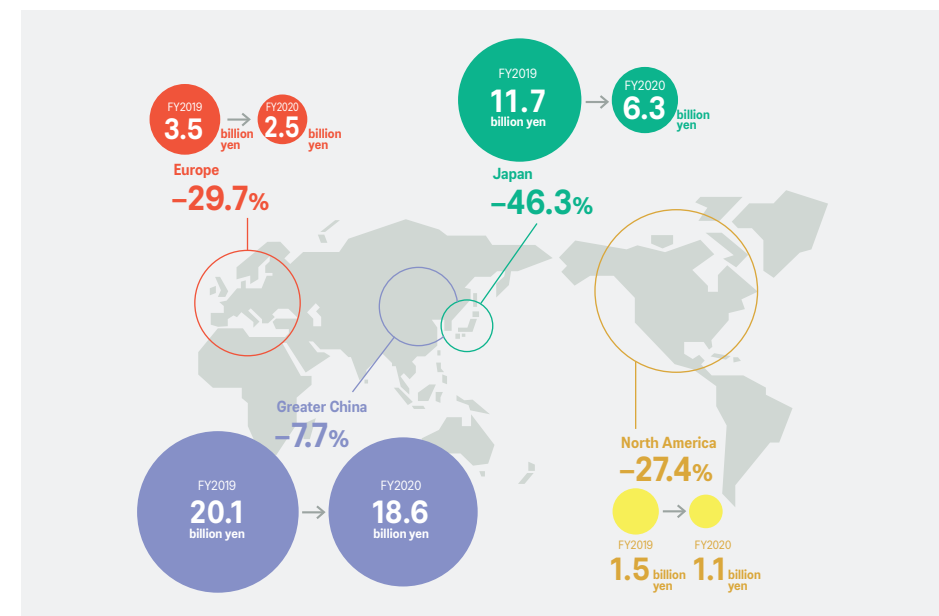
While offering a wide range of commercial and premium product lines, we will focus particular efforts on high-quality, high priced products through advertisements featuring global celebrities to further enhance a premium brand and product image.

In terms of regional strategy, in expanding markets across Asia, ASICS will continue to invest in digital marketing and strengthen its Direct to Consumer (DTC) business selling products directly from EC websites to customers. In US and European markets, we will use flagship stores to increase direct touch points with customers, improve communication activities and enhance brand image. In this way, we will expand earnings using a distribution strategy focused on proprietary distribution in the form of an omnichannel centered on the use of flagship stores and EC to maximize branding.

Onitsuka Tiger (OT) Performance Data

	FY2018	FY2019	FY2020	Increase/Decrease
Net sales	42.8 billion yen	45.5 billion yen	33.9 billion yen	-25.6%
Operating income	7.4 billion yen	8.3 billion yen	0.7 billion yen	-91.3%
Operating income ratio	17.5%	18.2%	2.1%	-16.1ppt

Onitsuka Tiger (OT) Net sales by major region



Expand profit drivers

Accelerated Expansion in Greater China

In the Greater China market, given its massive scale, from the very beginning, there has always been room for the growth of ASICS brand recognition, and from the perspective of measures by the Chinese government to promote sports, this is a market with very high growth potential. ASICS positions the Greater China market as a future driver of growth. At present, ASICS products are positioned among the top ranked running shoes worn at marathon events amid the expanding recognition of ASICS as a running brand. Additionally, we have plans to hold tennis and soccer events through youth development efforts conducted by the Samaranch Foundation, an international promoter of sports. Further, in 2021, we will launch full-fledged efforts in the basketball domain.

To grow business in the massive Greater China market going forward, ASICS will utilize digital technologies, promote the planning and development of products meeting consumer preferences and expand product lineups. We will also strength local supply chains to minimize lost sales opportunities and rapidly launch new products in the market. As a first step toward this goal, we commenced production in China in 2020.

In addition to running, we will make efforts to expand the Kids and SportStyle businesses. To this end, we are collaborating with local partners in the Kids business, and using digital technologies in the SportStyle business to develop products that best meet consumer needs while making ongoing marketing investments.

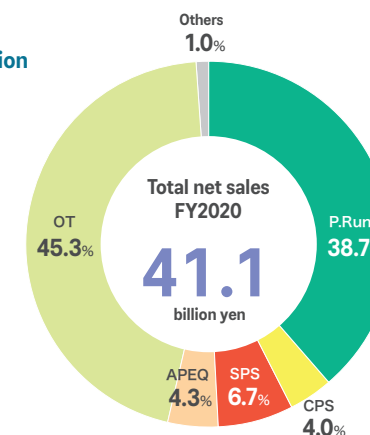
In recent years, in addition to overseas brands, Chinese brands are rising amid an increasingly collaborative environment, thus ASICS will promote increased interactions with customers to raise brand awareness. Already engaged in EC, we will create online stores in areas where we have not had a physical presence up to now and open flagship stores in major urban areas to maximize ASICS brand appeal.

Although we will attempt to grow the Kids and SportStyle businesses, Performance Running will constitute the core of our business in Greater China. We will approach core runners, mainly through offline sales channels, and enhance customer experience satisfaction to establish a solid customer base and raise brand awareness leading to higher sales. We will also make medium- to long-term investments in marathon events and make the most of large-scale events while continuously disseminating information regarding ASICS technologies and product innovations.

Greater China Performance Data

	FY2018	FY2019	FY2020	Increase/Decrease
Net sales	39.6 billion yen	39.4 billion yen	41.1 billion yen	+4.2%
Operating income	6.2 billion yen	5.3 billion yen	4.3 billion yen	-20.3%
Operating income ratio	15.6%	13.4%	10.4%	-3.0 ppt

Greater China Sales composition by category



Transform to
profitable business

Apparel, Sports Category and Directly Operated Store Strategies

1 Apparel Business

To transform the apparel business into a profitable global business, ASICS will work to resolve issues in each region while enhancing profitability by improving efficiency globally.

In terms of products, management resources will be concentrated on running and training. We will narrow down focus categories to streamline marketing and sales and improve profitability.

Regarding sales, we will accelerate the shift from a traditional, wholesale centered business, to e-Commerce business. At the same time, we will utilize the OneASICS™ program to promote omnichannel cooperation with directly operated stores.

As optimizing supply chain processes for the entire global market is also an issue, ASICS will continue to build efficient production systems.

2 Concentrate on focus sports category

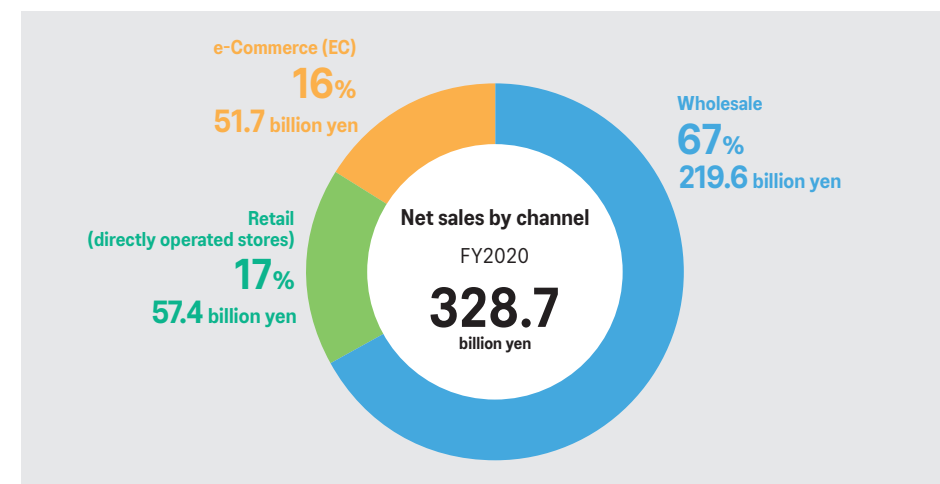
In Core Performance Sports, we will focus on tennis and indoor sports globally while selecting and enhancing athletic events in accordance with conditions in each region. With respect to tennis, we will gain the trust of customers and expand market share by increasing brand awareness on a global basis using ambassadors, while also systematically supporting athletes in the junior world and strengthening relationships with tennis retailers. In terms of indoor sports, ASICS is developing products suitable for the various characteristics of each region as we promote the creation of an environment that makes it easier for customers to understand and select products at major sales destinations.

Regarding regional efforts, particularly in Japan, where the ratio of Core Performance Sports sales is higher than other regions, we will visualize profits and losses in volleyball and basketball, which are included within the tennis and indoor sports categories, as well as track and field and soccer, improving profitability by controlling costs to ensure appropriate investment allocation.

3 Redesign of own retail strategy

Directly operated stores are important as places to create ASICS fans through the real world experience of touching and trying on ASICS products. However, it has become increasingly important to revise our directly operated store strategy in light of the accelerating changes in the social environment brought about by COVID-19.

To this end, ASICS will first focus efforts on improving profitability through tighter management of store openings and closings with a focus on profitability. While thoroughly evaluating profit and loss at each store, adding balance to each region, we will close unprofitable stores with due consideration to financial impact, tighten standards for the opening of new stores and carefully select directly operated stores in light of the impact from COVID-19. Additionally, while leveraging the advantages of conventional touching and trying on of products, we will consider opening stores going forward focused on the running category to enhance customer convenience as an omnichannel linked with e-Commerce, which has accelerated during COVID-19.



Transform to
profitable business

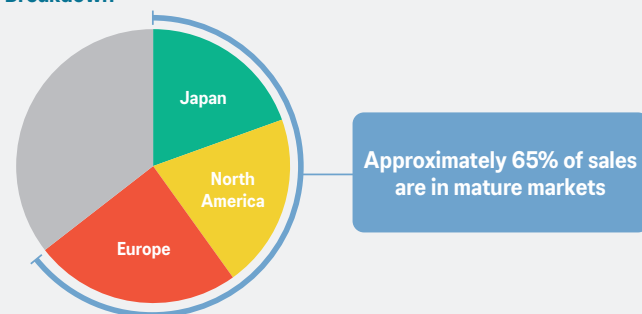
Improving Earnings in Japan, North America and Europe

4

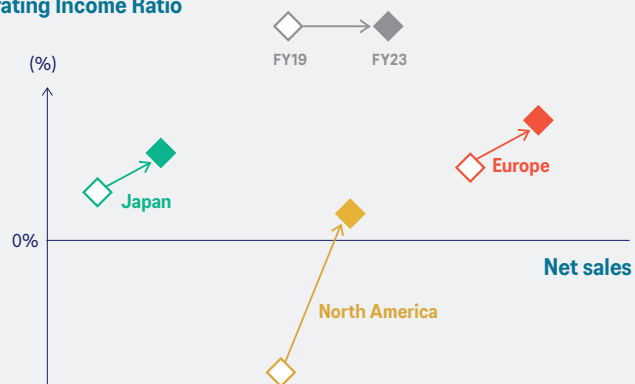
Establishment of a profitable structure in mature market

Enhancing Company wide Earnings through Improved Profitability
in Japan, North America and Europe Where Sales Are Highest

Sales Breakdown



Operating Income Ratio



Japan

In Japan, we will work to maximize profits by further deepening the category system to transform our profit structure, implementing digital transformations and selection and focus in terms of costs. To start, we will make Performance Running stronger than ever. Starting with the development of METASPEED, we aim to acquire top athletes, then expand to general runners. We will build a running ecosystem with products as well as digital services to further enhance ASICS EC through expanded digital content.

Next, in Core Performance Sports, we will focus on selected sports categories to improve profitability. ASICS views the Tokyo 2020 Olympic and Paralympic Games as an opportunity for raising awareness and improving the image of the ASICS brand, and we plan to exploit this opportunity using an ad hoc approach.

North
America

In North America, we intend to move business back into the black by transforming to a highly profitable business structure.

ASICS will focus the allocation of management resources on Performance Running with the aim of attaining the top position in the market. To become No. 1 in running, it is critical we first communicate the merits of ASICS products. Informing running specialty stores about our highly functional products and proprietary services will lead to increased market share and spread to other sales channels. At the same time, we will strengthen digital marketing with particular emphasis on maximizing contact points with younger customer segments. At directly operated stores, we will enhance store profit and loss analysis with the aim of developing stores in a new format able to ensure profits.

As North America is one of the markets where cutting-edge trends in running and digital are created, we intend to make this the ASICS Group leading region for Performance Running and digital developments. As North America is one of the markets where cutting-edge trends in running and digital technologies are created, we aim to become a leading region for Performance Running and digital technologies in the ASICS Group. We will maximally leverage digital technologies, secure a leading position in the running market and achieve profitable growth.

Europe

In Europe, we are strengthening our brand's advantageous position in the running market while also promoting improved operational efficiency to enhance profitability.

In running, we will utilize digital marketing to effectively promote the unique value and high functionality of our products. Further, we will meet the needs of a wide range of customers by expanding product lineups. In addition to digital communications, we will focus on creating opportunities for people to experience the ASICS brand firsthand. We will also optimize the investment balance, revise labor costs and fixed costs associated with directly operated stores, focus efforts on measures to control variable costs and strengthen control of SG&A expenses to improve profitability.

Digital, Personal and Sustainable Technological Developments

At ASICS, we are promoting the development of personalized products and services for individual customers utilizing continuously advancing digital technologies in all aspects of the value chain to realize VISION 2030. Further, in consideration of CO₂ emissions from product manufacture, use, disposal and throughout the entire product lifecycle, we develop eco-friendly materials such as cellulose nanofiber, use technologies for reusing waste and promote the development of manufacturing technologies contributing to the reduction of water pollution.

In addition to these materials and manufacturing technologies, we are working to create environment-friendly technologies throughout the supply chain.

For example, through the development and provision of sensors and applications that easily measure and analyze foot and body shape characteristics and movement, we are developing services that collect customer information from around the world more easily and accurately in real time. This enables ASICS to utilize customer data to provide shoes, clothing and other products designed according to the characteristics of individual users, employing materials and manufacturing methods that do not damage the global environment. We will also develop algorithms recommending appropriate advice and training that contributes to improving performance according to the characteristics of each individual's movement. Rather than only applicable to athletes or niche users, we believe these technologies can be used by all people, from children to the elderly and people with disabilities, facilitating enjoyable sports and exercise without difficulty. In addition to technologies cultivated in the development of shoes, we have abundant knowledge backed by the foot and body shape and motion data accumulated over many years.

For ASICS to continue leveraging its competitive advantage going forward, we will utilize proprietary technologies and knowledge to provide products and services personalized for each customer, while returning data obtained in this process to the customer by incorporating it into products realizing higher functionality and improved value with the aim of creating a sustainable business model in which ASICS works with customers to realize continuous growth.

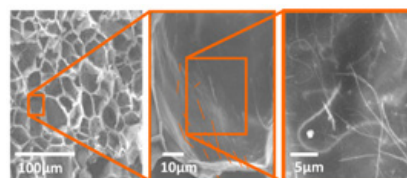
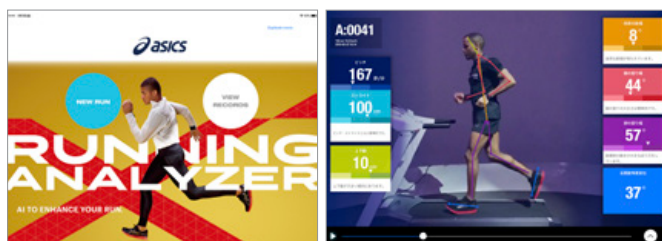
ASICS Research and Development System

Established in 1985, the ASICS Institute of Sport Science (ISS) is a research and development base embodying our vision of creating quality lifestyles through intelligent sports technologies. With a commitment to human-centric science, we focus on and analyze human movements using proprietary materials and structural design technologies with the continuous creation of innovative technologies, products and services that maximize the potential of professional and amateur athletes around the world as our mission.

At ISS, in addition to research on materials and structures based on analyses of the human body and body movements, ASICS aims to create new value through the analysis and evaluation of production technologies, products, materials and a variety of other research and development approaches.

ISS Research Approach

Human Attribute Research	ASICS analyzes deformations and loads on the body during exercise, which differ depending on activity and gender, identifying functions required for products based on analysis results.
Materials Research	Research and development of resins, rubbers and sponges used for shoe soles and parts to advance shoe materials composition.
Structural Research	We design structure based on results obtained from the study of human attributes. Designs are made using computer simulations, then evaluated and verified in experiments.
Analytical Evaluation Testing Method Research	Research on the establishment of standard values and new evaluation methods for maintaining and improving the quality of materials and products used in shoes, apparel and equipment.
Manufacturing Technology Research	In addition to research on molding methods, ASICS provides technical guidance to production plants regarding the mass production of materials developed at ISS.
Digital Content-Related Research	We propose exercise programs based on human attribute research and big data analysis as well as engage in the research and development of measurement evaluation methods and services using wearable technologies.



Cellulose nanofiber enlarged view



METARIDE running shoes using cellulose nanofiber



ASICS Institute of Sport Science (ISS)

Realizing High Quality Performance by Strong, Fully Engaged Human Capital

ASICS places great importance on having all employees embody the Sound Mind and Sound Body derived from our corporate philosophy. To this end, we provide opportunities including the ASICS World Ekiden and online fitness instruction for ASICS Group employees to ensure everyone understands the value of physical activity. We are also engaged in a variety of efforts to monitor the workplace climate and make improvements throughout employee engagement surveys.

In 2021, we introduced the Global Competency action guidelines for transforming our business on a global level and achieving VISION 2030. The five elements required for Global Competency are (1) customer focus, (2) transformation and creation, (3) leadership, (4) collaboration and mutual respect, and (5) pursuit of results. In developing human resources, ASICS strategically promotes individual career paths through talent management cycles involving personnel selection, development, placement and evaluation. We are also attempting to quickly develop global management executive candidates through selective training at the ASICS Academy.

Diversity is indispensable for innovation and global business expansion, requiring human resources who can look at the world from all angles and expand and deepen their positive impact on society. ASICS brings together people of all genders and various nationalities, cultures, ages and career levels. In promoting diversity and inclusion (D&I), by acknowledging the diverse values and invigorating discussions, ASICS strives to facilitate understanding of new perspectives leading to the generation of creative ideas.

In June 2020, we launched a Steering Committee to globally promote D&I throughout the Company. Our global common goals are to increase the ratio of female managers and to foster an inclusive corporate culture. We will also work to resolve gender, race and other issues rooted in each region.

One specific indicator is increasing the ratio of female managers to 35% by 2023 (globally)* with targets established for people (including stores) who have subordinates to evaluate. To respond to varying customer needs and accelerating changes in the environment, the sensibilities, capabilities, values and experiences of a wide array of human resources including women are indispensable and the workplace must be an environment where individual abilities can be maximized. At ASICS, the ratio of female employees in decision making and leadership positions is small, thus we have set a target for the ratio of female managers in consideration of gender equality. To achieve these goals, we are promoting changes in mindset and behaviors by providing training (e-learning) that encourages awareness of unconscious bias and promotes dialogue between superiors and subordinates using career development plans.



UNOHA



A New Brand Created from Diversity and Inclusion Initiatives

ASICS promotes diversity and inclusion (D&I) with the aim of creating innovation as a team that respects and promotes diversity. Among D&I efforts to promote the active participation of women, an area in which we are particularly focused, a project centered on female employees was launched in the summer of 2019, and after market analysis and new businesses proposals, a project team was established in January 2020. The lifestyle brand UNOHA was launched in March 2021.

The origin of the UNOHA brand name is *unohana* (deutzia flower), a mysterious plant that hollows out its branches to deftly control energy with flowers that bloom in the late spring after surviving a harsh winter. Like the *unohana*, UNOHA values the balance between heart and mind, providing and disseminating fashion and lifestyles while remaining close to everyday life.

ASICS leverages knowledge cultivated in the field of sports to developing fashion items that provide comfort in daily life, from active clothing to lounge wear and casual apparel. Currently, this brand is being sold via EC and at pop-up stores in Japan for a limited time. In addition to taking on new challenges in women's fashion, ASICS is examining the launch of a unisex product line and overseas expansion.

As a brand closely connected to people's everyday lives, based on the ASICS sustainability vision, UNOHA is adopting sustainable materials, taking actions to provide opportunities and disseminate information enabling as many people as possible to come into contact with and think about sustainability. Approximately 60% of the UNOHA Spring/Summer 2021 collection utilizes sustainable materials such as recycled leather and recycled polyester derived from PET bottles, while eco-friendly materials such as recycled paper are used for packaging.

In line with ASICS VISION 2030, we aim to grow UNOHA based on the twin pillars of digital technologies and sustainability.



Promoting Category Management 2.0 Cognizant of ROA, Committed to Achieving Targets in the Final Year of Our Mid-Term Plan

Koji Hayashi

Executive Officer, Senior General Manager, Accounting and Finance Division (In charge of Corporate Strategy)

Q Please provide a summary of business performance over the past 10 years from the perspective of financial management.

Until around 2015, an explosion in the popularity of running in Europe and the United States provided a tailwind enabling ASICS to achieve steady growth driven by the expansion of sales globally. To capitalize on this trend, in February 2016 we formulated the ASICS Growth Plan 2020 (AGP2020), a mid-term management plan for maintaining the growth trajectory up to that point and achieving further growth through customer base expansion, a compound annual growth rate (CAGR) of 12% and an aggressive net sales target of 750.0 billion yen. However, starting in 2015, our inability to sufficiently respond to rapid market changes caused sales to slump, while at the same time, proactive investment in new store openings around the world began to drag down profitability. In 2018, we introduced an action plan for improving profitability and made downward revisions to AGP2020 numerical targets. The introduction of category management in 2019 integrated the Head Office with sales companies, and as a result of pursuing greater profitability than ever before from the perspective of overall optimization, the operating income ratio has gradually improved, but in 2020, the final year of this plan, results were lackluster due to COVID-19. That being said, taking a closer look, we see that the core Performance Running category has growth more than 25% in Greater China. For ASICS, our approach in Greater China differs from that in European and US markets, where we entered early and achieved success. In Greater China, where major global and Chinese domestic brands are engaged in fierce competition, ASICS entered the market exceedingly late, but I feel we are finally starting to see quantitative indications of success in raising awareness and other efforts promoted up to now. Additionally, EC sales were up 86% year on year, and despite extremely challenging conditions in 2020, we maintained firm control of inventory and SG&A expenses, making it a year for reflecting on a renewed awareness of the importance of profitability.

Overview of Category Profits Note: Introduced in 2021

- Costs specified as being in a category are considered to be direct costs within that category
- Marketing expenses are borne by each category for every activity
- Uncategorized costs are unallocated and managed separately

(Cost Allocation Image)	P.RUN	CPS	SPS	APEQ	OT	Others	TTL
Net sales							
GP							
Marketing							
Planning and development (products)							
Head Office expenses (excluding back-office sections)	Appropriate allocation of wholesale, retail EC and other channel expenses						
Category profit							
Uncategorized costs							
Consolidated operating income							

Q What are the basic policies of ASICS financial strategy?

In 2020, as the future was uncertain due to COVID-19, we rushed to quickly secure funds based on the idea “cash is king.” Going forward over the next three years, under Mid-Term Plan 2023, ASICS will attempt to increase the operating income ratio while supporting business promoting realization of the big goals of long-term VISION 2030. We will engage in stable and conservative financial management planning while viewing this as a period to prepare for inorganic growth. Taking a similar view of economic and financial conditions, we believe that Japan's ultra-low interest rates can be leveraged advantageously, and that borrowing weak currencies will lead to the greatest opportunities. Rather than relying solely on indirect financing, we always consider utilizing the direct market. In fact, ASICS also aims to build its reputation in capital markets by taking on the challenge of engaging in pioneering financial efforts, such as the issuance of straight corporate bonds in 2016, and later, the first-ever issuance of sustainability bonds as a Japanese operating company with having ASICS' uniqueness. I always view finance in terms of debt capacity, thus with regard to financial discipline, by maintaining ASICS current equity ratio at approximately 40%, I think we can secure debt capacity sufficient to enable the Company to withstand a certain degree of discontinuous growth.

Q What specific initiatives such as working capital improvement efforts will ASICS pursue to generate cash?

I joined ASICS in 2015, and the first thing I focused on was the effective use of capital that was distributed unevenly throughout the world. At that time, funds were lying idle in Australia, where business is strong and highly profitable, while we were in a position to borrow in the United States. To improve capital efficiency in a way that avoids foreign currency exchange losses, we captured approximately 70% of capital through global cash management.

To address cash flows, I launched the Cash Flow Committee three years ago, in which not only myself as the head of finance, but also officers in charge of each category and senior general managers participate in an effort to improve working capital. Focusing on inventory management and not having too much excess inventory, we strive to collect accounts receivable early and remit accounts payable on the due date, creating cash through the thorough management of inventories, accounts receivable and the accounts payable target turnover period. ASICS does not have a particularly large amount of M&A projects or investment funds for inorganic growth. That being said, in 2019 we acquired Race Roster, the third largest race registration platform in North America, as a business that will be key to business development going forward as it is essential to generate cash enabling flexible movement. We have already arranged and applied working capital improvement activities, which we will continue to implement to generate additional cash in the future.

Q What are your views on asset allocation for the achievement of sustainable growth?

I am aware that improving profitability is an urgent issue for ASICS, thus we must first make solid improvements to our profit structure while attempting to generate cash through working capital management. Regarding investments, we use approximately 10 billion yen each year in investment cash flows, but the content is changing. Looking at the ratio of tangible assets to intangible assets, in the past the ratio of tangible assets was larger, but now with the shift to investments in digital technologies, the ratio of intangible assets is on the rise. If we exclude discontinuous growth considerations, we expect to continue investing on a scale of approximately 10 billion yen, most of which will be focused on digital technologies.

Regarding shareholder returns, in consideration of a balance with growth investments, we have introduced criteria with a total return ratio of 50% or more through stable dividends and share buybacks over the three-year Mid-Term Plan. We will conduct management facilitating stable dividends even amid changes in the market environment and volatility in the stock market.

Q Upon what criteria are investment decisions based?

It is important to consider various investment criteria in addition to operating income, such as the after-tax income below that. Capital costs must also be taken into consideration to know how to improve earnings per share (EPS). Even when looking at discussions taking place at management meetings, I think awareness expanded beyond the hurdle rate and weighted average cost of capital (WACC). Reflecting on the past, multiple investments in directly operated store openings was one factor that put pressure on profits, thus while promoting category management, all decisions regarding global store openings have been transferred to the Head Office President. Even after deciding to open a store, to determine whether the investment is commensurate with capital costs, we established rules for estimating operating income three years out and plan to make further improvements in the future.

Q How do you view taxation and what are your thoughts regarding tax management on a global basis?

Our promotion of tax management up to now includes the introduction of a consolidated tax payment system in Japan and the United States. In 2016, ASICS acquired US-based FitnessKeeper, the operator of Runkeeper™, but due to profitability issues, it was placed under the umbrella of ASICS America Holdings, a holding company established in the United States, alongside profitable subsidiaries, enabling ASICS to leverage tax management to reap the tax benefits of consolidated tax payments. We also began to pay consolidated taxes in Japan for companies that clearly had taxable income with the aim of raising EPS.

Regarding tax management, tax avoidance behaviors such as the utilization of so-called tax havens are becoming less accepted internationally. At ASICS, our stance is that tax payments are an important corporate social responsibility that companies must fulfill, thus we believe it vital to pay taxes on profits generated while ensuring strict compliance in line with established rules.

Q How do you analyze individual investment projects and on which management indicators do you focus?

We introduced return on assets (ROA) as a new key performance indicator (KPI) in 2021 while operating with more awareness of the cost of capital. While I think that, with ROA rather than return on investment (ROE), there is a little more room for creativity on the balance sheet, if we narrowly focus only on the E in ROE (equity) the number of people involved in that number (employees) will also decrease. By looking at total assets, we can personalize activities on the asset side within individual employee duties. It is important for each employee to have this perspective in order to raise profits and improve ROA.

As previously mentioned, we have considered various investment projects up to now, which helped to spread awareness of capital costs within the Company. It is critical that all employees fully understand the intent of the KPI before working toward it. Looking at working capital improvement measures promoted by the aforementioned Cash Flow Committee, changes can be seen in the behaviors of each employee. For example, even when looking at individual EC sales commission payments, we see there are regional differences in rates paid in each area where EC business is developed globally, and by working to leverage the economies of scale of doing global business, we have promoted improved profitability through various devices, including realizing the adoption of the best rates. We use an easily understandable ROA tree matrix to carefully explain to employees that the combination of each of these individual measures will lead to the maximization of ROA.

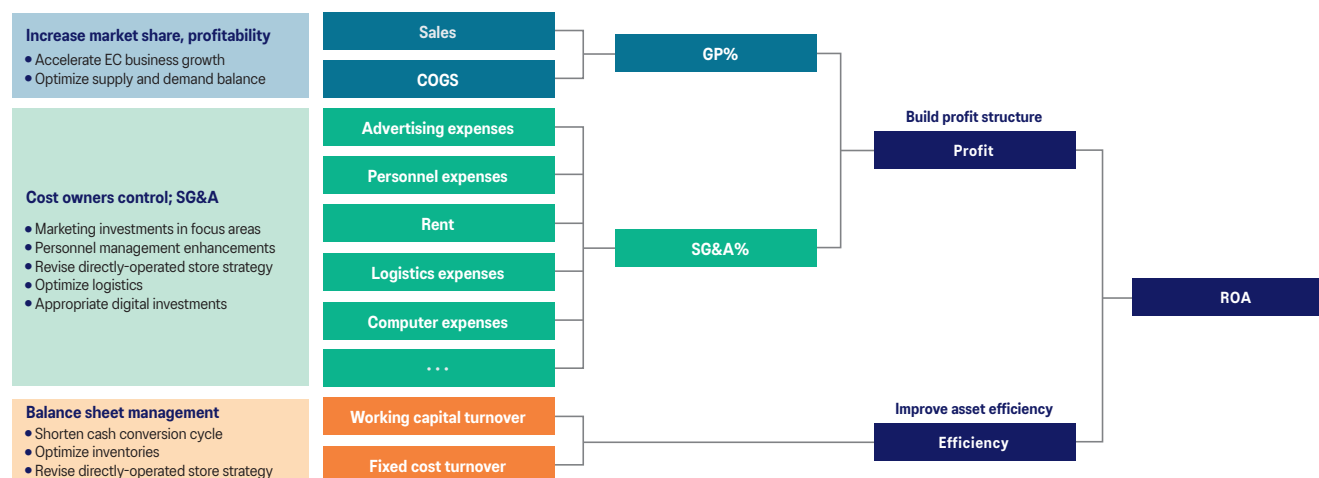
With regard to the allocation of costs in each category, we value transparent accountability, even the depreciation liability on stores and other tangible assets, as well as digital investments and other intangible assets, finely dividing them into costs that can or cannot be controlled, and seeking understanding and buy-in from employees in the field. To address variations in profitability among each category, we took into account industry standards and investor expectations to create a system for the promotion of business operations aimed at achieving the profits expected in each category.

Q In closing, do you have a message for ASICS investors?

ASICS is also putting great effort into IR activities, such as IR meetings with investors held approximately 300 times a year. Top management, including the President, also attaches great importance to dialogues with shareholders and investors, where we will firmly convey the value that ASICS creates and provides to everyone in the market. We believe that sharing feedback from these meetings helps improve ASICS management quality.

For ASICS to achieve VISION 2030, under the Mid-Term Plan 2023, we are targeting in the final year of the plan operating income of 25.0 billion yen and operating income ratio of 6.0% or higher and ROA of 4.0% or higher. We are committed to achieving these goals by any means necessary. We sincerely appreciate your continued understanding and support.

Maximizing ROA with ROA Tree Management



Since working capital is set as an internal target, the working capital turnover rate is shown instead of the current asset turnover rate.

Meeting Stakeholder Expectations and Needs

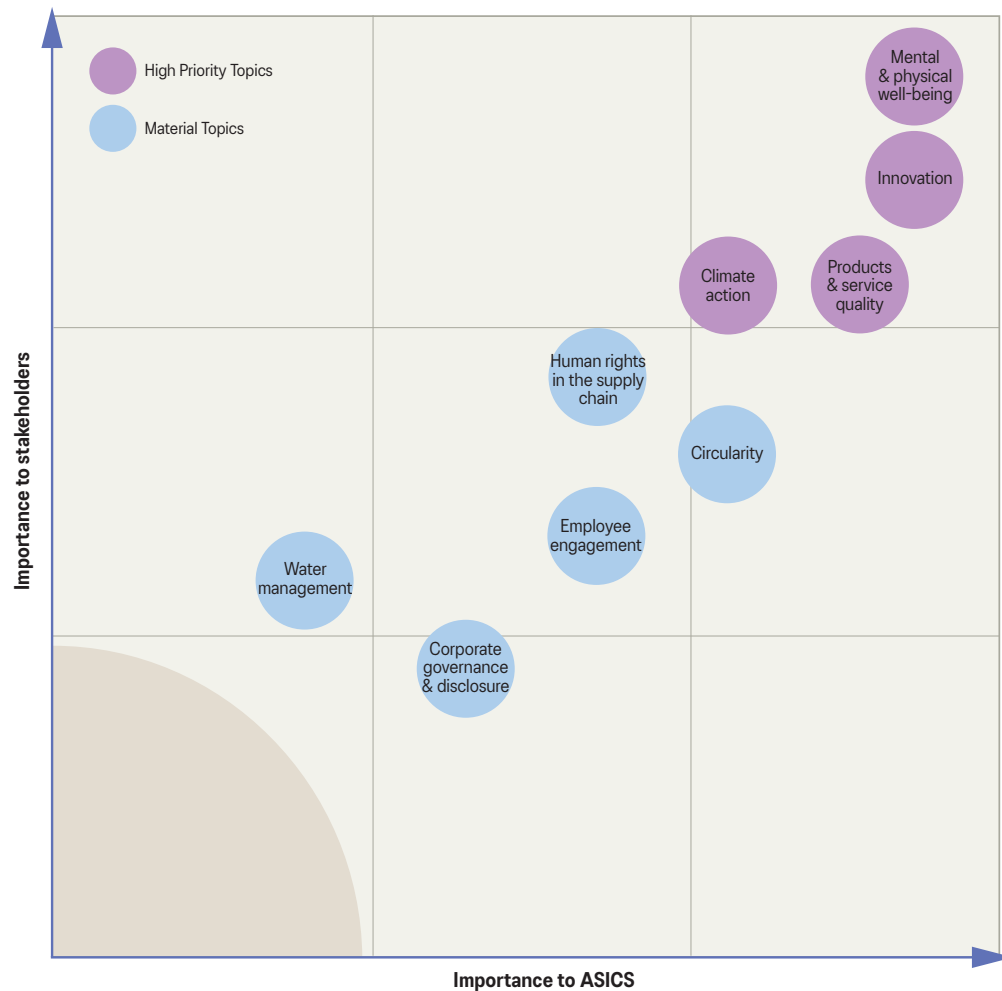
ASICS relationship with stakeholders is the key management resource (capital) underpinning the ASICS business model, business activities and value creation, exerting a substantial influence on ASICS corporate value over the medium to long term.

Through dialogue with all stakeholders, we are working to strengthen ASICS sustainability by understanding their expectations and needs and incorporating them into management.

Stakeholders	Engagement Principles	Expectations and Needs	Communication Activities	Opportunities for Value Co-creation
 Customers	We aim to provide products and services that add value for our customers and contribute to a healthy society.	● Mental and physical well-being ● Innovation ● Product and service quality ● Climate action	● Communications at stores ● Communications on social media ● Customer Service Office	Research and development of innovative products and services based on customer expectations, needs and acquired data
 Shareholders and investors	We believe in transparency in business operations throughout the ASICS Group. We will provide and disclose relevant information in a timely, appropriate, accurate and clear manner.	● Innovation ● Product and service quality ● Climate action ● Supply chain human rights ● Corporate governance and disclosure	● General Meeting of Shareholders ● Responses to Environment, Social and Governance (ESG) ● Financial results briefings ● IR meetings	Increase ability to create value through dialogues and by improving ESG assessments
 Employees	We believe in treating one another with respect and dignity. We strive toward a corporate culture of discipline, creativity and ambition where personal development and corporate growth go hand in hand.	● Mental and physical well-being ● Employee engagement	● Employee engagement surveys ● Training	Accelerate the creation of innovation through the utilization of diverse human resources
 Business partners	We are partnering with our customers, suppliers and other business partners in our value chain. Sustainability improvements depend on collaboration and commitment from all. We engage our business partners to share and solve social and environmental issues together.	● Innovation ● Product and service quality ● Supply chain human rights ● Circularity ● Water management	1. Factories and Suppliers ● Hold regular meetings ● Conduct audits and trainings 2. Sales Customers ● Hold exhibitions 3. Business Collaborations Partners ● Joint research and development	Strengthen relationships with business partners and improve value chain sustainability and resilience. Conduct research and development on innovative products and services through joint research and development
 Communities	While we encourage sports participation, promote health and contribute to a healthy society, we aim to fulfill our social responsibility and help improve conditions for communities around the world.	● Mental and physical well-being	● Volunteering by employees ● Collaboration with NPOs and other organizations ● Community support through donations	Solve issues and deepen connections of people in local communities. Increase brand authenticity by demonstrating the spirit of founding philosophy
 Regulators	All our corporate operations comply with relevant laws and regulations. We adopt processes, systems and structures to support appropriate and efficient operations and decision-making.	● Climate action ● Supply chain human rights ● Corporate governance and disclosure	● Hold meetings to exchange opinions	Contributing to the formation of a fairer, more sustainable industry and society by working together

ASICS implements a materiality assessment program to identify themes important for our stakeholders and business. Further, priorities are assessed on the basis of importance in terms of stakeholders and ASICS corporate strategy.

2020 was the final year of our five-year strategic plan. Our materiality assessment was updated in preparation for the next phase of our business and sustainability strategies.



Interviews and surveys were conducted targeting approximately 500 people comprising external stakeholders such as consumers, business partners, suppliers, investors, NGOs and industrial organizations, as well as internal stakeholders including ASICS senior management and employees. The results of these efforts have been repeatedly discussed internally while incorporating third-party opinions from outside experts. In extracting themes, we also referred to the GRI Standards, which are an international guideline for sustainability reporting. Ultimately, the Sustainability Committee discussed and decided on nine important themes prioritized as follows.

Category		Details
People	Mental and Physical Well-being	▶ P.22 Realizing healthy and fulfilled minds and bodies
	Human Rights in the Supply Chain	▶ P.23 ▶ P.38 Ensuring ethical workplaces, occupational health and safety, and fair compensation
	Employee Engagement	▶ P.31 Promoting employee mental and physical health Respect diversity and inclusion
Products and Services	Innovation	▶ P.30 Pursue innovation in products, services and business models
	Product and Service Quality	▶ P.39 Improving product and service performance Ensuring safety
Environment	Climate Action	Greenhouse gas emissions reductions Shift to renewable energy
	Circularity	▶ PP.21-23 Shift to circular manufacturing and business model
	Water Management	Efficient use of water Prevent water pollution
Governance	Corporate Governance and Disclosure	▶ PP.40-48 Governance enhancements Transparent disclosure

People

Responses to COVID-19 in the Supply Chain

In 2020, the rapid spread of COVID-19 had a tremendous impact on people, regions, societies and economies around the world. The ASICS supply chain was no exception.

Under these crisis conditions, ASICS endorses Action in the Global Garment Industry, which aims to support manufacturers to survive the disruption caused by the COVID-19 pandemic and to protect workers' income, health and employment. The statement was made jointly by the International Organisation of Employees (IOE), International Trade Union Confederation (ITUC), and IndustriALL Global Union, and the action was welcomed by International Labour Organization (ILO).

These efforts include cooperating with the ILO and the "Better Work" program jointly developed by the ILO and IFC to ensure the health and safety of people working at our suppliers.

On a more operational level, we created a Health and Safety Guideline for COVID-19, which we distributed to our suppliers. ASICS employees also regularly conducted assessments of our strategic partners.

In addition to ensuring no delays in ASICS payments for finished products, we encourage suppliers to continue providing employment and compensating employees appropriately.

We are engaged in sincere dialogue with suppliers, to communicate future plans in a timely and transparent way. ASICS will continue to support people working at our suppliers in cooperation with relevant authorities and industry organizations.

ASICS COVID-19 response to supplier factories and workers

https://corp.asics.com/en/csr/partnering_with_our_supply_chain/covid-19

Training and Capacity Building

To build a sustainable supply chain resilient to global crises such as COVID-19, it is essential ASICS supports suppliers in capacity development.

We provide training for our Tier 1 and Tier 2 suppliers so that they can improve social performance such as human rights and occupational health and safety and environmental performance such as greenhouse gas emission reduction over time. Through training, we provide our suppliers the knowledge and understanding necessary to implement new standards, legal requirements and structured management systems, as well as raising awareness of industry trends. Training also supports self-governance of suppliers to aim for sustainable factory management by sharing industry best practices.

Engaging with Partners for Sustainability

As a global brand, we play a highly influential role in our supply chain. We take this role very seriously. In collaboration with a wide range of NGOs and other stakeholders, we are promoting responsible procurement during COVID-19, ensuring human rights, and developing industry alignment common sustainability standards.

Founded by the International Labour Organization (ILO) and the International Finance Corporation (IFC), the Better Work Programme improves labor standards and competitiveness in global supply chains. ASICS has been a partner of Better Work (BW) and Better Factories Cambodia (BFC) since 2014, collaborating on monitoring and raising standards in our supplier factories in Cambodia, Vietnam and Indonesia.

Leverage Industry Standard Tools to Increase Supply Chain Transparency

Continuously increasing transparency not only helps us understand the risks in our supply chain, but also helps our suppliers build a better working environment and increase their productivity. As a member of the Sustainable Apparel Coalition (SAC), which aims to realize sustainability in the industry, ASICS utilizes the Higg Index, an assessment tools of facilities and brands developed by SAC, with the aim of improving the transparency of our activities throughout our value chain, from materials sourcing, manufacturing to retail and beyond.



Products and Services

Priority Initiative: Product and Service Quality

Ensuring Safety

Ensuring the quality and safety of our products continues to be one of our main priorities at ASICS. Throughout our operations, we use a quality assurance and management system to ensure our products comply with all applicable global standards. We continuously improve this system to ensure our products and services continue to meet the requirements of our customers.

We communicate our quality principles and objectives to our employees. Training is an integral part of our quality assurance and management system. Besides training our own employees, we also train and certify staff within our suppliers' facilities. We carry out product liability inspections that cover product safety, the application of quality improvement measures, and descriptions on product labels and promotional materials.



1. Chemical substance management

Together with our suppliers ASICS is strengthening initiatives to ensure chemical safety of products, the environment, and people in each country or district in which we do business. We conduct inspections of chemical safety at our suppliers' facilities and implement the ASICS Guideline for the Control and Use of Chemicals to ensure legal compliance and alignment with industry best practice in chemical management.

2. Adoption of the AFIRM International Restricted Substances List (RSL)

ASICS is a member of the Apparel and Footwear International RSL Management (AFIRM) Group. Through our involvement with AFIRM, we contribute to building and sharing knowledge about chemical management best practice, and supporting activities that help suppliers efficiently manage their risks and compliance regarding restricted chemical substances. Through these efforts, ASICS will proactively communicate the importance of chemical substance management throughout the Japanese sporting goods industry, while working to improve chemical substance management in conjunction with suppliers in Japan.

3. Introduction of Switzerland-based bluesign technologies chemical substance management

ASICS is partnering with the Swiss bluesign technologies as the first Japanese brand to accelerate the use of sustainable materials and chemicals in its products. We improve sustainability in product development and manufacturing by utilizing bluesign' leading assessment tools for chemical management.

4. Activity for perfluorinated compound (PFC)

To protect both the environment and the human body, ASICS has gradually decreased the usage of Durable Water Repellent (DWR) with Per- and Polyfluorinated Compounds (PFCs) since 2016. On top of that, all products produced from 2020 onwards will aim to be 100% PFCs free.

ASICS will continue to produce products with consideration of the environment and human health to pursue and contribute to a sustainable society.

5. Best Contributors to Product Safety Awards

In high regard for efforts to maintain product safety, ASICS was recognized as one of the Best Contributors to Product Safety in 2020, receiving the Excellence Award (Committee Award) from the Japanese Ministry of Economy, Trade and Industry (METI). The Best Contributors to Product Safety Awards are selected by METI for outstanding efforts toward product safety by companies such as manufacturers proactively engaged in product safety.

For details, please see the Sustainability Report
https://corp.asics.com/en/csr/csr_reporting

Basic Approach

The ASICS Group strives to continuously enhance its corporate value and become a Company even more trusted by its shareholders and all other stakeholders. To this end, ASICS corporate governance aims to realize quick, agile and highly transparent management, through which we will improve our business managements system enhance our supervisory and audit function and internal controls pertaining to corporate management, ensure thorough compliance and make sincere efforts to improve the transparency of management activities and reflect the perspective of shareholders in Company management.

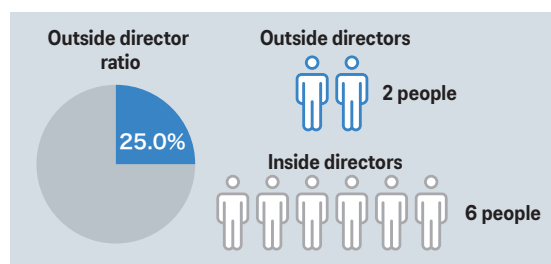
For details, please see the Corporate Governance Report.

https://corp.asics.com/jp/investor_relations/management_policy/corporate_governance

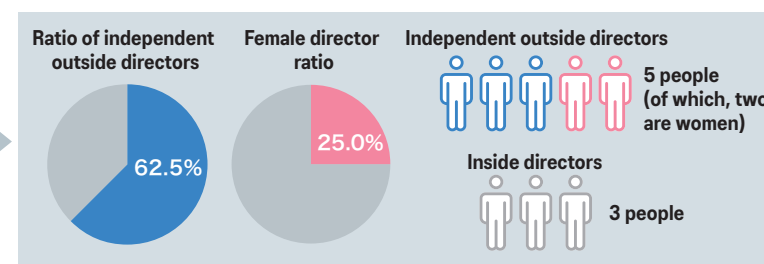
Corporate Governance Enhancements

	Up to 2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Separation of Management Supervision and Execution	Introduced executive officer system (2010)									Transitioned to a company with an Audit and Supervisory Board (2020)
Outside Directors	Introduced outside director system (2011)			Established standards for independent outside directors and independent outside corporate auditors (2014)				Formulated policy making more than one-third of directors' independent outside directors (2018)		Formulated policy making the majority of directors independent outside directors (2020)
Advisory Committee						Established Nomination and Compensation Committee (2016)			Changed to independent outside director as Chairman (2019)	
Board of Directors Management						Launched efficacy evaluations (2016)				
Officer Compensation	Introduced performance-linked compensation (2008)		Revised director compensation (2013) Introduced share compensation stock options (2013)						Introduction of restricted share compensation (2019)	
Basic Policies						Formulated Corporate Governance Basic Policy (2016)				

2011



From 2020



Corporate Governance System

With the approval of shareholders at the 66th Ordinary General Meeting of Shareholders held on March 27, 2020, ASICS transitioned to a company with an Audit and Supervisory Board to clarify the separation between management supervision and execution, and speed up decision-making. By making the majority of directors outside directors, we have increased management's sense of urgency and strengthened the supervisory function of the Board of Directors. As a result, we are striving to enhance corporate value over the medium to long term through effective corporate governance.

The Board of Directors consists of eight members, with five independent outside directors constituting the majority. Further, to clarify the management responsibilities of each director and create a management system able to quickly respond to changes in the business environment, the term of office for directors (excluding directors who are Audit and Supervisory Board members) is one year, while the term of office for directors who are Audit and Supervisory Board members is two years. The Audit and Supervisory Board shall consist of three members, the majority of whom are independent outside directors (2 people) to further enhance audit and supervisory functions.

Board of Directors

In light of our fiduciary responsibilities and accountability to shareholders, the ASICS Board of Directors focuses mainly on supervising business execution to realize sustainable growth and enhance corporate value over the medium to long term. The Board of Directors shall consist of a majority of independent outside directors.

Audit & Supervisory Committee

Taking into account fiduciary responsibilities to shareholders, the Audit and Supervisory Board fulfills the following roles from an independent and objective standpoint:

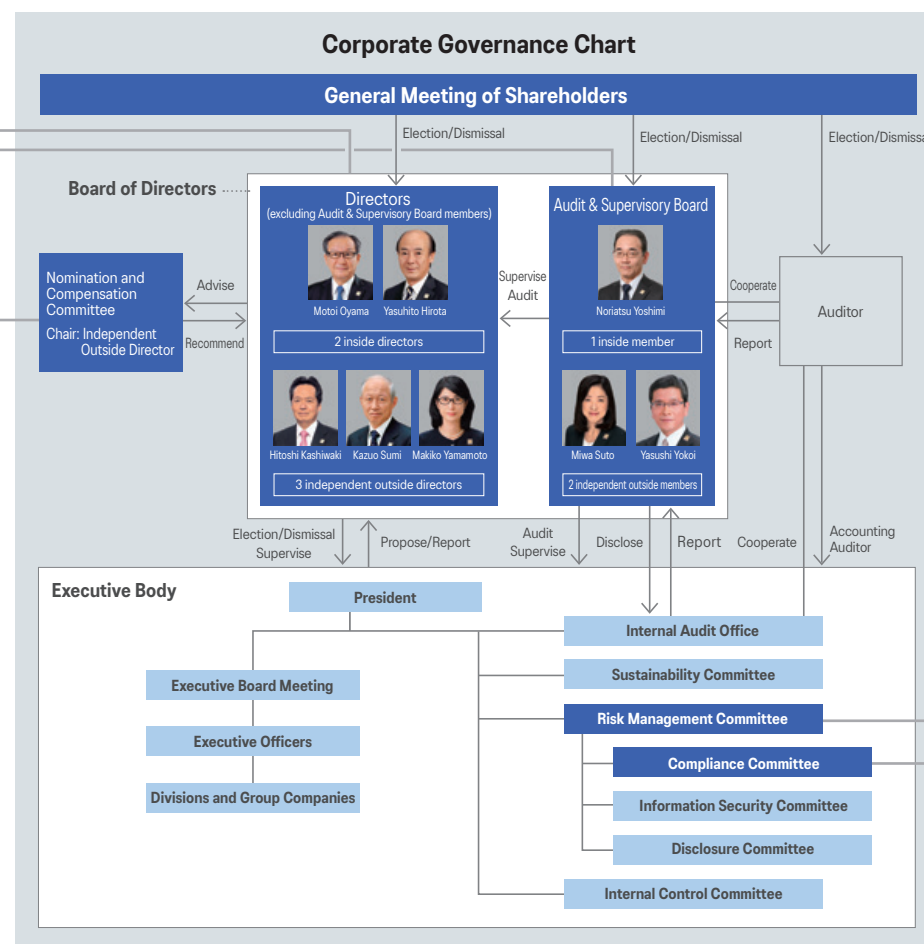
- (1) Audit and supervision of the execution of duties by the Board of Directors and executive officers
- (2) Appointment and dismissal of accounting auditors
- (3) Exercise of authority related to auditor compensation

Audit and Supervisory Board members must have sufficient experience and expertise to conduct appropriate audits of business execution, and shall appoint one or more persons who have considerable knowledge of finance and accounting.

Nomination and Compensation Committee

Nomination and Compensation Committee members; seven people (of which, five are independent outside directors)

ASICS established a Nomination and Compensation Committee to ensure fairness and transparency in the nomination of directors and executive officers and the determination of compensation. The majority of Nomination and Compensation Committee members are independent outside directors, with the chairperson selected from among independent outside directors by a resolution of the Nomination and Compensation Committee. The Board of Directors resolves the nomination and compensation of directors and executive officers, respecting the opinions of the Nomination and Compensation Committee.



Risk Management Committee

Based on risk management regulations, the ASICS Group established a Risk Management Committee and Risk Management Team chaired by the President. Please see P. 42 for details.

Compliance Committee

The ASICS Group established a Compliance Committee that, in addition to comprehensive and cross organizational compliance efforts, assists officers and employees ensure proper business practices and provides education and guidance through training.

Further, the ASICS Group also established a global whistleblowing system independent of management. In the event an employee becomes aware of conduct that deviates from the ASICS Global Code of Conduct or other rules and regulations pertaining to compliance, upon receipt of the report the Compliance Committee promptly looks into and rectifies the situation.

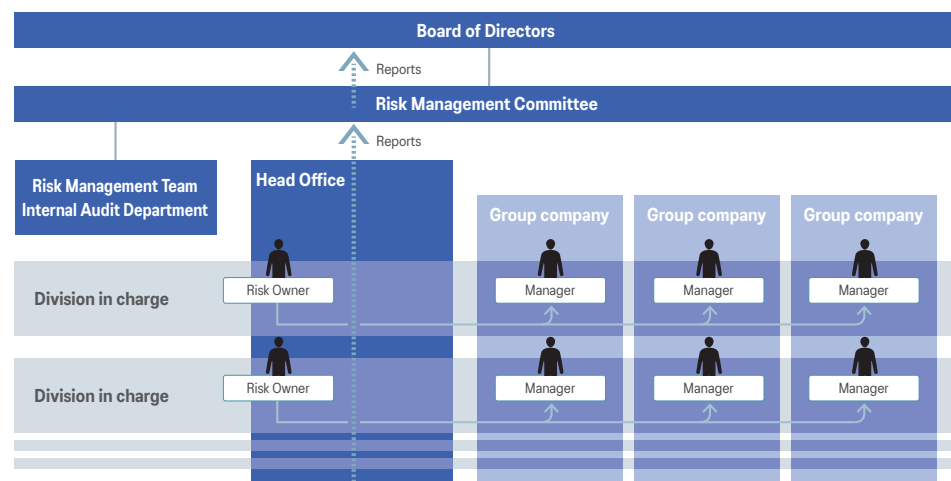
Risk Management

To realize Mid-Term Plan 2023, the ASICS Group has implemented a system for effectively handling external and internal risk factors that have the potential to influence the achievement of our objectives.

Risk Management System

To avoid crises and minimize losses when crises occur, the Risk Management Committee identifies risks requiring responses prioritized in accordance with business strategies, determines the Division in charge, and comprehensively manages risks. These activities are also reported to the Board of Directors twice annually. Risk Owners selected from each Division lead mitigation efforts pertaining to the risks in their remit and manage the progress of these efforts. The Risk Management Team works with the Internal Audit Department to monitor overall risk management and ensure its efficacy and appropriateness.

Risk Management System

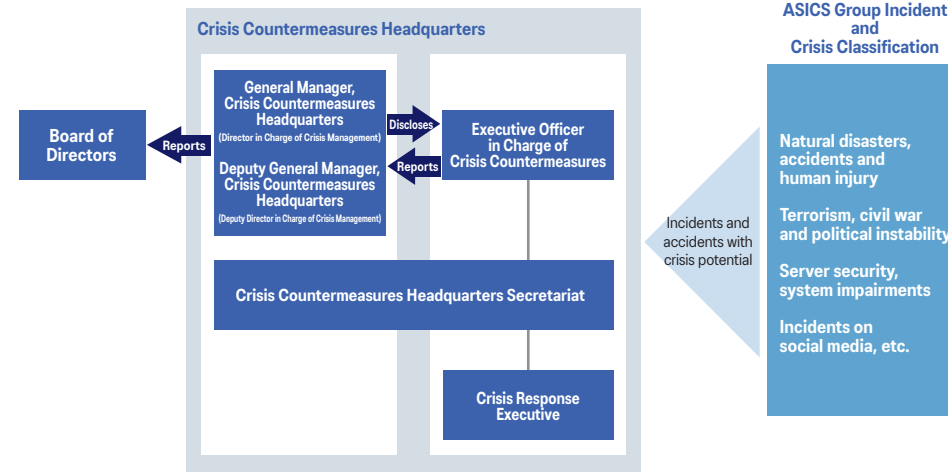


Crisis Management System

The ASICS Group appointed a Director in Charge of Crisis Management based on the Crisis Management Rules. When the Director in Charge of Crisis Management becomes aware of a potential or actual crisis, a report is promptly submitted to the Chairman and President via methods and channels stipulated in the aforementioned Rules, which also call for the establishment of a Crisis Response Headquarters in response to the severity of the crisis. Further, the Director in Charge of Crisis Management determines crisis countermeasure policies and communications strategies, oversees external negotiations and disclosure, and directs the implementation of countermeasures and improvements efforts.

At present, ASICS has established a Crisis Countermeasures Headquarters to respond to COVID-19. It collects information from around the world on an ongoing basis, thoroughly implements infection countermeasures to protect customers, officers and employees, cooperates with local communities and Divisions, identifies business risks posed by COVID-19 and formulates countermeasures in an effort to minimize losses in our business activities.

Crisis Management System



Major Risks and Response Measures

Major risks and countermeasures recognized by the ASICS Group as having a large impact on business and necessitating a priority response are as follows.

	Risks	Response Measures
Risks related to intellectual property	Deterioration of corporate and/or brand image due to infringement of intellectual property rights	● Establish strategic management system to protect intellectual property rights ● Conduct intellectual property rights education for employees
Risks related to the handling of personal information	Loss of credibility due to leakage of customer and/or employee personal information	● Submit Binding Corporate Rules to EU authorities for approval ● Establish thorough rules for and management of the handling of personal information ● Conduct personal information education for employees
Risks related to information security	Suspension of sales operations and loss of credibility due to divulgence and/or leakage of personal information and/or trade secrets	● Strengthen information security with a dedicated security team
Risks related to CSR (human rights, environment)	Non-compliance with labor standards and non-compliance with hazardous / restricted chemical substances in the supply chain causes deterioration of corporate and brand image	● Ensure thorough compliance with international labor standards at outsourced production facilities ● Strengthen control of harmful or restricted chemical substances in products and manufacturing processes
Risks related to the supply chain	Risk of losing sales due to supply disruptions caused by natural or man-made disasters affecting the supply chain	● Purchase logistics insurance to mitigate property damage ● Formulate and execute a recovery plan in preparation for emergencies
Risks related to exchange rate volatility	Risk of currency exchange losses due to foreign currency exposure	● Enhance monitoring of global currency exchange exposure ● Purchase short- and long-term forward foreign exchange contracts
Risks related to illegal activities	Restrictions on business activities imposed as a result of legal, ethical or international rule violations	● Ensure dissemination and thorough compliance with the ASICS Global Code of Conduct ● Establish internal systems of control
Risks related to wide-scale natural and other disasters	Deterioration of financial condition due to large-scale natural disaster	● Formulate business continuity plan (BCP) to strengthen response capabilities



Hitoshi Kashiwaki
Chairman, Nomination
and Compensation Committee
Outside Director

With due consideration for social demands and changes in the external environment, I will contribute to the enhancement of ASICS corporate value through invigorating strategic discussions based on objective analysis.

Q Can you characterize ASICS governance in terms of strengths and areas that need improvement?

And how do you feel about the atmosphere on the Board of Directors?

The ASICS Board of Directors comprises a majority of independent outside directors and is diverse in terms of expertise, experience, age and other factors. Board discussions are extremely lively, with frank exchanges of opinion, maintaining a balanced perspective on management execution and supervision. Additionally, the operation and efficacy of the Board of Directors is evaluated each year, with results shared internally and issues clarified, promptly leading to future improvements.

Q How do you see your role as an ASICS outside director?

I am involved in developing governance based on my experience and knowledge in the information services industry, and proactively support senior management efforts to enhance corporate value over the medium to long term. As the Chairman of the Nomination and Compensation Committee, I strive to actively manage committee proceedings and express my opinions to heighten management fairness and transparency.

Q What needs to be discussed at Board of Director meetings going forward?

We regularly monitor progress toward VISION 2030, but if it becomes necessary to review these measures, we will discuss them as appropriate, taking into consideration plan progress and growing social demands.

Q In conclusion, how will contribute to ASICS management going forward?

To make management decisions that are not based purely on prior experience, I incorporate third-party perspectives and analyze risks and opportunities objectively and logically in an effort to offer recommendations enabling ASICS to maximize its potential and contribute to sustainable growth.

Director and Executive Officer Specialization and Experience

The ASICS Group promotes diversity and inclusion globally with the aim of realizing truly better lifestyles for people through the respect and elevation of diversity.

In terms of sustainable corporate growth, ensuring diversity, even among Board of Director and Executive Board Meeting members, will lead to better management decisions.

Board of Directors

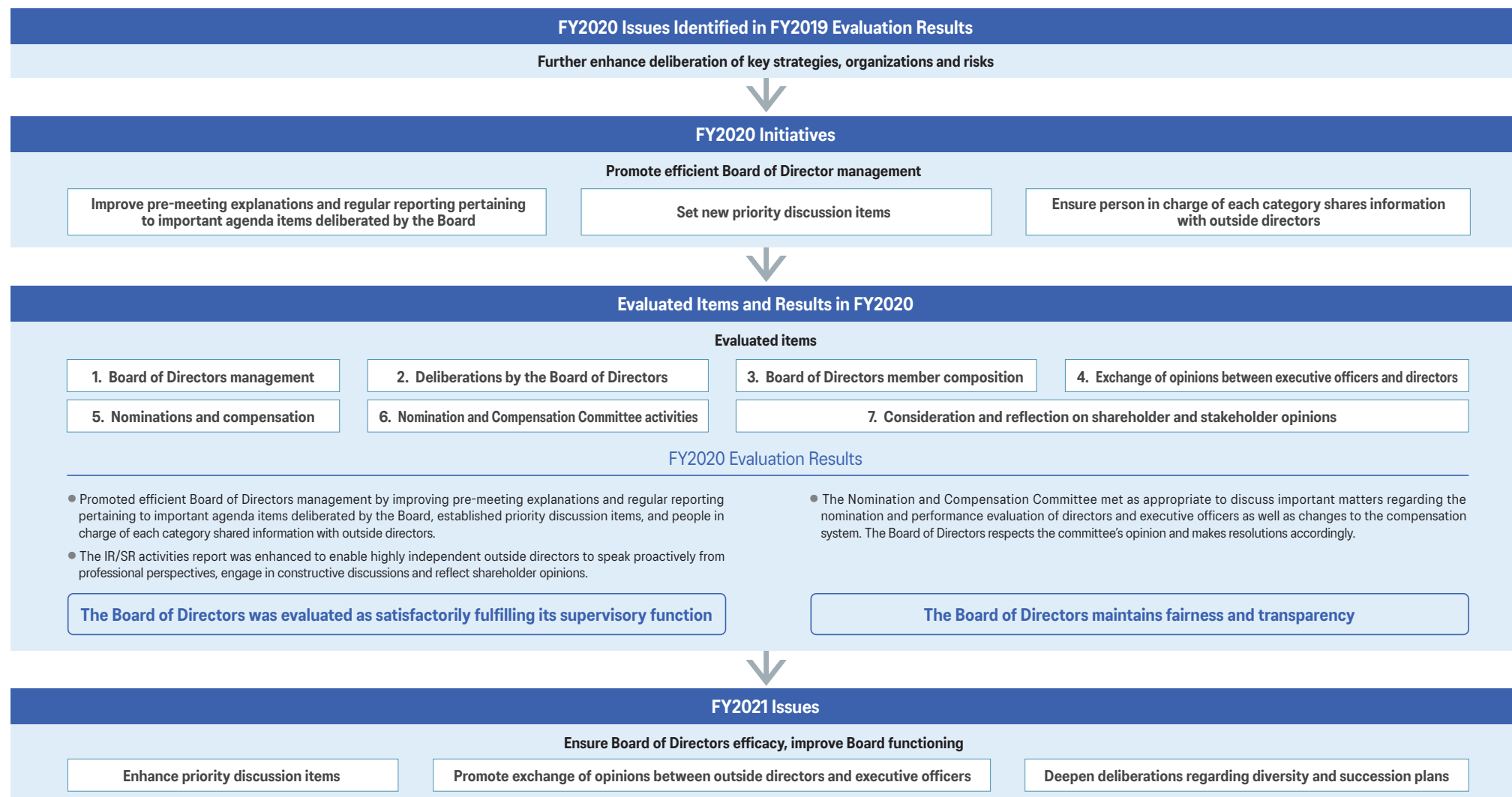
Name	Position	Specialization and Experience			
		Corporate management	Financial accounting	Law	International affairs
Motoi Oyama	Chairman and CEO, Representative Director	●	●		●
Yasuhito Hirota	President and COO, Representative Director	●			●
Hitoshi Kashiwaki	Outside Director	●	●		
Kazuo Sumi	Outside Director	●			
Makiko Yamamoto	Outside Director			●	●
Noriatsu Yoshimi	Director (Audit and Supervisory Committee Member)		●		●
Miwa Suto	Outside Director (Audit and Supervisory Committee Member)		●		
Yasushi Yokoi	Outside Director (Audit and Supervisory Committee Member)		●		

Executive Officers with Roles

Name	Position	Specialization and Experience			
		Products	Marketing and sales	Digital	International affairs
Tsuyoshi Nishiwaki	Senior Managing Director	●			●
Naoki Matsushita	Managing Executive Officer		●		
Shinji Senda	Managing Executive Officer	●			●
Ryoji Shoda	Managing Executive Officer	●	●		
Mitsuyuki Tominaga	Managing Executive Officer			●	●
Koichiro Kodama	Managing Executive Officer		●		●

Evaluating the Efficacy of the Board of Directors

To further improve the efficacy and functioning of the Board of Directors, ASICS provides directors and Audit & Supervisory Board members with surveys (self-evaluations) to analyze and evaluate the effectiveness of the Board of Directors. Survey results are reported to the Board of Directors for in-depth discussion as points for improvement in the upcoming fiscal year, forming a PDCA cycle.



Basic Policy Regarding Director (excluding Directors who are Audit & Supervisory Board Members) and Executive Officer Compensation

To establish a compensation system that incentivizes sustainable growth and enhanced corporate value, the Board of Directors discusses the details of individual compensation under a basic policy of fairness and transparency in resolutions respecting the opinions of the Nomination and Compensation Committee.

Compensation comprises basic compensation, performance-linked bonuses and restricted share compensation, with the overall level of compensation set appropriately with consideration for market standards. The proportion of performance-linked bonuses and restricted share compensation increases with higher degrees of contribution to performance in accordance with role and responsibilities. Compensation details are as follows.

Executive Officer Compensation (assuming 100% target achievement)

	Basic Compensation	Performance-Linked Bonuses	Restricted Share Compensation
President and COO	41%	35%	24%
Managing Executive Officers	49%	32%	19%
Executive Officers	59%	26%	15%

Basic compensation (single year)

Determined on basis of compensation ranges set for each grade, with consideration for market prices and inflation.

Performance-linked bonus (single year)

Purpose	To provide an incentive for promoting the achievement of annual and mid-term plans.
Overview	- Quantitative evaluation: Individual performance indicators (operating income ratio, net sales) - Qualitative evaluation: Rate of achievement for individual targets Note: Performance-linked bonuses are withheld if the quantitative target achievement rate is below standards set by the Board of Directors.

Restricted share compensation (medium to long term)

Purpose	To provide an incentive for sharing profits with shareholders, driving sustainable growth and enhancing corporate value.
Overview	- Provided in accordance with the degree to which performance targets (operating income ratio, net sales, ROA) are achieved. - Share allotments capped at performance target upper limit (150%) cannot be transferred during a three-year transfer-restriction period. - The degree to which single-year performance targets are achieved will determine the number of shares that can actually be acquired after the transfer-restriction period expires. *If the target achievement rate falls below a certain level, the company will acquire all shares.

Nomination and Compensation Committee Composition and Activities Status

The Nomination and Compensation Committee composition and activities status are as follows. The chairman is selected from among independent outside directors by a resolution of the Nomination and Compensation Committee.

Member composition

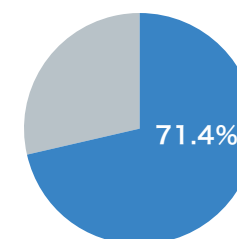
Independent outside directors: 5 people

Hitoshi Kashiwaki (Chairman)
Kazuo Sumi
Makiko Yamamoto
Miwa Suto
Yasushi Yokoi

Inside directors: 2 people

Motoi Oyama, Chairman and CEO, Representative Director
Yasuhiro Hirota, President and COO, Representative Director

Independent outside director ratio



(2020 activity status)

Meetings: 5 times

Major deliberation themes

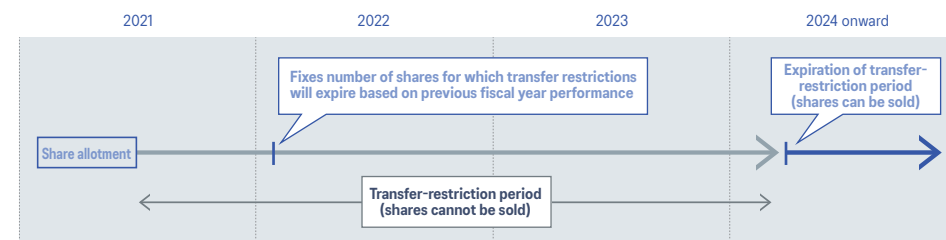
Director and executive officer FY2019 performance evaluations and performance-linked bonuses
Director and executive officer FY2020 targets
Director and executive officer candidate nominations

Review of the compensation system for directors and executive officers
Section plan review

Restricted Share Compensation

Restricted share compensation is a stock-based compensation with a transfer-restriction period (three years for ASICS) during which allotted shares cannot be transferred. As this is incentive compensation intended to promote medium- to long-term performance improvements and higher share prices, ASICS expects officers receiving restricted share compensation will be motivated to strive for medium- to long-term performance improvements.

Overview from Share Allotment to Expiration of Transfer-Restriction Period



Directors and Executive Officers (as of April 1, 2021)

Directors



Motoi Oyama

Chairman and CEO, Representative Director

ASICS shareholdings: 199,780 shares
Board of Directors
meeting attendance: 13/13 (100%)

April 1974 Joined Nissho Iwai Corporation (currently Sojitz Corporation) (Retired December 1981)
January 1982 Joined the Company
January 1997 General Manager of Walking Department, Footwear Division
July 2001 President and Chief Operating Officer of ASICS Europe B.V.
June 2004 Director, Senior General Manager of Marketing Division of the Company
President and Chief Operating Officer of ASICS Europe B.V.
April 2005 Director in charge of Overseas, Senior General Manager of Marketing Division, General Manager of Marketing Department of the Company
Chairman & CEO of ASICS Europe B.V.
July 2006 Managing Director in charge of Overseas Affairs, Senior General Manager of Marketing Division of the Company
Chairman & CEO of ASICS Europe B.V.
August 2007 Managing Director in charge of Overseas and Corporate Strategy Department, Senior General Manager of Marketing Division of the Company
Chairman & CEO of ASICS Europe B.V.
April 2008 President and Representative Director of the Company
April 2011 President and CEO, Representative Director
March 2017 Chairman, President and CEO, Representative Director
March 2018 Chairman and CEO, Representative Director (present)



Hitoshi Kashiwaki

Outside Director

ASICS shareholdings: 8,052 shares
Board of Directors
meeting attendance: 13/13 meetings (100%)

April 1981 Joined Japan Recruit Center Co., Ltd. (currently Recruit Holdings Co., Ltd.)
April 1994 General Manager of Finance Department of Recruit Co., Ltd. (currently Recruit Holdings Co., Ltd.)
June 1997 Board Director, ASICS Corporation
June 2001 Board Director and Managing Corporate Executive Officer
April 2003 Representative Director and Managing Corporate Executive Officer (COO)
June 2003 President, COO, and Representative Director
April 2004 President, CEO, and Representative Director
April 2012 Board Director (Retired in June 2014)
December 2012 Outside Director, Member of the Board of Suntory Beverage & Food Limited (Retired March 2015)
August 2015 Advisor of the Company
March 2016 Outside Director of the Company (present)
May 2016 Outside Director of Matsuya Co., Ltd. (present)
June 2018 Outside Director of Tokyo Broadcasting System Holdings, Inc. (currently TBS Holdings Co., Ltd.) (present)
June 2019 Board Member of Japan Volleyball Association (present)
February 2021 Outside Director of Kewpie Corporation (expected)

Important concurrent positions outside the Company

Outside Director of Matsuya Co., Ltd.
Outside Director of TBS Holdings, Inc.
Board Member of Japan Volleyball Association
Outside Director of Kewpie Corporation (expected)



Yasuhito Hirota

President and COO, Representative Director

ASICS shareholdings: 72,497 shares
Board of Directors
meeting attendance: 13/13 meetings (100%)

April 1980 Joined Mitsubishi Corporation
April 2010 Senior Vice President, General Manager of Corporate Administration Department
April 2011 Senior Vice President, Senior Assistant to Corporate Functional Officer, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources, General Manager of Corporate Administration Department
April 2014 Executive Vice President, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources
June 2014 Representative Director, Member of the Board, Executive Vice President, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources
April 2016 Representative Director, Member of the Board, Executive Vice President, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources, Chief Compliance Officer
April 2017 Representative Director, Member of the Board, Executive Vice President, Corporate Functional Officer, Geography Strategy for Japan, General Manager of Kansai Branch (Retired in January 2018)
January 2018 Advisor, ASICS Corporation
March 2018 President and COO, Representative Director, ASICS Corporation (present)



Kazuo Sumi

Outside Director

ASICS shareholdings: 5,580 shares
Board of Directors
meeting attendance: 12/13 meetings (92.3%)

April 1973 Joined Hankyu Corporation
June 2000 Director, General Manager of Railway Business Division
April 2002 Director, General Manager of Railway Business Division and General Manager of Control Division
June 2002 Managing Director, in charge of Railway Business Division and Control Division
June 2003 President and Representative Director
April 2005 President and Representative Director of Hankyu Holdings, Inc.
October 2006 President and Representative Director of Hankyu Hanshin Holdings, Inc.
October 2007 Director of H2O RETAILING CORPORATION (present)
March 2014 Chairman and Representative Director of Hankyu Corporation (present)
June 2017 Chairman and Representative Director, Group CEO of Hankyu Hanshin Holdings, Inc. (present)
March 2018 Outside Director of the Company (present)
May 2019 Director of TOHO CO., LTD. (present)
April 2020 Director of TOKYO RAKUTENCHI Co., Ltd. (present)

Important concurrent positions outside the Company

Chairman and Representative Director, Group CEO of Hankyu Hanshin Holdings, Inc.
Director of H2O RETAILING CORPORATION
Director of TOHO CO., LTD.
Director of TOKYO RAKUTENCHI Co., Ltd. (present)



Makiko Yamamoto

Outside Director

ASICS shareholdings: 597 shares
Board of Directors
meeting attendance: 9/9 (100%)

July 1995 Joined TMI Associates
October 2000 Registered as attorney at law
September 2005 Simmons & Simmons LLP (London)
September 2006 TMI Associates
February 2012 Registered as Solicitor of England and Wales
June 2012 Simmons & Simmons LLP (London)
September 2014 TMI Associates
January 2016 Partner of TMI Associates (present)
June 2016 External Auditor of Starzen Co., Ltd. (Retired June 2020)
April 2018 Guest Professor of Musashino University (present)
June 2018 Outside Director of SIGMAXYZ Inc. (present)
June 2019 Outside Director (Audit & Supervisory Committee Member) of Musashi Seimitsu Industry Co., Ltd. (present)
March 2020 Outside Director of the Company (present)

Important concurrent positions outside the Company

Attorney at Law (TMI Associates)
Outside Director of SIGMAXYZ Inc.
Outside Director (Audit & Supervisory Committee Member) of Musashi Seimitsu Industry Co., Ltd.

Directors and Executive Officers (as of April 1, 2021)

Directors



Noriatsu Yoshimi

Director (Audit and Supervisory Board Member)

ASICS shareholdings: 10,679 shares
Board of Directors
meeting attendance: 9/9 (100%)
Audit & Supervisory Board
meeting attendance: 11/11 (100%)

April 1983 Joined ASICS Corporation
December 2005 Deputy General Manager, Jiang Su ASICS Co., Ltd.
October 2008 Deputy General Manager of Jiang Su ASICS Co., Ltd.; Deputy General Manager of ASICS Shanghai Trading Co., Ltd.
April 2010 General Manager of Internal Audit Office of the Company, ASICS Corporation
January 2020 Assistant to General Manager of Internal Audit Office, ASICS Corporation (present)
March 2020 Director, (Full-time Audit and Supervisory Board Member), ASICS Corporation (present)



Miwa Suto

Outside Director (Audit and Supervisory Board Member)

ASICS shareholdings: 146 shares
Board of Directors
meeting attendance: 13/13 (100%)
Audit & Supervisory Board
meeting attendance: 3/3 (100%)

April 1988 Joined Hakuodo Inc. (Retired April 1990)
October 1991 Joined Arthur Andersen (currently KPMG AZSA LLC) (Retired August 1996)
April 1995 Registered as certified public accountant
October 1996 Joined Schroder PTV Partners KK (currently MKS Partners Limited) (Retired October 1997)
November 1997 Joined Bain & Company
January 2001 Partner, Bain & Company (Retired March 2006)
April 2006 Established Planet Plan Co., Ltd., Representative Director (present)
April 2008 Project Professor, Graduate School of Media and Governance of Keio University (Retired March 2018)
May 2012 Outside Director, ZIGEXN Co., Ltd. (present)
June 2016 Outside Director (Audit and Supervisory Committee Member), A.D. Works Co., Ltd. (Retired June 2020)
June 2017 Board Member, Japan Volleyball Association (present)
March 2018 Outside Audit & Supervisory Board Member, ASICS Corporation (resigned March 2020)
April 2019 Project Professor, Graduate School of Media and Governance of Keio University (present)
March 2020 Outside Director (Audit and Supervisory Board Member), ASICS Corporation (present)

Important concurrent positions outside the Company

Certified public accountant
Representative Director, Planet Plan Co., Ltd.
Outside Director, ZIGEXN Co., Ltd.
Board Member, Japan Volleyball Association



Yasushi Yokoi

Outside Director (Audit and Supervisory Board Member)

ASICS shareholdings: 597 shares
Board of Directors
meeting attendance: 9/9 (100%)
Audit & Supervisory Board
meeting attendance: 11/11 (100%)

November 1978 Joined Shinwa Audit Corporation (currently KPMG AZSA LLC)
March 1982 Registered as certified public accountant
May 2001 Representative Partner, Asahi & Co. (currently KPMG AZSA LLC)
July 2005 Director of Kansai Area Office of KPMG AZSA & Co. (currently KPMG AZSA LLC)
July 2007 Director of National Public Sector of KPMG AZSA & Co. (currently KPMG AZSA LLC)
July 2008 Director, KPMG AZSA LLC
July 2010 Director, General Manager of Osaka 2nd Business Division, KPMG AZSA LLC
July 2012 Senior Executive Board Member in charge of Diversity and General Manager of Nagoya Office, KPMG AZSA LLC
July 2017 Senior Executive Board Member, Head of Diversity and Head of Tokai Area, KPMG AZSA LLC (Retired June 2019)
July 2019 Established Yasushi Yokoi Certified Public Accountant Office
March 2020 Outside Director (Audit and Supervisory Board Member), ASICS Corporation (present)

Important concurrent positions outside the Company

Certified Public Accountant (Yasushi Yokoi Certified Accountant Office)

Executive Officers

Yasuhiro Hirota

President and COO

Tsuyoshi Nishiwaki

Senior Managing Director, China Division
In charge: China Division

Naoki Matsushita

Managing Executive Officer
In charge: Marketing Division, Sports Marketing Division

Shinji Senda

Managing Executive Officer
In charge: Institute of Sport Science, Performance Running Footwear Division, CPS Footwear Division, Sports Style Footwear Division, Apparel and Equipment Division, Footwear Production Division, WOMEN'S CREATIVE STUDIO, Kids Products Department

Ryoji Shoda

Managing Executive Officer, Head of Onitsuka Tiger Company
In charge: Onitsuka Tiger Company, Walking Division

Mitsuyuki Tominaga

Managing Executive Officer
Senior General Manager, IT Division (for digital function management: CDO)
In charge: IT Division, Digital Promotion Department, ASICS Digital, Race Roster

Koichiro Kodama

Managing Executive Officer
In charge: Crisis Management, Geography Strategy Division, Retail Promotion Department, Sales subsidiaries, ASICS TRADING Co., Ltd., Haglofs

Norio Takaoka

Executive Officer
Senior General Manager, Performance Running Footwear Division

Manabu Kuramoto

Executive Officer
Senior General Manager, Core Performance Sports Footwear Division

Atsushi Takatsuki

Executive Officer
Senior General Manager, Apparel and Equipment Division

Yoshiyuki Murakami

Executive Officer
Senior General Manager, Footwear Production Division

Kenichi Harano

Executive Officer
Senior General Manager, Institute of Sport Science

Tomoko Koda

Executive Officer
Senior General Manager, Marketing Division

Takaaki Kondo

Executive Officer
Senior General Manager, Digital Alliance Promotion Department and Deputy Director in charge of Digital

Yotaro Taguchi

Executive Officer
Senior General Manager, Geography Strategy Division

Masaaki Koizumi

Executive Officer
Senior General Manager, Business Promotion Division

Koji Hayashi

Executive Officer
Senior General Manager, Accounting and Finance Division
(In charge of Corporate Strategy)

Akihiko Sadaka

Executive Officer
Senior General Manager, Human Resources and General Affairs Division

Takeshi Horikomi

Executive Officer
Senior General Manager, Legal & IP Division and Deputy Director in charge of Crisis Management

Junji Kobayashi

Executive Officer
Senior General Manager, Walking Division, and President, Representative Director of ASICS Japan Corporation

Carsten Unbehaun

Executive Officer
CEO, ASICS Europe B.V.

Hilda Chan

Executive Officer
Managing Director, ASICS China Trading Co., Ltd.

Financial Summary

(Million yen)	2011/3	2012/3	2013/3	2014/3	2014/12	2015/12	2016/12	2017/12	2018/12	2019/12	2020/12
Financial Data											
Net Sales	¥235,349	¥247,793	¥260,199	¥329,465	¥354,052	¥428,496	¥399,107	¥400,158	¥386,662	¥378,051	¥328,784
Overseas Net Sales Ratio	62.6%	62.7%	63.9%	69.5%	80.5%	76.4%	74.6%	74.7%	74.0%	73.5%	76.7%
Operating Income	21,574	19,629	18,663	26,516	30,467	27,449	25,473	19,571	10,516	10,634	-3,954
Ordinary Income	19,467	19,702	20,526	26,999	34,302	22,533	23,408	21,738	8,763	10,101	-6,923
Profit Attributable to Owners of the Parent	11,046	12,618	13,773	16,108	22,286	10,238	15,567	12,970	-20,328	7,097	-16,126
Depreciation and Amortization	4,149	4,940	4,904	6,034	6,288	7,819	8,354	9,363	9,893	12,917	13,714
R&D Expenses	779	813	772	804	2,120	3,195	3,677	4,430	4,501	4,530	4,642
Cash Flows from Operating Activities	9,553	10,240	14,296	6,393	10,720	18,301	37,971	37,137	11,049	14,792	19,331
Cash Flows from Investing Activities	-25,151	-3,563	-8,056	-13,735	-9,845	-8,707	-14,046	-13,789	-5,467	-12,186	-9,634
Free Cash Flow	-15,598	6,677	6,240	-7,342	875	9,594	23,925	23,348	5,582	2,606	9,697
Total Dividends	1,896	2,275	2,275	3,227	4,461	4,461	4,461	4,461	4,529	5,555	4,393
Net Assets	106,369	115,315	138,078	159,567	201,941	199,883	201,207	201,302	166,829	152,323	126,764
Total Assets	200,790	212,344	244,725	317,528	355,837	343,468	342,812	348,232	304,461	316,115	333,181
Interest-Bearing Debt	37,622	37,878	39,374	73,664	75,003	68,486	67,908	61,689	57,388	80,599	122,999
Per Share Data (yen)											
Net Income per Share	58.26	66.55	72.65	84.96	117.40	53.93	82.01	68.33	-107.59	37.91	-88.17
Net Assets per Share	524.91	569.39	685.10	834.68	1,058.94	1,045.02	1,053.28	1,051.45	873.43	830.40	689.57
Annual Dividend per Share	10.00	12.00	12.00	17.00	23.50	23.50	23.50	23.50	24.00	30.00	24.00
Main Indexes											
Operating Income Ratio	9.2%	7.9%	7.2%	8.0%	8.6%	6.4%	6.4%	4.9%	2.7%	2.8%	-1.2%
Return on Equity	11.1%	12.2%	11.6%	11.2%	12.4%	5.1%	7.8%	6.5%	-11.2%	4.5%	-11.6%
Return on Assets	5.7%	6.1%	6.0%	5.7%	6.6%	2.9%	4.5%	3.8%	-6.2%	2.3%	-5.0%
Shareholders' Equity Ratio	49.6%	50.8%	53.1%	49.9%	56.5%	57.8%	58.3%	57.3%	54.1%	48.0%	37.9%
Dividend Payout Ratio	17.2%	18.0%	16.5%	20.0%	20.0%	43.6%	28.7%	34.4%	—	79.1%	—
Total Shareholder Return							93.4%	73.0%	58.5%	76.0%	83.4%
Price Earnings Ratio	19.1	14.1	21.7	23.9	24.7	46.8	28.5	26.3	—	47.9	—
Net Asset Dividend Rate (Consolidated)	1.9%	2.2%	1.9%	2.2%	2.5%	2.2%	2.2%	2.2%	2.5%	3.5%	3.2%
Other Indexes											
Number of Consolidated Subsidiaries	52	54	51	53	51	49	54	57	54	59	62
Number of Employees	5,604	5,906	5,937	6,585	7,484	7,263	7,864	8,586	8,823	9,039	8,904
Consolidated Sales EC Ratio							2.2%	2.4%	4.1%	7.4%	15.7%

Note: The fiscal period ended December 31, 2014 was a transitional year. This period was nine months (April to December 2014) for ASICS Corporation and its consolidated subsidiaries in Japan. The period was 12 months (January to December 2014) for consolidated subsidiaries overseas.

Non-Financial Summary

	2015/12	2016/12	2017/12	2018/12	2019/12	2020/12
Environment						
CO₂ emissions						
Scope 1+2 CO ₂ emissions (t-CO ₂)	30,858	28,076	25,444	24,905	25,988	23,134 ^{*1}
Scope 3 CO ₂ emissions (t-CO ₂)	830,275	772,195	758,262	755,436	769,504	589,390
CO ₂ emission reduction rate in direct operations (%) (2015 baseline)	—	9.0	17.5	19.3	15.8	25.0
CO ₂ emission reduction rate in the supply chain (%) (2015 baseline) ^{*2}	—	9.7	12.4	10.3	9.8	30.8
Percentage of electricity from renewable sources in direct operations (%)	9.7	7.3	14.9	21.1	21.3	23.5
Scope 1+2 CO ₂ emission intensity (per million yen of sales) (t-CO ₂)	0.072	0.070	0.064	0.064	0.069	0.070
Raw materials, waste						
Recycled materials ratio of polyester materials for shoes and sportswear (%)	—	—	—	—	—	19.5
Amount of landfill waste per pair of shoes at footwear Tier 1 factories (kg/pair)	0.021	0.032	0.031	0.033	0.032	0.019
Water						
Water consumption per pair of shoes at footwear Tier 1 factories (m ³ /pair)	0.034	0.030	0.030	0.028	0.031	0.027
Social						
Mental and physical health	Number of OneASICS™ members (ten thousands)	—	10	32	72	200
	Amount of community contributions and donations in kind (US\$)	1,169,399	1,995,217	774,138	550,541	502,195
Our people	Number of employees (persons)	7,263	7,864	8,586	8,823	9,039
	Ratio of females in manager and senior positions (%) ^{*3}	6.7	8.0	12.0	9.4	10.6
Supply chain	Percentage of Tier 1 supplier factories above ASICS standard (%)	93	88	88	91	95
	Number of participants in training for suppliers (persons)	205	198	103	89	103
Governance (Company with Audit and Supervisory Committee)						
Internal directors (persons)		5	4	5	6	7
Outside directors (persons)		4	4	4	4	4
Total (persons)		9	8	9	10	11
Term of office of outside directors (average)		1 year 3 months	1 year 7 months	2 year 7 months	2 year 8 months	3 year 8 months
Number of executive officers (persons)		14	13	13	16	16

* 1 We have received a third-party assurance in the Sustainability Report 2020. For details, please refer to the Sustainability Report 2020.

* 2 The scope of coverage is "purchased goods and services" and "end-of-life treatment of sold products".

* 3 The scope of coverage is ASICS Corporation and ASICS Japan Corporation from 2015 to 2018, and ASICS Corporation after 2019.

CONSOLIDATED BALANCE SHEET

ASICS Corporation and Consolidated Subsidiaries
December 31, 2020

ASSETS	Millions of yen		Thousands of U.S. dollars (Note 1)
	2020	2019	2020
Current assets:			
Cash and deposits (Notes 7 and 23)	¥ 81,470	¥ 39,199	\$ 790,971
Notes and accounts receivable: (Note 23)			
Trade	50,898	65,191	494,155
Less allowance for doubtful receivables	(1,924)	(1,497)	(18,680)
Inventories (Note 9)	88,123	93,159	855,563
Other current assets	17,246	18,466	167,438
Total current assets	235,813	214,518	2,289,447
Property, plant and equipment:			
Land	5,804	5,798	56,350
Buildings and structures (Note 10)	36,111	37,951	350,592
Machinery, equipment and vehicles	4,926	3,716	47,825
Tools, furniture and fixtures (Note 10)	30,478	28,932	295,903
Leased assets (Note 10)	7,089	8,320	68,825
Construction in progress	179	846	1,738
Less accumulated depreciation	(55,235)	(51,267)	(536,262)
Property, plant and equipment, net (Note 28)	29,352	34,296	284,971
Intangible assets:			
Goodwill (Note 28)	2,463	2,831	23,913
Software	6,316	6,318	61,320
Right-of-use assets	25,091	24,479	243,602
Other intangible assets	9,354	6,734	90,815
Total intangible assets	43,224	40,362	419,650
Investments and other assets:			
Investments in securities:			
Investments in unconsolidated subsidiaries and affiliates	156	156	1,515
Other (Notes 8 and 23)	9,015	9,724	87,524
Long-term loans receivable	49	60	476
Deferred income taxes (Note 21)	8,684	7,844	84,311
Other assets (Note 10)	7,587	9,853	73,659
Less allowance for doubtful receivables	(699)	(698)	(6,786)
Total investments and other assets	24,792	26,939	240,699
Total assets (Note 28)	¥ 333,181	¥ 316,115	\$ 3,234,767

* There are some amount of difference between these consolidated financial statements and annual report due to the different treatment of rounding.

LIABILITIES AND NET ASSETS	Millions of yen		Thousands of U.S. dollars (Note 1)
	2020	2019	2020
Current liabilities:			
Short-term bank loans (Notes 11 and 23)	¥ 6,205	¥ 6,257	\$ 60,243
Current portion of long-term debt (Notes 11 and 23)	27,904	7,371	270,913
Notes and accounts payable: (Note 23)			
Trade	33,003	33,578	320,417
Accrued income taxes (Note 21)	894	2,282	8,680
Accrued expenses	19,198	18,052	186,388
Provision for sales returns	285	141	2,766
Provision for employees' bonuses	300	549	2,913
Asset retirement obligations (Note 12)	69	117	670
Other current liabilities	13,658	12,766	132,602
Total current liabilities	101,516	81,113	985,592
Long-term liabilities:			
Long-term debt (Notes 11 and 23)	88,891	66,971	863,019
Liabilities for retirement benefits (Note 13)	6,968	6,615	67,650
Asset retirement obligations (Note 12)	1,262	1,228	12,252
Deferred income taxes (Note 21)	664	1,508	6,447
Other long-term liabilities	7,116	6,357	69,088
Total long-term liabilities	104,901	82,679	1,018,456
Contingent liabilities (Note 14)			
Net assets:			
Shareholders' equity: (Note 15)			
Common stock:			
Authorized shares---790,000,000 shares at December 31, 2020 and 2019			
Issued shares---189,870,559 shares at December 31, 2020 and 2019	23,972	23,972	232,738
Capital surplus	15,482	15,482	150,311
Retained earnings (Note 29)	107,393	126,968	1,042,650
Less treasury shares, at cost (6,827,657 shares at December 31, 2020 and 7,179,322 shares at December 31, 2019)	(10,345)	(10,960)	(100,437)
Total shareholders' equity	136,502	155,462	1,325,262
Accumulated other comprehensive income:			
Unrealized holding gain on securities	1,341	2,054	13,019
Unrealized deferred (loss) gain on hedges (Note 24)	(3,395)	3,438	(32,961)
Translation adjustments	(7,911)	(8,941)	(76,806)
Retirement benefits liability adjustments (Note 13)	(315)	(306)	(3,058)
Total accumulated other comprehensive income	(10,280)	(3,755)	(99,806)
Stock acquisition rights (Note 15)	399	475	3,874
Non-controlling interests	143	141	1,388
Total net assets	126,764	152,323	1,230,718
Total liabilities and net assets	¥ 333,181	¥ 316,115	\$ 3,234,766

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENT OF OPERATIONS AND STATEMENT OF COMPREHENSIVE INCOME (LOSS)

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2020

	Millions of yen		Thousands of U.S. dollars (Note 1)
	2020	2019	2020
Net sales (Note 28)	¥ 328,784	¥ 378,051	\$ 3,192,078
Cost of sales	175,926	198,370	1,708,019
Gross profit	152,858	179,681	1,484,059
Selling, general and administrative expenses	156,812	169,047	1,522,447
Operating (loss) income (Note 28)	(3,954)	10,634	(38,388)
Other income (expenses):			
Interest and dividend income	597	1,034	5,796
Interest expense	(1,701)	(1,840)	(16,515)
Exchange loss, net	(1,626)	(583)	(15,786)
Gain on sales of investments in securities, net (Note 8)	73	1,462	709
Loss on sales or disposal of property, plant and equipment and other, net	(363)	(121)	(3,524)
Loss on impairment of investments in securities	(245)	(9)	(2,379)
Loss on impairment of property, plant and equipment (Note 10)	(3,587)	(1,227)	(34,825)
Extra retirement payments (Note 17)	(585)	—	(5,680)
Loss on temporary closing of stores (Note 18)	(2,605)	—	(25,291)
Loss on the cancellation of lease contracts (Note 19)	(1,824)	—	(17,709)
Subsidy income	319	844	3,097
Other, net	(559)	13	(5,427)
(Loss) profit before income taxes	(16,060)	10,207	(155,922)
Income taxes: (Note 21)			
Current	4,006	5,919	38,894
Refunded (Note 20)	(4,300)	—	(41,748)
Deferred	360	(3,086)	3,495
	66	2,833	641
(Loss) profit	(16,126)	7,374	(156,563)
(Loss) profit attributable to:			
Non-controlling interests	0	277	0
Owners of parent (Note 27)	¥ (16,126)	¥ 7,097	\$ (156,563)

CONSOLIDATED STATEMENT OF OPERATIONS AND STATEMENT OF COMPREHENSIVE INCOME (LOSS)

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2020

	Millions of yen		Thousands of U.S. dollars (Note 1)
	2020	2019	2020
(Loss) profit	¥ (16,126)	¥ 7,374	\$ (156,563)
Other comprehensive (loss) income: (Note 25)			
Unrealized holding loss on securities	(713)	(554)	(6,922)
Unrealized deferred loss on hedges	(6,833)	(139)	(66,340)
Translation adjustments	1,031	(3,077)	10,010
Retirement benefits liability adjustments (Note 13)	(8)	50	(78)
Total other comprehensive loss, net	(6,523)	(3,720)	(63,330)
Comprehensive (loss) income	¥ (22,649)	¥ 3,654	\$ (219,893)
Comprehensive (loss) income attributable to:			
Owners of parent	¥ (22,651)	¥ 3,371	\$ (219,913)
Non-controlling interests	2	283	20

CONSOLIDATED STATEMENT OF CHANGES IN NET ASSETS

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2020

Millions of yen												
	Number of issued shares of common stock	Common stock	Capital surplus	Retained earnings	Treasury shares, at cost	Unrealized holding gain on securities	Unrealized deferred gain (loss) on hedges	Translation adjustments	Retirement benefits liability adjustments	Stock acquisition rights	Non-controlling interests	Total net assets
Balance at January 1, 2019	199,870,559	23,972	17,354	133,108	(9,586)	2,608	3,578	(5,857)	(357)	433	1,576	166,829
Cumulative effects of changes in accounting policies	—	—	—	(1,028)	—	—	—	—	—	—	—	(1,028)
Restated balance	—	23,972	17,354	132,080	(9,586)	2,608	3,578	(5,857)	(357)	433	1,576	165,801
Transfer to capital surplus from retained earnings	—	—	7,678	(7,678)	—	—	—	—	—	—	—	—
Dividends	—	—	—	(4,531)	—	—	—	—	—	—	—	(4,531)
Profit attributable to owners of parent	—	—	—	7,097	—	—	—	—	—	—	—	7,097
Purchases of treasury shares	—	—	—	—	(10,002)	—	—	—	—	—	—	(10,002)
Sales of treasury shares	—	—	145	—	213	—	—	—	—	—	—	358
Retirement of treasury shares	(10,000,000)	—	(8,415)	—	8,415	—	—	—	—	—	—	—
Change in ownership interest of parent due to transactions with non-controlling interests	—	—	(1,280)	—	—	—	—	—	—	—	—	(1,280)
Other changes	—	—	—	—	—	(554)	(140)	(3,084)	51	42	(1,435)	(5,120)
Balance at January 1, 2020	189,870,559	23,972	15,482	126,968	(10,960)	2,054	3,438	(8,941)	(306)	475	141	152,323
Transfer to capital surplus from retained earnings	—	—	161	(161)	—	—	—	—	—	—	—	—
Dividends	—	—	—	(3,288)	—	—	—	—	—	—	—	(3,288)
Profit attributable to owners of parent	—	—	—	(16,126)	—	—	—	—	—	—	—	(16,126)
Purchases of treasury share	—	—	—	—	(2)	—	—	—	—	—	—	(2)
Sales of treasury share	—	—	(161)	—	617	—	—	—	—	—	—	456
Other changes	—	—	—	—	—	(713)	(6,833)	1,030	(9)	(76)	2	(6,599)
Balance at December 31, 2020	189,870,559	¥ 23,972	¥ 15,482	¥ 107,393	¥ (10,345)	¥ 1,341	¥ (3,395)	¥ (7,911)	¥ (315)	¥ 399	¥ 143	¥ 126,764

	Thousands of U.S. dollars (Note 1)											
	Common stock	Capital surplus	Retained earnings	Treasury shares, at cost	Unrealized holding gain on securities	Unrealized deferred gain (loss) on hedges	Translation adjustments	Retirement benefits liability adjustments	Stock acquisition rights	Non-controlling interests	Total net assets	
Balance at January 1, 2020	\$ 232,738	\$ 150,311	\$ 1,232,698	\$ (106,408)	\$ 19,942	\$ 33,379	\$ (86,806)	\$ (2,971)	\$ 4,612	\$ 1,369	\$ 1,478,864	
Transfer to capital surplus from retained earnings	—	1,563	(1,563)	—	—	—	—	—	—	—	—	
Dividends	—	—	(31,922)	—	—	—	—	—	—	—	(31,922)	
Profit attributable to owners of parent	—	—	(156,563)	—	—	—	—	—	—	—	(156,563)	
Purchases of treasury shares	—	—	—	(19)	—	—	—	—	—	—	(19)	
Sales of treasury shares	—	(1,563)	—	5,990	—	—	—	—	—	—	4,427	
Other changes	—	—	—	—	(6,923)	(66,340)	10,000	(87)	(738)	19	(64,069)	
Balance at December 31, 2020	\$ 232,738	\$ 150,311	\$ 1,042,650	\$ (100,437)	\$ 13,019	\$ (32,961)	\$ (76,806)	\$ (3,058)	\$ 3,874	\$ 1,388	\$ 1,230,718	

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2020

	Millions of yen		Thousands of U.S. dollars (Note 1)
	2020	2019	2020
Operating activities:			
(Loss) profit before income taxes	¥ (16,060)	¥ 10,207	\$ (155,922)
Adjustments to reconcile profit (loss) before income taxes to net cash provided by operating activities:			
Depreciation and amortization	13,714	12,917	133,146
Loss on impairment of property, plant and equipment	3,587	1,227	34,825
Amortization of goodwill	270	5	2,621
Increase (decrease) in allowance for doubtful receivables	475	(175)	4,612
Increase in liabilities for retirement benefits, net	402	485	3,903
(Decrease) increase in provision for employees' bonuses	(212)	138	(2,058)
Loss on impairment of investments in securities	245	9	2,379
Gain on sales of investments in securities, net	(73)	(1,462)	(709)
Interest and dividend income	(597)	(1,034)	(5,796)
Interest expense	1,701	1,840	16,515
Exchange (gain) loss, net	(11)	44	(107)
Loss on sales or disposal of property, plant and equipment and other, net	363	121	3,524
Other, net	261	(1,193)	2,533
(Increase) decrease in operating assets:			
Notes and accounts receivable-trade	12,313	412	119,544
Inventories	4,235	(6,248)	41,117
Other operating assets	746	(709)	7,242
Increase (decrease) in operating liabilities:			
Notes and accounts payable-trade	2,422	3,664	23,515
Accrued consumption taxes	(1,050)	(35)	(10,194)
Other operating liabilities	1,896	1,291	18,407
Subtotal	24,627	21,504	239,097
Interest and dividends received	608	1,049	5,903
Interest paid	(1,665)	(1,288)	(16,164)
Business restructuring expenses paid	(677)	(597)	(6,573)
Income taxes refunded	697	—	6,767
Income taxes paid	(4,259)	(5,876)	(41,350)
Net cash provided by operating activities	19,331	14,792	187,680
Investing activities:			
Increase in time deposits	(2)	(354)	(19)
Proceeds from withdrawal of time deposits	232	1,506	2,252
Purchases of property, plant and equipment	(3,768)	(4,812)	(36,583)
Payments for disposal of property, plant and equipment	(296)	(136)	(2,873)
Proceeds from sales of property, plant and equipment	77	124	748
Purchases of intangible assets	(5,095)	(6,450)	(49,466)
Proceeds from sales of intangible assets	99	2,261	961
Purchases of investments in securities	(611)	(2,494)	(5,932)
Proceeds from sales and redemption of investments in securities	184	2,701	1,786
Payments for transfer of business	—	(2,561)	—
Net decrease (increase) in short-term loans receivable included in other current assets	6	(19)	58
Long-term loans receivable made	(8)	(12)	(78)
Collection of long-term loans receivable	10	11	97
Other, net	(462)	(1,951)	(4,485)
Net cash used in investing activities	(9,634)	(12,186)	(93,534)
Financing activities:			
Net increase in short-term bank loans	33	5,014	320
Proceeds from long-term loans	2,500	—	24,272
Repayment of long-term loans	(134)	(34)	(1,301)
Proceeds from issuance of bonds	39,835	19,911	386,748
Redemption of bonds with stock acquisition rights	—	(30,000)	—
Purchases of treasury share	(2)	(10,002)	(19)
Proceeds from sales of treasury share	0	0	0
Repayment of lease obligations	(7,600)	(6,828)	(73,786)
Cash dividends paid to shareholders of the Company	(3,294)	(4,532)	(31,981)
Dividends paid to non-controlling interests	(1)	—	(10)
Payments for purchases of shares of subsidiaries not resulting in change in scope of consolidation	—	(3,000)	—
Net cash provided by (used in) financing activities	31,337	(29,471)	304,243
Effect of exchange rate changes on cash and cash equivalents	1,455	(1,028)	14,126
Net increase (decrease) in cash and cash equivalents	42,489	(27,893)	412,515
Cash and cash equivalents as of January 1, 2020 and 2019	37,985	65,878	368,786
Cash and cash equivalents as of December 31, 2020 and 2019 (Note 7)	¥ 80,474	¥ 37,985	\$ 781,301

Notes to Consolidated Financial Statements

ASICS Corporation and Consolidated Subsidiaries
December 31, 2020

1 Basis of Preparation

The accompanying consolidated financial statements of ASICS Corporation (the "Company") and consolidated subsidiaries are prepared on the basis of accounting principles generally accepted in Japan, which are different in certain respects as to the application and disclosure requirements of International Financial Reporting Standards, and are compiled from the consolidated financial statements prepared by the Company as required by the Financial Instruments and Exchange Act of Japan.

The U.S. dollar amounts in the accompanying consolidated financial statements have been translated from yen amounts solely for convenience, as a matter of arithmetic computation only, at ¥103 = U.S.\$1.00, the approximate rate of exchange prevailing on December 31, 2020. This translation should not be construed as a representation that yen amounts have been, could have been, or could in the future be, converted into U.S. dollars at the above or any other rate.

2 Summary of Significant Accounting Policies

(a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of the Company and significant companies which it controls directly or indirectly. All assets and liabilities of the consolidated subsidiaries are revalued on acquisition, if applicable. All significant intercompany transactions and accounts have been eliminated in consolidation.

Certain subsidiaries were excluded from the scope of consolidation because the effect of its sales, net profit or loss, total assets and retained earnings on the accompanying consolidated financial statements was immaterial.

(b) Foreign currency translation

All monetary assets and liabilities denominated in foreign currencies are translated into yen at the rates of exchange in effect at the balance sheet date and gain or loss on each translation is credited or charged to income. Revenue and expense items arising from transactions denominated in foreign currencies are generally translated into yen at the rates in effect at the respective transaction dates. Foreign exchange gain or loss is credited or charged to income in the period in which the gain or loss is recognized for financial reporting purposes.

The financial statements of the overseas consolidated subsidiaries are translated into yen at the rates of exchange in effect at the balance sheet date, except that the components of net assets excluding non-controlling interests are translated at their historical exchange rates.

(c) Cash and cash equivalents

For the purposes of the consolidated statement of cash flows, cash and cash equivalents consist of cash on hand, deposits with banks withdrawable on demand, and short-term investments which are readily convertible into cash subject to an insignificant risk of any change in their value and which were purchased with an original maturity of three months or less.

(d) Securities

Marketable securities classified as other securities are carried at fair value with any changes in unrealized holding gain or loss, net of the applicable income taxes, reported as a separate component of net assets. Cost of securities sold is determined by the moving-average method. Non-marketable equity securities classified as other securities are stated at cost determined by the moving-average method. Non-marketable debt securities classified as other securities are stated at net amortized cost.

Investments in limited liability partnerships and other similar partnerships, which are deemed to be securities under Article 2, Clause 2 of the Financial Instruments and Exchange Act of Japan, are valued at the amount of the underlying equity in their net assets based on the latest financial statements available as of the closing date stipulated in the partnership agreement.

(e) Inventories

Inventories are principally stated at the lower of cost or net realizable value, cost being determined by the moving-average method.

(f) Property, plant and equipment (except for leased assets under finance leases)

The Company and its domestic consolidated subsidiaries compute depreciation of property, plant and equipment by the declining-balance method over the estimated useful lives of the respective assets, except that the straight-line method is applied to buildings (other than structures attached to the buildings) acquired on or subsequent to April 1, 1998 and structures attached to the buildings and other structures acquired on or subsequent to April 1, 2016.

Overseas consolidated subsidiaries compute depreciation of property, plant and equipment by the straight-line method over the estimated useful lives of the respective assets.

Significant renewals and additions are capitalized at cost. Maintenance and repairs are charged to income as incurred.

The principal estimated useful lives used for calculating depreciation are as follows:

Buildings and structures	3 to 50 years
Machinery, equipment and vehicles	2 to 17 years
Tools, furniture and fixtures	2 to 20 years

(g) Intangible assets (except for leased assets under finance leases)

Expenditures relating to computer software developed for internal use are charged to income as incurred, unless the software is expected to contribute to the generation of future income or to cost savings, in which case such expenditures are capitalized as intangible assets and amortized by the straight-line method over their respective estimated useful lives, a period of ten years.

The Company and its consolidated subsidiaries have recorded intangible assets such as brand and customer base based on revaluation of assets acquired and liabilities assumed as a result of business combinations at fair value. Such intangible assets are amortized by the straight-line method over periods of 10 to 24 years.

(h) Leased assets

Finance leases under which ownership of the leased assets is not transferred to the lessees are depreciated using the straight-line method over the lease term with no residual value.

Finance leases under which ownership of the leased assets is transferred to the lessees are depreciated by the same methods used for owned fixed assets.

Right-of-use assets are depreciated using the straight-line method over the lease term.

(i) Goodwill

Goodwill is amortized by the straight-line method over the estimated period of benefit of no more than 20 years from the year of acquisition.

(j) Allowance for doubtful receivables

The Company and its domestic consolidated subsidiaries provide an allowance for doubtful receivables at an amount calculated based on their historical experience of bad debts on ordinary receivables plus an additional estimate of probable specific bad debts from customers experiencing financial difficulties.

The overseas consolidated subsidiaries provide an allowance for doubtful receivables at an amount calculated based on probable specific bad debts from their customers.

(k) Provision for sales returns

Provision for sales returns is provided for losses from sales returns at an amount calculated based on the historical experience of sales returns.

(l) Provision for employees' bonuses

Provision for employees' bonuses is provided at an expected payment amount of the bonuses to employees attributable to the fiscal year.

(m) Retirement benefits for employees

Liabilities for retirement benefits for employees are provided principally at an amount calculated based on the retirement benefit obligation and the fair value of the plan assets as of the balance sheet date.

The retirement benefit obligation is attributed to each period by the benefit formula method.

Actuarial gain or loss is amortized principally in the year following the year in which the gain or loss is incurred by the straight-line method over a period which falls within the estimated average remaining years of service of the eligible employees. Certain consolidated subsidiaries amortize actuarial gain or loss in the year in which the gain or loss is incurred by the straight-line method over a period which falls within the estimated average remaining years of service of the eligible employees.

Certain consolidated subsidiaries have calculated their retirement benefit obligation and retirement benefit expenses based on the amount which would be payable at the year end if all eligible employees terminated their services voluntarily (the "simplified method").

(n) Research and development costs

Research and development costs are charged to income as incurred.

(o) Income taxes

Deferred income taxes are provided for temporary differences between the balances of assets and liabilities reported for financial reporting purposes and the corresponding balances for tax reporting purposes.

Certain consolidated subsidiaries adopted the consolidated taxation system, which allows companies to file tax returns based on the combined profit or loss of a parent company and its subsidiaries.

(p) Derivatives and hedging activities

The Company and its consolidated subsidiaries (“Group”) utilize derivatives of forward foreign exchange contracts, currency option and interest swaps to hedge the risk arising from fluctuations in forward foreign currency exchange rates, mainly on forecast transactions denominated in foreign currencies and interest rates, mainly on loans and bond issuing transactions.

Derivatives positions are carried at fair value with any changes in unrealized gain or loss charged or credited to income, except for those which meet the criteria for deferral hedge accounting under which unrealized gain or loss, net of the applicable income taxes, is deferred as a component of net assets. Receivables and payables hedged by qualified forward foreign exchange contracts are translated at the corresponding foreign exchange contract rates (“allocation method”). Interest-rate swaps which meet certain conditions are accounted for as if the interest rates applied to the swaps had originally applied to the underlying debt (“special treatment”).

The hedge effectiveness of forward foreign exchange transactions is assessed by considering whether the transactions qualify based on past experience and the probability of the transaction occurring in the future. The hedge effectiveness of interest-rate swaps and currency options is assessed based on a comparison of the cumulative changes in cash flows of the hedged items and those of the hedging instruments in the period from the start of the hedging relationship to the assessment date. However, the assessment of hedge effectiveness is omitted if a high level of hedge effectiveness is identified based on the terms of the contracts.

(q) Distribution of retained earnings

Under the Corporation Law of Japan (the “Law”), the distribution of retained earnings with respect to a given financial period is made by resolution of the shareholders at a general meeting held subsequent to the close of the financial period. The accounts for that period do not, therefore, reflect such distributions. Refer to Note 29.

3 Accounting Estimates

The Group has been financially affected as a result of the temporary closures of its own retail stores and customer stores due to the COVID-19 pandemic. The impacts caused by the pandemic have been continuing with the extent depending on the area where business hours at commercial facilities were shortened or lockdowns implemented in Japan and other countries. Under these circumstances, the Group assumes that its operating results will essentially recover in the fiscal year ending December 31, 2022 and thereafter. The Company estimated the loss on impairment of fixed assets and the recoverability of deferred tax assets as of December 31, 2020, using data available at the reporting date of the consolidated financial statements and considering the effects stated above. Since there are many uncertainties surrounding the impact of the COVID-19 pandemic on economic activities, if the assumptions stated above should change, it may affect the Group’s financial position and business performance.

4 Consolidated Taxation System

The Company and its domestic consolidated subsidiaries applied the consolidated taxation system from the year ended December 31, 2020.

5 Application of Tax Effect Accounting for the Transition from Consolidated Taxation System to Group Tax Sharing System

Based on the treatment set forth under Paragraph 3 of “Practical Solution on the Treatment of Tax Effect Accounting for the Transition from the Consolidated Taxation System to Group Tax Sharing System” (Practical Issues Task Force (PITF) No.39, March 31, 2020), the Company and certain domestic consolidated subsidiaries do not implement the provisions of Paragraph 44 of “Implementation Guidance on Accounting Standard for Tax Effect Accounting” (ASBJ Guidance No. 28, February 16, 2018) for items transitioned to the group tax sharing system as stipulated in the “Act on Partial Revision of the Income Tax Act, etc.” (Act No. 8 of 2020) and items that were revised under the non-consolidated taxation system in line with the transition to the group tax sharing system. The amounts of deferred tax assets and deferred tax liabilities are based on the provisions of the Tax Act prior to revisions.

(The Company and its domestic subsidiaries)

“Implementation Guidance on Accounting Standard for Revenue Recognition” (ASBJ Guidance No. 30, March 31, 2020)

(1) Overview

This is a comprehensive accounting standard for revenue recognition. Revenue is recognized by applying the following five steps.

- Step 1: Identify the contracts with a customer.
- Step 2: Identify the performance obligations in the contract.
- Step 3: Determine the transaction price.
- Step 4: Allocate the transaction price to the performance obligations in the contract.
- Step 5: Recognize revenue when (or as) the entity satisfies a performance obligation.

(2) Planned date of application

The Company and its domestic subsidiaries plan to apply the standard and implementation guidance from the beginning of the fiscal year ending December 31, 2022.

(3) Impact of applying the standard and implementation guidance

The impact of applying the standard and implementation guidance on the consolidated financial statements is being evaluated.

(Overseas subsidiaries)

“Leases” (Accounting Standard Update (“ASU”) 2016-02 in US GAAP)

(1) Overview

The new accounting standard requires that lessees principally account for all leases on the balance sheet under a single model.

(2) Planned date of application

ASU 2016-02 will be applied from the beginning of the fiscal year ending December 31, 2022.

(3) Impact of applying the standard

The impact of applying the standard on the consolidated financial statements is being evaluated.

7 Cash and Deposits

The balances of cash and deposits reflected in the accompanying consolidated balance sheets at December 31, 2020 and 2019 were reconciled to the balances of cash and cash equivalents in the accompanying consolidated statements of cash flows for the years ended December 31, 2020 and 2019 as follows:

	Millions of yen	Thousands of U.S. dollars
	2020	2019
Cash and deposits	¥ 81,470	¥ 39,199
Time deposits with original maturities in excess of three months, included in cash and deposits	(996)	(1,214)
Cash and cash equivalents	¥ 80,474	¥ 37,985

8 Short-Term Investments and Investments in Securities

Information regarding other securities with determinable market value at December 31, 2020 and 2019 is summarized as follows:

	Millions of yen						Thousands of U.S. dollars		
	2020			2019			2020		
	Carrying value	Acquisition costs	Unrealized gain (loss)	Carrying value	Acquisition costs	Unrealized gain (loss)	Carrying value	Acquisition costs	Unrealized gain (loss)
Securities whose carrying value exceeds their acquisition costs:									
Equity securities	¥ 5,539	¥ 3,460	¥ 2,079	¥ 7,153	¥ 4,289	¥ 2,864	\$ 53,777	\$ 33,592	\$ 20,184
Other	—	—	—	—	—	—	—	—	—
Subtotal	5,539	3,460	2,079	7,153	4,289	2,864	53,777	33,592	20,184
Securities whose carrying value does not exceed their acquisition costs:									
Equity securities	1,404	1,524	(120)	901	956	(55)	13,631	14,796	(1,165)
Subtotal	1,404	1,524	(120)	901	956	(55)	13,631	14,796	(1,165)
Total	¥ 6,943	¥ 4,984	¥ 1,959	¥ 8,054	¥ 5,245	¥ 2,809	\$ 67,408	\$ 48,388	\$ 19,019

Unlisted equity securities (carrying value for the years ended December 31, 2020 and 2019 amounted to ¥760 million (\$7,379 thousand) and ¥713 million, respectively), unlisted debt securities (carrying value for the years ended December 31, 2020 and 2019 amounted to ¥120 million (\$1,165 thousand) and ¥120 million, respectively), investments in limited liability partnerships (carrying value for the years ended December 31, 2020 and 2019 amounted to ¥397 million (3,854 thousand) and ¥449 million, respectively) and unlisted others (carrying value for the years ended December 31, 2020 and 2019 amounted to ¥884 million (\$8,583 thousand) and ¥478 million, respectively) for which it is extremely difficult to determine the fair value are not included in the above table.

Information regarding sales of other securities for the years ended December 31, 2020 and 2019 is summarized as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Proceeds from sales	¥ 169	¥ 2,692	\$ 1,641
Gross realized gain	74	1,466	718
Gross realized loss	1	4	10

The Company has recognized loss on impairment of marketable securities classified as other securities in the amount of ¥194 million (\$1,883 thousand) and ¥9 million for the years ended December 31, 2020 and 2019 respectively. Impairment loss is recorded for the securities whose market value declines by 30% or more as compared with their acquisition costs.

9 Inventories

The following is a summary of inventories at December 31, 2020 and 2019:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Merchandise and finished products	¥ 86,621	¥ 91,622	\$ 840,981
Work in process	358	388	3,475
Raw materials and supplies	1,144	1,149	11,107
	¥ 88,123	¥ 93,159	\$ 855,563

10 Loss on Impairment of Property, Plant and Equipment

The Group's business assets are grouped by company or unit similar to an individual company. In addition, the Group also groups store assets by store and groups assets intended for sale and idle assets individually. The assets are grouped by cash-generating units defined as the smallest identifiable group of assets generating cash inflows.

The Group has written down asset groups whose operating income has been continuously negative to their respective recoverable amounts and recorded related losses on impairment of property, plant and equipment. The recoverable amounts of asset groups are measured at the higher of their net selling value or value in use. The net selling value is based on estimated sales price.

Value in use is measured as the sum of anticipated future cash flows discounted at rates of 7.2% to 13.5% and 7.1% for the years ended December 31, 2020 and 2019, respectively.

The details of loss on impairment of property, plant and equipment for the years ended December 31, 2020 and 2019 are as follows:

			<i>Millions of yen</i>	<i>Thousands of U.S. dollars</i>
Use	Location	Classification	2020	2020
Store assets	Japan, U.S. and Europe etc.	Building and Tools, furniture and fixtures, leased assets etc.	¥ 3,315	\$ 32,184
Other	Japan etc.	Building and Tools, furniture and fixtures etc.	272	2,641
Total			¥ 3,587	\$ 34,825

			<i>Millions of yen</i>
Use	Location	Classification	2019
Store assets	Japan, U.S. and Europe etc.	Tools, furniture and fixtures, leased assets etc.	¥ 1,227
Total			¥ 1,227

11 Short-Term Bank Loans and Long-Term Debt

The average annual interest rates on short-term bank loans are 0.6% and 1.0% at December 31, 2020 and 2019, respectively.

Long-term debt at December 31, 2020 and 2019 consisted of the following:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
0.14% yen unsecured bonds issued through public offering, due 2021	¥ 20,000	¥ 20,000	\$ 194,175
0.20% yen unsecured bonds issued through public offering, due 2024	20,000	20,000	194,175
0.04% yen unsecured bonds issued through public offering, due 2023	15,000	—	145,631
0.22% yen unsecured bonds issued through public offering, due 2025	25,000	—	242,718
Loans primarily from banks, due through 2025 at weighted average interest rates ranging from 0.1% to 0.3%	2,515	149	24,417
Lease obligations	34,280	34,193	332,816
	116,795	74,342	1,133,932
Current portion of long-term debt	(27,904)	(7,371)	(270,913)
	¥ 88,891	¥ 66,971	\$ 863,019

Information on the aggregate annual maturities of long-term debt subsequent to December 31, 2020 is presented in Note 23.

12 Asset Retirement Obligations

(a) Outline of asset retirement obligations

The Company and its domestic consolidated subsidiaries estimated the cost of restoration liabilities based on property lease agreements of certain domestic offices and retail stores and recognized them as asset retirement obligations. The Company and its domestic consolidated subsidiaries also estimated the disposal costs determined under the “Ordinance on Prevention of Asbestos Hazards.” Certain overseas consolidated subsidiaries estimated restoration costs for certain overseas offices at the time of vacating the leased property and recognized them as asset retirement obligations.

(b) Calculation method for asset retirement obligations

Asset retirement obligations for the restoration liabilities based on the property lease agreements of certain domestic offices and retail stores were calculated using an estimated useful life of 2 to 41 years from the acquisitions of leasehold improvements and discount rates from 0% to 1.397%. Asset retirement obligations for the disposal costs determined under the “Ordinance on Prevention of Asbestos Hazards” were calculated using an estimated useful life of 5 to 35 years from the acquisitions of leasehold improvements and discount rates from 0.375% to 2.301%. Asset retirement obligations for the restoration costs of certain overseas offices at the time of vacating the leased property were calculated using an estimated useful life of 3 to 20 years from the acquisitions of leasehold improvements and discount rates from 1.752% to 5.717%.

(c) Changes in the balance of asset retirement obligations during the years ended December 31, 2020 and 2019 are summarized as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Balance at beginning of the year	¥ 1,345	¥ 1,275	\$ 13,058
Increase due to acquisition of property, plant and equipment	199	208	1,932
Accretion expense	21	16	204
Decrease due to settlement of asset retirement liabilities	(223)	(144)	(2,165)
Other decrease, net	(12)	(10)	(117)
Balance at end of the year	¥ 1,330	¥ 1,345	\$ 12,912

13 Retirement Benefits

The Company and certain domestic consolidated subsidiaries have lump-sum payment plans, defined contribution pension plans or a smaller enterprise retirement allowance mutual aid plan.

Certain overseas consolidated subsidiaries adopted defined contribution pension plans or defined benefit plans.

Defined Benefit Plans

The changes in the retirement benefit obligations, except for plans accounted for by the simplified method, during the years ended December 31, 2020 and 2019 are as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Retirement benefit obligations at the beginning of the year	¥ 5,889	¥ 5,456	\$ 57,175
Service cost	670	681	6,505
Interest cost	53	49	515
Actuarial gain	(8)	(3)	(78)
Retirement benefits paid	(350)	(295)	(3,398)
Other	(2)	1	(20)
Retirement benefit obligations at the end of the year	¥ 6,252	¥ 5,889	\$ 60,699

The changes in liabilities for retirement benefits calculated by the simplified method during the years ended December 31, 2020 and 2019 are as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Liabilities for retirement benefits at the beginning of the year	¥ 726	¥ 734	\$ 7,049
Retirement benefit expenses	65	71	631
Retirement benefits paid	(47)	(48)	(456)
Other	(28)	(31)	(273)
Liabilities for retirement benefits at the end of the year	¥ 716	¥ 726	\$ 6,951

The following table sets forth the funded status of the plans and the amounts recognized in the consolidated balance sheets as of December 31, 2020 and 2019 for the Company's and the consolidated subsidiaries' defined benefit plan:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Funded retirement benefit obligations	¥ 6,483	¥ 6,269	\$ 62,942
Plan assets at fair value	(205)	(315)	(1,991)
	6,278	5,954	60,951
Unfunded retirement benefit obligations	690	661	6,699
Net liability for retirement benefits in the consolidated balance sheet	6,968	6,615	67,650
Liabilities for retirement benefits	6,968	6,615	67,650
Assets for retirement benefits	—	—	—
Net liability for retirement benefits in the consolidated balance sheet	¥ 6,968	¥ 6,615	\$ 67,650

The components of retirement benefit expenses for the years ended December 31, 2020 and 2019 are as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Service cost	¥ 670	¥ 681	\$ 6,505
Interest cost	53	49	515
Amortization of unrecognized actuarial loss	39	57	378
Net retirement benefit expenses calculated by the simplified method	65	71	631
Retirement benefit expenses	¥ 827	¥ 858	\$ 8,029

In addition the above, extra payments of ¥585 million (\$5,680 thousand) due to the rationalization of management of European subsidiaries were recorded as extra retirement payment for the year ended December 31, 2020.

Actuarial gain included in other comprehensive income (before tax effects) for the years ended December 31, 2020 and 2019 is as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Actuarial gain	¥ 48	¥ 60	\$ 466

Unrecognized actuarial loss included in accumulated other comprehensive income (before tax effects) as of December 31, 2020 and 2019 is as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Unrecognized actuarial loss	¥ 314	¥ 361	\$ 3,049

As there were no plan assets as of December 31, 2020 and 2019 disclosure of fair value is omitted.

The expected return on plan assets has been estimated considering the anticipated allocation to each asset class and the expected long-term returns on assets held in each category.

The assumptions used in accounting for the above retirement benefit plans for the years ended December 31, 2020 and 2019 are as follows:

	2020	2019
Discount rates	0.1% – 2.0%	0.1% – 2.0%

Defined Contribution Pension Plans

Total contributions paid by the Company and its consolidated subsidiaries to the defined contribution pension plans for the years ended December 31, 2020 and 2019 amounted to ¥1,124 million (\$10,913 thousand) and ¥1,159 million, respectively.

14 Contingent Liabilities

The assets pledged as collateral for a third-party's borrowings at December 31, 2020 and 2019 were as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Investments and other assets:			
Investments in securities	¥ 320	¥ 320	\$ 3,107

15 Shareholders' Equity

The Law provides that an amount equal to 10% of the amount to be disbursed as distributions of capital surplus (other than the capital reserve) and retained earnings (other than the legal reserve) be transferred to the capital reserve and the legal reserve, respectively, until the sum of the capital reserve and the legal reserve equals 25% of the capital stock account. Such distributions can be made at any time by resolution of the shareholders or by the Board of Directors if certain conditions are met.

The Company's legal reserve included in retained earnings is nil at December 31, 2020 and 2019.

Movements in common stock and treasury stock for the years ended December 31, 2020 and 2019 are summarized as follows:

	<i>Number of Shares</i>		
	2020		
	January 1, 2020	Increase	December 31, 2020
Shares issued:			
Common Stock	189,870,559	–	189,870,559
Treasury stock:			
Treasury Stock	7,179,322	63,078	414,743
			6,827,657

The increase in treasury stock of 63,078 shares is due to acquisition at no cost of 61,769 shares related to restricted stock remuneration, and purchases of 1,309 shares of less than one voting unit.

The decrease in treasury stock of 414,743 shares is due to disposal of 353,743 shares for restricted stock remuneration, sales of 100 shares at the requests of shareholders who own less than one voting unit, and of 60,900 shares corresponding to exercising stock options for the year ended December 31, 2020.

	<i>Number of Shares</i>		
	2019		
	January 1, 2019	Increase	Decrease December 31, 2019
Shares issued:			
Common Stock	199,870,559	—	10,000,000
Treasury stock:			
Treasury Stock	11,165,350	6,245,964	10,231,992
			7,179,322

The decrease in common stock of 10,000,000 shares is due to cancellation of 10,000,000 shares by the resolution on board meeting.

The increase in treasury stock of 6,245,964 shares is due to purchases of 6,238,000 shares by the resolution on board meeting, acquisition at no cost of 6,548 shares related to restricted stock remuneration, and purchases of 1,416 shares of less than one voting unit.

The decrease in treasury stock of 10,231,992 shares is due to cancellation of 10,000,000 shares by the resolution on board meeting, disposal of 177,512 shares for restricted stock remuneration, sales of 180 shares at the requests of shareholders who own less than one voting unit, and of 54,300 shares corresponding to exercising stock options for the year ended December 31, 2019.

Stock option plans

Stock option costs included in selling, general and administrative expenses for the years ended December 31, 2020 and 2019 amounted to ¥165 million (\$1,602 thousand) and ¥160 million, respectively.

A description of the stock option plan (the “2018 plan”) is as follows:

<i>Stock option plans</i>		2018 plan
Date of approval at a meeting of the Board of Directors		April 20, 2018
Individuals covered by the plan	Directors other than outside directors	6
	Employees of the Company	12
	Directors of the Company’s subsidiaries	4
	Employee of the Company’s subsidiary	2

Type and number of shares to be issued upon
the exercise of the stock options

	2018 plan
Common stock	85,200
Grant date	May 18, 2018
Service period	Not defined
Exercise period	From May 19, 2021 to May 18, 2048

A description of the stock option plan (the “2017 plan”) is as follows:

<i>Stock option plans</i>		2017 plan
Date of approval at a meeting of the Board of Directors		April 26, 2017
Individuals covered by the plan	Directors other than outside directors	5
	Employees of the Company	6
	Directors of the Company’s subsidiaries	4
	Employee of the Company’s subsidiary	2

Type and number of shares to be issued upon
the exercise of the stock options

	2017 plan
Common stock	101,400
Grant date	May 29, 2017
Service period	Not defined
Exercise period	From May 30, 2020 to May 29, 2047

A description of the stock option plan (the “2016 plan”) is as follows:

<i>Stock option plans</i>		2016 plan
Date of approval at a meeting of the Board of Directors		April 22, 2016
Individuals covered by the plan	Directors other than outside directors	4
	Employees of the Company	7
	Directors of the Company’s subsidiaries	2
	Employees of the Company’s subsidiaries	3

Type and number of shares to be issued upon
the exercise of the stock options

	2016 plan
Common stock	85,900
Grant date	May 17, 2016
Service period	Not defined
Exercise period	From May 18, 2019 to May 17, 2046

A description of the stock option plan (the “2015 plan”) is as follows:

Stock option plans		2015 plan
Date of approval at a meeting of the Board of Directors		April 7, 2015
Individuals covered by the plan	Directors other than outside directors	5
	Employees of the Company	6
	Directors of the Company’s subsidiaries	3
	Employees of the Company’s subsidiaries	2
Type and number of shares to be issued upon the exercise of the stock options		
		2015 plan
Common stock	23,700	
Grant date	May 12, 2015	
Service period	Not defined	
Exercise period	From May 13, 2018 to May 12, 2045	

A description of the stock option plan (the “2014 plan”) is as follows:

Stock option plans		2014 plan
Date of approval at a meeting of the Board of Directors		July 18, 2014
Individuals covered by the plan	Directors other than outside directors	7
	Executive officers who are residents of Japan under the Income Tax Law of Japan	6
Type and number of shares to be issued upon the exercise of the stock options		
		2014 plan
Common stock	26,500	
Grant date	August 8, 2014	
Service period	Not defined	
Exercise period	From August 9, 2017 to August 8, 2044	

A description of the stock option plan (the “2013 plan”) is as follows:

Stock option plans		2013 plan
Date of approval at a meeting of the Board of Directors		July 19, 2013
Individuals covered by the plan	Directors other than outside directors	7
	Executive officers who are residents of Japan under the Income Tax Law of Japan	5
Type and number of shares to be issued upon the exercise of the stock options		
		2013 plan
Common stock	37,200	
Grant date	August 6, 2013	
Service period	Not defined	
Exercise period	From August 7, 2016 to August 6, 2043	

Vesting conditions for the exercise of stock acquisition rights are as follows:

For the “2018 plan”, “2017 plan” and “2016 plan”

- 1) If the individuals to whom the stock acquisition rights are granted (the “Holders”) forfeit stock acquisition rights, the stock options cannot be exercised.
- 2) Other conditions are included in the contract entered into between the Company and the Holders.

For the “2015 plan”

If the Holders forfeit stock acquisition rights, the stock options cannot be exercised.

For the “2014 plan” and “2013 plan”

- 1) When the Holders cease to be a director or/and executive officer, the Holders can exercise the rights within five years following the date on which the Holders leave their positions with valid reasons as approved by the Company, such as the fulfillment of the service period.
- 2) If the Holders forfeit stock acquisition rights, the stock options cannot be exercised.
- 3) Other conditions are included in the contract entered into between the Company and the Holders.

The following table summarizes stock option activity under the stock option plans referred to above during the year ended December 31, 2020:

	2018 plan	2017 plan	2016 plan
Number of stock options			
Unvested:			
Outstanding at the end of prior fiscal period	82,200	97,400	—
Granted	—	—	—
Forfeited	—	—	—
Vested	—	97,400	—
Outstanding at the end of the fiscal period	82,200	—	—
Vested:			
Outstanding at the end of prior fiscal period	—	—	68,500
Vested	—	97,400	—
Exercised	—	20,900	37,200
Forfeited	—	—	—
Outstanding at the end of the fiscal period	—	76,500	31,300
	<i>Yen</i>		
Exercise price	¥ 1	¥ 1	¥ 1
Weighted average exercise price	¥ —	¥ 1,432	¥ 1,394
Weighted average fair value per stock at the grant date	¥ 1,786	¥ 1,670	¥ 2,178
	<i>U.S. dollars</i>		
Exercise price	\$ 0.01	\$ 0.01	\$ 0.01
Weighted average exercise price	\$ —	\$ 14	\$ 14
Weighted average fair value per stock at the grant date	\$ 17	\$ 16	\$ 21

	2015 plan	2014 plan	2013 plan
Number of stock options			
Unvested:			
Outstanding at the end of prior fiscal period	—	—	—
Granted	—	—	—
Forfeited	—	—	—
Vested	—	—	—
Outstanding at the end of the fiscal period	—	—	—
Vested:			
Outstanding at the end of prior fiscal period	10,200	9,200	5,700
Vested	—	—	—
Exercised	600	1,700	500
Forfeited	—	—	—
Outstanding at the end of the fiscal period	9,600	7,500	5,200
	<i>Yen</i>		
Exercise price	¥ 1	¥ 1	¥ 1
Weighted average exercise price	¥ 1,159	¥ 1,054	¥ 1,145
Weighted average fair value per stock at the grant date	¥ 3,008	¥ 2,135	¥ 1,707
	<i>U.S. dollars</i>		
Exercise price	\$ 0.01	\$ 0.01	\$ 0.01
Weighted average exercise price	\$ 11	\$ 10	\$ 11
Weighted average fair value per stock at the grant date	\$ 29	\$ 14	\$ 17

Valuation method for estimating fair value was not applicable.

Because it is difficult to reasonably estimate the number of stock options that will be forfeited in the future, the estimation reflects only the actual number of forfeited stock options.

Restricted Stock Plan

A description of the restricted stock plan (the “2020 plan”) is as follows:

Restricted stock plans		2020 plan
Individuals covered by the plan	Directors other than outside directors or the Audit and Supervisory Committee members	2
	Executive officers of the Company	18
Type, number of shares and other conditions		2020 plan
Number of shares of common stock		353,743
Grant date		May 15, 2020
Vesting period		From May 15, 2020 to May 15, 2023
Fair value per share		¥944 (\$9.17)

A description of the restricted stock plan (the “2019 plan”) is as follows:

Restricted stock plans		2019 plan
Individuals covered by the plan	Directors other than outside directors	6
	Executive officers of the Company	10
Type, number of shares and other conditions		2019 plan
Number of shares of common stock		177,512
Grant date		May 17, 2019
Vesting period		From May 17, 2019 to May 17, 2022
Fair value per share		¥1,354 (\$12.42)

Vesting conditions for the restricted stock are as follows:

The Company shall lift the transfer restriction for all or some portions of the allotted shares upon the expiration of the vesting period on the condition that covered persons to whom the restricted stock have been allotted remain in their positions as the Company’s directors, executive officers or employees during the vesting period.

However, in the event that such person leaves his or her position as the Company’s directors, executive officers or employees prior to the expiration date of the vesting period for reasons deemed justifiable by the Company’s Board of Directors, the Company shall lift the transfer restriction for a specified number of allotted shares on a pro rata basis according to the length of his or her service period until leaving the Company.

16 Research and Development Costs

Research and development costs included in selling, general and administrative expenses for the years ended December 31, 2020 and 2019 amounted to ¥4,642 million (\$45,068 thousand) and ¥4,530 million, respectively.

17 Extra Retirement Payments

Extra retirement payments of ¥585 million (\$5,680 thousand) in the consolidated statements of operations represent special severance payments associated with the rationalization of management of European subsidiaries.

There were no extra retirement payments recognized for the fiscal year ended December 31, 2019.

18 Loss on Temporary Closing of Stores

The Company temporarily closed certain of its own retail stores in Japan, North America, Europe, etc., in response to the requests of governments due to the COVID-19 pandemic during the fiscal year ended December 31, 2020, and as a measure to protect against the spread of infection. Fixed costs (personnel expenses, depreciation and amortization, etc.) of own retail stores incurred during the closure period are recorded in extraordinary losses as losses resulting from temporary store closures.

The Company and certain subsidiaries have received subsidies related to COVID-19 in the amount of ¥470 million (\$4,563 thousand), which were deducted directly from the extraordinary losses described above.

There was no loss on temporary store closures recognized for the fiscal year ended December 31, 2019.

19 Loss on Cancellation of Lease Contracts

Loss on the cancellation of lease contracts of ¥1,824 million (\$17,709 thousand) in the consolidated statements of operations represents cancellation fees and other costs incurred due to the closing of the flagship store in the U.S., and removal from the previous office.

There was no loss on cancellation of lease contracts recognized for the fiscal year ended December 31, 2019.

20 Refund of Income Taxes

Income taxes refunded of ¥4,300 million (\$41,748 thousand) in the consolidated statements of operations represents a tax refund recorded by the U.S. subsidiary as a result of the CARES Act enacted in the U.S.

There was no refund of income taxes recognized for the fiscal year ended December 31, 2019.

21 Income Taxes

Income taxes applicable to the Company and its domestic consolidated subsidiaries consist of corporation, inhabitants' and enterprise taxes. The statutory tax rate in Japan for the year ended December 31, 2020 and 2019 is, in the aggregate, approximately 30.6%. The effective tax rate reflected in the accompanying consolidated statement of operations for the year ended December 31, 2019 differed from the above statutory tax rate for the following reasons:

	2019
Statutory tax rate:	30.6%
Permanently non-deductible expenses	0.7
Permanently non-taxable income	(0.4)
Change in valuation allowance	(10.3)
Tax rate differences at overseas consolidated subsidiaries	(2.0)
Foreign withholding tax	6.6
Other	2.6
Effective tax rate	27.8%

The disclosure is omitted for the year ended December 31, 2020 as a net loss was recorded.

Deferred income taxes reflect the net tax effect of the temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and the corresponding amounts for income tax purposes. The significant components of the deferred tax assets and liabilities of the Company and consolidated subsidiaries at December 31, 2020 and 2019 are summarized as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Deferred tax assets:			
Inventories	¥ 830	¥ 1,339	\$ 8,058
Allowance for doubtful receivables	454	405	4,408
Provision for employees' bonuses	485	594	4,709
Liability for retirement benefits	2,173	2,135	21,097
Tax loss carry forwards *2	11,633	7,567	112,942
Loss on impairment of property, plant and equipment	2,428	2,327	23,573
Other	7,453	6,176	72,358
Gross deferred tax assets	24,456	20,543	247,145
Less valuation allowance for tax loss carryforwards *2	(9,098)	(4,220)	(88,330)
Less valuation allowance for temporary differences	(4,731)	(4,996)	(45,932)
Total valuation allowance *1	(13,829)	(9,216)	(134,262)
Total deferred tax assets	11,627	11,327	112,883
Deferred tax liabilities:			
Unrealized holding gain on securities	396	584	3,845
Valuation difference of consolidated subsidiaries	324	330	3,146
Unrealized deferred gain on hedges	110	1,395	1,068
Other	2,777	2,682	26,970
Total deferred tax liabilities	3,607	4,991	35,029
Net deferred tax assets	¥ 8,019	¥ 6,336	\$ 77,854

*1 Total valuation allowance increased by ¥4,613 million (\$44,786 thousand) in the fiscal year ended December 31, 2020. The main reason for the increase is due to the increase in the tax loss carryforwards.

*2 The expiration of tax loss carryforwards, the related valuation allowance and resulting net deferred tax assets as of December 31, 2020 and 2019 was as follows:

		<i>Millions of yen</i>					
		One year or less	After one year through two years	After two years through three years	After three years through four years	After four years through five years	After five years
2020							Total
Deferred tax assets relating to tax loss carryforwards		¥ –	¥ 175	¥ –	¥ 65	¥ 221	¥ 11,172
Less valuation allowance for tax loss carryforwards		–	(175)	–	(65)	(221)	(8,637)
Net deferred tax assets relating to tax loss carryforwards		¥ –	¥ 0	¥ –	¥ 0	¥ 0	¥ 2,535
		<i>Millions of yen</i>					
		One year or less	After one year through two years	After two years through three years	After three years through four years	After four years through five years	After five years
2019							Total
Deferred tax assets relating to tax loss carryforwards		¥ –	¥ –	¥ 175	¥ –	¥ 59	¥ 7,333
Less valuation allowance for tax loss carryforwards		–	–	(175)	–	(59)	(3,986)
Net deferred tax assets relating to tax loss carryforwards		¥ –	¥ –	¥ 0	¥ –	¥ 0	¥ 3,347
		<i>Thousands of U.S. dollars</i>					
		One year or less	After one year through two years	After two years through three years	After three years through four years	After four years through five years	After five years
2020							Total
Deferred tax assets relating to tax loss carryforwards		\$ –	\$ 1,699	\$ –	\$ 631	\$ 2,146	\$ 108,466
Less valuation allowance for tax loss carryforwards		–	(1,699)	–	(631)	(2,146)	(83,854)
Net deferred tax assets relating to tax loss carryforwards		\$ –	\$ 0	\$ –	\$ 0	\$ 0	\$ 24,612

*3 The amount in the table above is determined by multiplying the corresponding tax loss carry forwards by the effective statutory tax rate.

*4 Certain portions of deferred tax assets are probable to be realized because future taxable income is expected.

22 Leases

Leased assets under finance lease transactions which transfer ownership to the lessee are software classified as intangible assets.

Leased assets under finance lease transactions which do not transfer ownership to the lessee mainly consist of land and buildings used as distribution centers classified as tangible assets and computer software classified as intangible assets.

The depreciation methods of leased assets are described in Note 2 “Summary of Significant Accounting Policies, (h) Leased Assets”.

Future minimum lease payments subsequent to December 31, 2020 under non-cancellable operating leases are summarized as follows:

	<i>Millions of yen</i>	<i>Thousands of U.S. dollars</i>
Year ending December 31, 2021	¥ 2,981	\$ 28,942
2022 and thereafter	13,898	134,932
	¥ 16,879	\$ 163,874

23 Financial Instruments

(a) Status of financial instruments

In consideration of plans for capital investment, the Group raises funds mainly by bank borrowings and bonds issuance. The Group manages temporary fund surpluses principally through liquid financial assets. Furthermore, the Group raises short-term working capital through bank borrowings. The Group uses derivatives for the purpose of reducing risk and does not enter into derivatives for speculative purposes.

Trade receivables, notes and accounts receivables, are exposed to credit risk in relation to customers. In addition, the Group is exposed to foreign currency exchange risk arising from trade receivables denominated in foreign currencies, and forward foreign currency exchange contracts and others are arranged to reduce the risk.

Marketable securities and investments in securities are exposed to market risk. Those securities are mainly composed of equity securities of companies with which the Group has business relationships.

Substantially all trade payables, trade notes and accounts payable, have payment due dates within four months. Although a portion of payables are exposed to foreign currency exchange risk arising from those payables denominated in foreign currencies, forward foreign currency exchange contracts and others are arranged to reduce the risk.

Loans, bonds and bonds with stock acquisition rights are taken out principally for the purpose of conducting business activities and making capital investments. The repayment dates of the long-term debt extend up to five years from the balance sheet date. Although a portion of the debt is exposed to interest rate fluctuation risk, the Group undertakes interest rate swap transactions as hedging instruments.

Regarding derivatives, the Group enters into forward foreign currency exchange contracts and others to reduce the foreign currency exchange risk mainly on the payables denominated in foreign currencies resulting from importing products within the actual demand for foreign currency exchange. The Group also enters into interest rate swap transactions to reduce future fluctuation risk deriving from interest rates of long-term loans and bonds. Refer to “(p) Derivatives and hedging activities” in Note 2 “Summary of Significant Accounting Policies” for hedge accounting policies such as hedging instruments, hedged items, hedge policy and hedge effectiveness tests.

Regarding trade receivables, each related division monitors the credit worthiness of their main customers periodically, and monitors due dates and outstanding balances by customer. In addition, the Group is making efforts to identify at an early stage and mitigate risks of bad debt from customers who have financial difficulties.

In accordance with internal policies, “Policies of Global Financing Governance” and “Policies of Administrative Authority,” the Group only acquires debt securities held for investment purposes with high credit ratings. Accordingly, the Group believes that the credit risk deriving from such debt securities is immaterial.

The Group also believes that the credit risk of derivatives is insignificant as the Group enters into derivative transactions only with international financial institutions with sound credit profiles.

In conducting derivative transactions, the division in charge of each derivative transaction follows the internal policies, “Policies on Derivative Transactions,” “Policies of Global Financial Governance” and “Policies of Administrative Authority,” which set forth delegation of authority and segregation of duties related to derivative transactions. The Accounting and Financing Department conducts and manages derivative transactions and segregates duties of execution and management of transactions to separate personnel and management who are each responsible for transactions, positions and operations. Transaction data and other information are regularly reported to the executive board meeting by the responsible executive officer.

For short-term investments and investments in securities, the Group periodically reviews the fair value of such financial instruments and the financial position of the issuers. In addition, the Group continuously evaluates whether or not security investments should be maintained, taking into account their fair value and relationships with the issuers.

Transactions involving derivatives, marketable securities and investments in securities are executed at certain consolidated subsidiaries based on “Policies of Administrative Authority” and those transactions are overseen and reviewed by management departments of these subsidiaries.

Based on a report from each division, the Group prepares and updates its cash flow plans on a timely basis and maintains solvency to manage liquidity risk.

The fair value of financial instruments is based on their quoted market price, if available. When there is no quoted market price available, fair value is reasonably estimated. Since various assumptions and factors are reflected in estimating the fair value, different assumptions and factors could result in a different fair value. In addition, the notional principal amounts of derivative transactions in Note 24 “Derivatives and Hedging Activities” are not necessarily indicative of the actual market risk.

(b) Estimated Fair Value of Financial Instruments

Carrying value, estimated fair value and the difference between them for financial instruments on the consolidated balance sheets as of December 31, 2020 and 2019 are shown in the following table. The table does not include financial instruments for which it is extremely difficult to determine the fair value.

	<i>Millions of yen</i>			<i>Thousands of U.S. dollars</i>		
	2020					
	Carrying value	Fair value	Difference	Carrying value	Fair value	Difference
Assets:						
Cash and deposits	¥ 81,470	¥ 81,470	¥ –	\$ 790,971	\$ 790,971	\$ –
Notes and accounts receivable-trade	50,898			494,155		
Less allowance for doubtful receivables (*1)	(1,924)			(18,679)		
	48,974	48,974	–	475,476	475,476	–
Short-term investments and investments in securities:						
Other investment securities	6,943	6,943	–	67,408	67,408	–
Total assets	¥ 137,387	¥ 137,387	¥ –	\$ 1,333,854	\$ 1,333,854	\$ –
Liabilities:						
Notes and accounts payable-trade	¥ 33,003	¥ 33,003	¥ –	\$ 320,417	\$ 320,417	\$ –
Short-term bank loans	6,220	6,220	–	60,388	60,388	–
Current portion of long-term bonds	20,000	20,034	34	194,175	194,505	330
Current portion of lease obligations	7,889	7,889	–	76,592	76,592	–
Bonds included in long-term debt	60,000	60,055	55	582,524	583,058	534
Long-term loans	2,500	2,505	5	24,272	24,321	48
Long-term lease obligations	26,390	24,736	(1,654)	256,215	240,156	(16,058)
Total liabilities	¥ 156,002	¥ 154,442	¥ (1,560)	\$ 1,514,583	\$ 1,499,437	\$ (15,146)
Derivative transactions (*2)	¥ (4,665)	¥ (4,665)	¥ –	\$ (45,291)	\$ (45,291)	\$ –

	<i>Millions of yen</i>		
	2019		
	Carrying value	Fair value	Difference
Assets:			
Cash and deposits	¥ 39,199	¥ 39,199	¥ –
Notes and accounts receivable-trade	65,191		
Less allowance for doubtful receivables (*1)	(1,497)		
	63,694	63,694	–
Short-term investments and investments in securities:			
Other investment securities	8,054	8,054	–
Total assets	¥ 110,947	¥ 110,947	¥ –
Liabilities:			
Notes and accounts payable-trade	¥ 33,578	¥ 33,578	¥ –
Short-term bank loans and current portion of long-term loans	6,391	6,391	–
Current portion of lease obligations	7,237	7,237	0
Bonds included in long-term debt	40,000	40,016	16
Long-term loans	15	15	0
Long-term lease obligations	26,956	27,196	240
Total liabilities	¥ 114,177	¥ 114,433	¥ 256
Derivative transactions (*2)	¥ 5,008	¥ 5,008	¥ –

Notes:

(*1) The amount of less allowance for doubtful receivables in the above table is related to notes and accounts receivable-trade.

(*2) The value of assets and liabilities arising from derivatives is a net value, and the amount in parentheses represents a liability position.

Since cash and deposits, and notes and accounts receivable-trade are settled in a short period of time, their carrying value approximates the fair value.

The fair value of equity securities is based on quoted market prices. The fair value of debt securities is based on either quoted market prices or the prices provided by the financial institutions making markets for these securities.

Since notes and accounts payable-trade, short-term bank loans, and current portion of lease obligations are settled in a short period of time, their carrying value approximates the fair value.

The fair value of bonds included in long-term debt is based on the present value of the total of principal and interest discounted by the interest rate determined taking into account the remaining period for each bond and the current credit risk.

The fair value of long-term loans is based on the present value of the total of principal and interest discounted by the interest rate to be applied if similar new borrowings were entered into.

The fair value of long-term lease obligations is based on the present value of the total of principal and interest discounted by the interest rate to be applied if a new lease contract under the same conditions for the same residual period was entered into.

Regarding derivatives refer to Note 24.

Carrying value of financial instruments for which it is extremely difficult to determine the fair value at December 31, 2020 and 2019 was as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Unlisted equity securities	¥ 760	¥ 713	\$ 7,379
Unlisted debt securities	120	120	1,165
Investments in limited liability partnerships	397	449	3,854
Unlisted others	884	478	8,583

(c) Redemption schedule for monetary claims and investments by maturity date

The redemption schedule for monetary claims and debt securities by maturity date at December 31, 2020 is as follows:

	<i>Millions of yen</i>				<i>Thousands of U.S. dollars</i>			
	2020							
	Due in one year or less	Due after one year through five years	Due after five years through ten years	Due after ten years	Due in one year or less	Due after one year through five years	Due after five years through ten years	Due after ten years
Cash and deposits	¥ 81,470	¥ –	¥ –	¥ –	\$ 790,971	\$ –	\$ –	\$ –
Notes and accounts receivable-trade	50,898	–	–	–	494,155	–	–	–
Debt securities:								
Corporate bonds	–	–	–	120	–	–	–	1,165
	¥ 132,368	¥ –	¥ –	¥ 120	\$ 1,285,126	\$ –	\$ –	\$ 1,165

(d) Payment schedule for short-term bank loans and long-term debt

The payment schedule for short-term bank loans and long-term debt by payment due date at December 31, 2020 is as follows:

	<i>Millions of yen</i>					
	2020					
	Due in one year or less	Due after one year through two years	Due after two years through three years	Due after three years through four years	Due after four years through five years	Due after five years
Short-term bank loans	¥ 6,205	¥ –	¥ –	¥ –	¥ –	¥ –
Bonds	20,000	–	15,000	20,000	25,000	–
Long-term loans	15	–	–	–	2,500	–
Lease obligations	7,888	7,216	4,739	3,854	5,038	5,544
Total	¥ 34,108	¥ 7,216	¥ 19,739	¥ 23,854	¥ 32,538	¥ 5,544

	<i>Thousands of U.S. dollars</i>					
	2020					
	Due in one year or less	Due after one year through two years	Due after two years through three years	Due after three years through four years	Due after four years through five years	Due after five years
Short-term bank loans	\$ 60,243	\$ –	\$ –	\$ –	\$ –	\$ –
Bonds	194,175	–	145,631	194,175	242,718	–
Long-term loans	146	–	–	–	24,272	–
Lease obligations	76,582	70,058	46,010	37,417	48,913	53,825
Total	\$ 331,146	\$ 70,058	\$ 191,641	\$ 231,592	\$ 315,903	\$ 53,825

24 Derivatives and Hedging Activities

The outstanding currency-related derivatives positions not designated as hedging instruments at December 31, 2020 and 2019 are as follows:

		<i>Millions of yen</i>			
		2020			
Classification	Transaction	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Unrealized loss
Over-the-counter transactions	Forward foreign exchange contracts:				
	Buying USD	¥ 3,904	¥ –	¥ 7	¥ 7
	Non-deliverable forwards:				
	Selling BRL	3,703	–	(334)	(334)
	RUB	1,120	–	(3)	(3)
	Total	¥ 8,727	¥ –	¥ (330)	¥ (330)
		<i>Millions of yen</i>			
		2019			
Classification	Transaction	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Unrealized loss
Over-the-counter transactions	Forward foreign exchange contracts:				
	Buying USD	¥ 385	¥ –	¥ (10)	¥ (10)
	Non-deliverable forwards:				
	Selling BRL	4,365	–	(179)	(179)
	Total	¥ 4,750	¥ –	¥ (189)	¥ (189)

		<i>Thousands of U.S. dollars</i>			
		2020			
Classification	Transaction	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Unrealized loss
Over-the-counter transactions	Forward foreign exchange contracts:				
	Buying USD	\$ 37,903	\$ –	\$ 68	\$ 68
	Non-deliverable forwards:				
	Selling BRL	35,951	–	(3,243)	(3,243)
	RUB	10,874		(29)	(29)
	Total	\$ 84,728	\$ –	\$ (3,204)	\$ (3,204)

Fair value is based on the prices obtained from counterparty financial institutions.

There are no outstanding interest-related derivative positions not designated as hedging instruments at December 31, 2020 and 2019.

The outstanding currency-related derivatives positions designated as hedging instruments at December 31, 2020 and 2019 are as follows:

Classification	Transaction	Hedged item	Millions of yen			Thousands of U.S. dollars		
			Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	2020		
						Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value
Deferral hedge accounting	Forward foreign exchange contracts:							
	Selling							
	USD	Accounts receivable-trade (Forecasted transaction)	¥ 466	¥ –	¥ 40	\$ 4,524	\$ –	\$ 388
	EUR	Accounts receivable-trade (Forecasted transaction)	1,403	–	69	13,621	–	670
	GBP	Accounts receivable-trade (Forecasted transaction)	9,056	4,326	(127)	87,923	42,000	(1,233)
	NOK	Accounts receivable-trade (Forecasted transaction)	449	–	4	4,359	–	39
	DKK	Accounts receivable-trade (Forecasted transaction)	430	–	24	4,175	–	233
	Buying							
	USD	Accounts payable-trade (Forecasted transaction)	151,021	73,257	(4,331)	1,466,223	711,233	(42,048)
	EUR	Accounts payable-trade (Forecasted transaction)	108	–	(4)	1,049	–	(39)
	GBP	Accounts payable-trade (Forecasted transaction)	10	–	(1)	97	–	(10)
	NOK	Accounts payable-trade (Forecasted transaction)	9	–	(0)	87	–	(0)
	DKK	Accounts payable-trade (Forecasted transaction)	21	–	(1)	204	–	(10)
	Subtotal		162,973	77,583	(4,327)	1,582,262	753,233	(42,010)
Allocation method for forward foreign exchange contracts	Forward foreign exchange contracts:							
	Selling							
	USD	Accounts receivable-trade	365	–	–	3,544	–	–
	Buying							
	USD	Accounts payable-trade	296	–	–	2,874	–	–
Total		¥ 163,634	¥ 77,583	¥(4,327)	\$ 1,588,680	\$ 753,233	\$ (42,010)	

			Millions of yen		
			2019		
Classification	Transaction	Hedged item	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value
Deferral hedge accounting	Forward foreign exchange contracts:				
	Selling				
	USD	Accounts receivable-trade (Forecasted transaction)	¥ 107	¥ –	¥ (1)
	EUR	Accounts receivable-trade (Forecasted transaction)	1,190	–	11
	GBP	Accounts receivable-trade (Forecasted transaction)	9,243	4,357	(536)
	NOK	Accounts receivable-trade (Forecasted transaction)	324	–	2
	DKK	Accounts receivable-trade (Forecasted transaction)	397	–	4
	Buying				
	USD	Accounts payable-trade (Forecasted transaction)	149,358	66,608	5,717
	Subtotal		160,619	70,965	5,197
Allocation method for forward foreign exchange contracts	Forward foreign exchange contracts:				
	Selling				
	USD	Accounts receivable-trade	208	–	–
	Buying				
	USD	Accounts payable-trade	4,075	–	–
	Total		¥ 164,902	¥ 70,965	¥ 5,197

The fair value of forward foreign exchange contracts that qualify for the allocation method is included in accounts receivable-trade and accounts payable-trade. Fair value is based on the prices obtained from counterparty financial institutions.

There are no outstanding interest-related derivative positions designated as hedging instruments at December 31, 2020 and 2019.

25 Other Comprehensive Loss

The following table presents the changes in the components of other comprehensive loss for the years ended December 31, 2020 and 2019:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Net unrealized holding loss on securities:			
Unrealized holding (loss) gain arising during the year	¥ (1,073)	¥ 694	\$ (10,417)
Net loss (gain) reclassified into income	172	(1,453)	1,669
Subtotal	(901)	(759)	(8,748)
Less: tax effect	188	205	1,826
Net unrealized holding loss on securities	(713)	(554)	(6,922)
Unrealized deferred (loss) gain on hedges:			
Unrealized deferred (loss) gain arising during the year	(11,999)	3,339	(116,496)
Net loss (gain) reclassified into income	2,604	(3,532)	25,282
Subtotal	(9,395)	(193)	(91,214)
Less: tax effect	2,562	54	24,874
Unrealized deferred loss on hedges	(6,833)	(139)	(66,340)
Translation adjustments:			
Translation adjustments arising during the year	1,031	(3,077)	10,010
Net gain reclassified into income	—	—	—
Subtotal	1,031	(3,077)	10,010
Less: tax effect	—	—	—
Translation adjustments	1,031	(3,077)	10,010
Retirement benefits liability adjustments:			
Retirement benefits liability adjustments arising during the year	9	3	87
Net loss reclassified into income	39	57	379
Subtotal	48	60	466
Less: tax effect	(56)	(10)	(544)
Retirement benefits liability adjustments	(8)	50	(78)
Total other comprehensive loss, net	¥ (6,523)	¥ (3,720)	\$ (63,330)

26 Supplementary Information on the Consolidated Statement of Cash Flows

Information on significant non-cash transactions

The Company and its consolidated subsidiaries recorded leased assets of ¥596 million (\$5,786 thousand) and ¥2,781 million and lease obligations of ¥596 million (\$5,786 thousand) and ¥2,781 million under finance leases for the years ended December 31, 2020 and 2019, respectively.

Assets corresponding to asset retirement obligations recorded as of December 31, 2020 and 2019 were ¥199 million (\$1,932 thousand) and ¥209 million, respectively. Liabilities corresponding to asset retirement obligations recorded as of December 31, 2020 and 2019 were ¥220 million (\$2,136 thousand) and ¥224 million, respectively.

27 Amounts per Share

Amounts per share at December 31, 2020 and 2019 and for the years then ended are as follows:

	<i>Yen</i>		<i>U.S. dollars</i>
	2020	2019	2020
Net assets	¥ 689.57	¥ 830.4	\$ 6.69
Profit (loss) attributable to owners of parent:			
Basic	(88.17)	37.91	(0.86)
Diluted	—	37.47	—
Cash dividends applicable to the year	24.00	30.00	0.23

The amounts per share of net assets have been computed based on the number of shares of common stock outstanding at the year end. Basic profit (loss) attributable to owners of parent per share has been computed based on the profit (loss) attributable to owners of parent available for distribution to shareholders of common stock and the weighted-average number of shares of common stock outstanding during the years ended December 31, 2020 and 2019, respectively.

Diluted profit attributable to owners of parent per share is computed based on the profit attributable to owners of parent available for distribution to shareholders and the weighted-average number of shares of common stock outstanding during the year ended December 31, 2019 after giving effect to the dilutive potential of shares of common stock to be issued upon the exercise of stock options and bonds with stock acquisition rights.

Cash dividends per share represent the cash dividends proposed by the Board of Directors as applicable to the respective fiscal year.

The financial data used in the computation of basic profit (loss) per share and diluted profit per share for the years ended December 31, 2020 and 2019 in the table above is summarized as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2020	2019	2020
Information used in computation of basic profit (loss) per share:			
Profit (loss) attributable to owners of parent	¥ (16,126)	¥ 7,097	\$ (156,563)
Adjustments to profit attributable to owners of parent	—	(3)	—
	<i>Thousands of shares</i>		
	2020	2019	
Weighted-average number of shares of common stock outstanding	182,888	187,225	
Increase in common stock	—	2,074	
Increase attributable to:			
Bonds with stock acquisition rights	—	1,825	
Stock acquisition rights	—	249	

28 Segment Information

1. Outline of reportable segments

Reportable segments of the Group are components for which discrete financial information is available and whose operating results are regularly reviewed by the Executive Meeting of the Company to make decisions on the allocation of management resources and assess performance.

The Company is mainly engaged in business management activities and research and development as the global headquarters.

The Group is primarily engaged in the manufacture and sales of sporting goods. ASICS Japan Corporation and other subsidiaries in Japan are responsible for Japan. ASICS America Corporation is responsible for North America. ASICS Europe B.V. is responsible for Europe, Middle East and Africa. ASICS China Trading Co., Ltd. is responsible for Greater China. ASICS Oceania PTY., Ltd. is responsible for Oceania. ASICS Asia PTE., Ltd. etc. is responsible for South-East and South Asia.

2. Calculation method used for sales, income or loss, assets and other items on each reportable segment

Accounting policies of the reportable business segments are the same as those noted in the "Note 2. Summary of Significant Accounting Policies."

The amount of income (loss) of reportable segments is based on operating income. Intersegment sales and transfers between segments are based on market price.

3. Information on net sales, income or loss, assets and other items by reportable segment

Reportable segment information for the years ended December 31, 2020 and 2019 is as follows:

Millions of yen										
2020										
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Net sales:										
Sales to customers	¥ 75,668	¥ 65,348	¥ 87,321	¥ 41,117	¥ 19,924	¥ 8,553	¥ 27,994	¥ 325,925	¥ 2,859	¥ 328,784
Intersegment	18,730	29	21	2	2	0	266	19,051	(19,051)	—
Total sales	¥ 94,398	¥ 65,377	¥ 87,342	¥ 41,119	¥ 19,926	¥ 8,553	¥ 28,260	¥ 344,976	¥ (16,192)	¥ 328,784
Segment income (loss)	¥ (3,791)	¥ (4,549)	¥ 4,572	¥ 4,305	¥ 2,708	¥ 152	¥ 468	¥ 3,865	¥ (7,818)	¥ (3,953)
Segment assets	¥ 75,862	¥ 57,702	¥ 86,934	¥ 27,882	¥ 22,620	¥ 9,718	¥ 26,935	¥ 307,653	¥ 25,528	¥ 333,181
Other items										
Depreciation and amortization	¥ 1,147	¥ 1,424	¥ 4,428	¥ 1,795	¥ 813	¥ 727	¥ 968	¥ 11,302	¥ 2,412	¥ 13,714
Increases in property, plant and equipment and intangible assets	227	1,331	1,216	217	267	276	169	3,703	4,701	8,404
Millions of yen										
2019										
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Net sales:										
Sales to customers	¥ 100,096	¥ 76,183	¥ 95,541	¥ 39,449	¥ 18,443	¥ 11,304	¥ 35,915	¥ 376,931	¥ 1,120	¥ 378,051
Intersegment	20,855	2,777	65	—	3	0	392	24,092	(24,092)	—
Total sales	¥ 120,951	¥ 78,960	¥ 95,606	¥ 39,449	¥ 18,446	¥ 11,304	¥ 36,307	¥ 401,023	¥ (22,972)	¥ 378,051
Segment income (loss)	¥ 4,896	¥ (5,969)	¥ 2,866	¥ 5,399	¥ 1,945	¥ 789	¥ 809	¥ 10,735	¥ (101)	¥ 10,634
Segment assets	¥ 78,494	¥ 59,766	¥ 90,502	¥ 28,350	¥ 20,887	¥ 8,705	¥ 29,278	¥ 315,982	¥ 133	¥ 316,115
Other items										
Depreciation and amortization	¥ 1,088	¥ 1,473	¥ 5,102	¥ 630	¥ 774	¥ 663	¥ 1,059	¥ 10,789	¥ 2,128	¥ 12,917
Increases in property, plant and equipment and intangible assets	468	629	1,879	242	1,081	173	501	4,973	5,823	10,796

3. Information on net sales, income or loss, assets and other items by reportable segment (continued)

Thousands of U.S. dollars										
2020										
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Net sales:										
Sales to customers	\$ 734,641	\$ 634,447	\$ 847,777	\$ 399,194	\$ 193,437	\$ 83,039	\$ 271,786	\$ 3,164,321	\$ 27,757	\$ 3,192,078
Intersegment	181,844	281	204	20	19	0	2,583	184,961	(184,961)	—
Total sales	\$ 916,485	\$ 634,728	\$ 847,981	\$ 399,214	\$ 193,456	\$ 83,039	\$ 274,369	\$ 3,349,282	\$ (157,204)	\$ 3,192,078
Segment income (loss)	\$ (36,806)	\$ (44,165)	\$ 44,388	\$ 41,796	\$ 26,291	\$ 1,476	\$ 4,544	\$ 37,524	\$ (75,903)	\$ (38,379)
Segment assets	\$ 736,524	\$ 560,214	\$ 844,019	\$ 270,699	\$ 219,612	\$ 94,350	\$ 261,504	\$ 2,986,922	\$ 247,845	\$ 3,234,767
Other items										
Depreciation and amortization	\$ 11,136	\$ 13,825	\$ 42,990	\$ 17,427	\$ 7,893	\$ 7,058	\$ 9,399	\$ 109,728	\$ 23,418	\$ 133,146
Increases in property, plant and equipment and intangible assets	2,204	12,922	11,806	2,107	2,592	2,680	1,640	35,951	45,641	81,592

(Notes)

- (1) Adjustments on segment sales mainly consist of adjustments of intersegment transactions and sales which are not included in the reportable segments.
 - (2) Adjustments on segment income or loss mainly consist of adjustments of intersegment transaction and income or loss which are not included in the reportable segments.
 - (3) Adjustments on segment assets mainly consist of the eliminations of investment balance and corporate assets.
2. Segment income or loss is reconciled primarily to operating income on the consolidated statement of operations.

The Company and its consolidated subsidiaries are primarily engaged in the manufacture and sale of sporting goods in Japan and overseas. As most of the consolidated net sales were related to sports and leisure-related products, the disclosure of business segment information has been omitted.

Net sales by geographical segment for the years ended December 31, 2020 and 2019 are summarized as follows:

Millions of yen						
2020						
	Japan	North America	Europe	Greater China	Other	Total
Net sales	¥ 76,758	¥ 66,998	¥ 91,520	¥ 41,279	¥ 52,229	¥ 328,784
Millions of yen						
2019						
	Japan	North America	Europe	Greater China	Other	Total
Net sales	¥ 100,183	¥ 77,124	¥ 97,418	¥ 39,850	¥ 63,476	¥ 378,051
Thousands of U.S. dollars						
2020						
	Japan	North America	Europe	Greater China	Other	Total
Net sales	\$ 745,223	\$ 650,466	\$ 888,544	\$ 400,767	\$ 507,078	\$ 3,192,078

(Note) Net sales are based on customer locations and classified by country and territory.

Property, plant and equipment by geographical segment as of December 31, 2020 and 2019 are summarized as follows:

<i>Millions of yen</i>					
2020					
Property, plant and equipment	Japan	North America	Europe	Other	Total
	¥ 17,965	¥ 4,794	¥ 3,509	¥ 3,084	¥ 29,352
<i>Millions of yen</i>					
2019					
Property, plant and equipment	Japan	North America	Europe	Other	Total
	¥ 19,741	¥ 6,373	¥ 4,953	¥ 3,229	¥ 34,296
<i>Thousands of U.S. dollars</i>					
2020					
Property, plant and equipment	Japan	North America	Europe	Other	Total
	\$ 174,417	\$ 46,544	\$ 34,068	\$ 29,942	\$ 284,971

As there are no customers accounting for 10% or more of consolidated net sales, the disclosure of information on major customers has been omitted.

Loss on impairment of property, plant and equipment by reportable segment for the years ended December 31, 2020 and 2019 is summarized as follows:

Millions of yen										
2020										
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Loss on impairment of property, plant and equipment	¥ 1,168	¥ 1,180	¥ 805	¥ 90	¥ –	¥ 3	¥ 75	¥ 3,321	¥ 266	¥ 3,587
Millions of yen										
2019										
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Loss on impairment of property, plant and equipment	¥ 253	¥ 87	¥ 845	¥ 32	¥ –	¥ –	¥ 10	¥ 1,227	¥ –	¥ 1,227

Thousands of U.S. dollars										
2020										
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Loss on impairment of property, plant and equipment	\$ 11,340	\$ 11,456	\$ 7,816	\$ 874	\$ –	\$ 29	\$ 728	\$ 32,243	\$ 2,582	\$ 34,825

Amortization of goodwill for the years ended December 31, 2020 and 2019 and the balance of goodwill as of December 31, 2020 and 2019 by reportable segment are summarized as follows:

	Millions of yen									
	2020									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Amortization	¥—	¥—	¥—	¥—	¥—	¥—	¥—	¥—	¥ 270	¥ 270
Remaining as of December 31	—	—	—	—	—	—	—	—	2,463	2,463

	Millions of yen									
	2019									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Amortization	¥ 5	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ 5	¥ –	¥ 5
Remaining as of December 31	–	–	–	–	–	–	–	–	2,831	2,831

	Thousands of U.S. dollars									
	2020									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments	Consolidated
Amortization	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ 2,621	\$ 2,621
Remaining as of December 31	–	–	–	–	–	–	–	–	23,913	23,913

No gain on negative goodwill was recognized for the years ended December 31, 2020 and 2019.

29 Subsequent Events

Cash dividends

The following distribution of retained earnings of the Company, which has not been reflected in the accompanying consolidated financial statements for the year ended December 31, 2020, was approved at a meeting of the shareholders of the Company held on March 26, 2021:

	<i>Millions of yen</i>	<i>Thousands of U.S. dollars</i>
Cash dividends (¥24.00 = US\$0.23 per share)	¥ 4,393	\$ 42,650

Independent Auditor's Report

The Board of Directors
ASICS Corporation

Opinion

We have audited the accompanying consolidated financial statements of ASICS Corporation and its consolidated subsidiaries (the Group), which comprise the consolidated balance sheet as at December 31, 2020, and the consolidated statements of operations, comprehensive income (loss), changes in net assets, and cash flows for the year then ended, and notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2020, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with accounting principles generally accepted in Japan.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in Japan. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Japan, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management, the Audit and Supervisory Committee for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in Japan, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern and disclosing, as required by accounting principles generally accepted in Japan, matters related to going concern.

The Audit and Supervisory Committee is responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with auditing standards generally accepted in Japan, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.
- Consider internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances for our risk assessments, while the purpose of the audit of the consolidated financial statements is not expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation in accordance with accounting principles generally accepted in Japan.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Audit and Supervisory Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Audit and Supervisory Committee with a statement that we have complied with the ethical requirements regarding independence that are relevant to our audit of the financial statements in Japan, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Interest Required to Be Disclosed by the Certified Public Accountants Act of Japan

Our firm and its designated engagement partners do not have any interest in the Group which is required to be disclosed pursuant to the provisions of the Certified Public Accountants Act of Japan.

Convenience Translation

The U.S. dollar amounts in the accompanying consolidated financial statements with respect to the year ended December 31, 2020 are presented solely for convenience. Our audit also included the translation of Japanese yen amounts into U.S. dollar amounts and, in our opinion, such translation has been made on the basis described in Note 1 to the consolidated financial statements.

Ernst & Young ShinNihon LLC
Osaka, Japan

March 26, 2021

Hiroyuki Koichi
Designated Engagement Partner
Certified Public Accountant

Kazuma Miwa
Designated Engagement Partner
Certified Public Accountant

Corporate and Stock Information (As of December 31, 2020)

Company Overview

Company Name	ASICS Corporation
Established	September 1, 1949
Offices	
Head Office	1-1, Minatojima-Nakamachi 7-chome, Chuo-ku, Kobe, 650-8555, Japan TEL: +81-(0)50-1745-2248
ASICS Institute of Sport Science	2-1, Takatsukadai 6-chome, Nishi-ku, Kobe, 651-2271, Japan
Shibuya Office	MFPR SHIBUYA, 1-2-5, Shibuya, Shibuya-ku, Tokyo, 150-0002, Japan
Representatives	Motoi Oyama, Chairman and CEO, Representative Director Yasuhiro Hirota, President and COO, Representative Director
Listed Stock Exchange	First Section of the Tokyo Stock Exchange
Principal Business	Manufacture and sales of sporting goods
Paid-in Capital	23,972 million yen (as of December 31, 2020)
Number of Employees	8,904 (consolidated); 998 (non-consolidated) as of December 31, 2020
Affiliated Companies	Japan: 10 companies Overseas: 52 companies (United States, Europe, East Asia, Southeast Asia, Oceania, and other locations) (As of December 31, 2020)

Major Consolidated Subsidiaries

ASICS Japan Corporation	ASICS BRASIL LTDA
ASICS America Corporation	ASICS Korea Corporation
ASICS Europe B.V.	HAGLÖFS AB
ASICS China Trading Co., Ltd.	SANIN ASICS Industry Corporation
ASICS Oceania PTY. LTD.	ASICS Apparel Industry Corporation
ASICS Asia PTE. LTD	ASICS Digital, Inc.
	Race Roster

Stock Information

Total Number of Shares Authorized	790,000,000 shares
Total Number of Shares Issued	189,870,559 shares
Number of Shareholders	33,893 people
Principal Shareholders	

Name	Shareholdings (thousands of shares)	Ownership (%)
The Master Trust Bank of Japan, Ltd. (Trust Account)	13,700	7.48
MUFG Bank, Ltd.	7,858	4.29
Custody Bank of Japan, Ltd. (Trust Account)	6,806	3.72
Sumitomo Mitsui Banking Corporation	6,607	3.61
Nippon Life Insurance Company	5,679	3.10
JP MORGAN CHASE BANK 385632	5,445	2.97
THE BANK OF NEW YORK MELLON 140044	4,057	2.22
STATE STREET BANK AND TRUST COMPANY 505001	3,762	2.06
Barclays Securities Japan Limited	3,253	1.78
Custody Bank of Japan, Ltd. (Trust Account 7)	2,917	1.59

Notes: 1. The shareholding ratio calculation excludes treasury stock.

2. The Company holds 6,827 thousand shares of treasury stock, which is excluded from Principal Shareholders (above).

Shareholder Memo

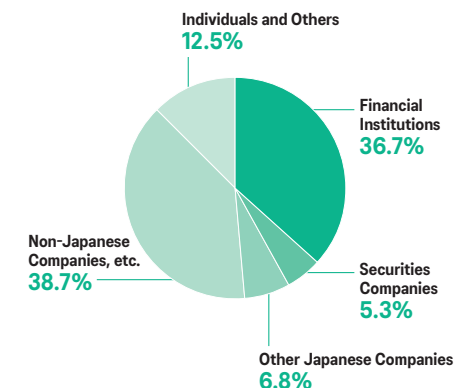
Fiscal Year	January 1 to December 31
Record Date	Interim dividend: June 30 Year-end dividend: December 31
General Meeting of Shareholders	Mid-March annually
Public Notice Method	Digital public notices are posted at the following URL: https://corp.asics.com/en/investor_relations/library/ir_announcements (Public notices will be issued electronically on our corporate website [ENGLISH URL]. If it is not possible to post a notice electronically due to an accident or other reason, notices will be published in the <i>Nihon Keizai Shimbun</i> newspaper.)
Number of Shares Constituting One Unit	100 shares
Shareholder Registry Administrator and Special Account Administrative Institution	Mitsubishi UFJ Trust and Banking Corporation
Mitsubishi UFJ Trust and Banking Corporation	Osaka Stock Transfer Agent Dept. 3-6-3 Fushimi-cho, Chuo-ku, Osaka-shi, Osaka 541-8502 Japan TEL: 0120-094-777 (toll free within Japan)
Securities Code	7936

1. Shareholders can receive payment of unpaid dividends at Mitsubishi UFJ Trust and Banking Corporation Head Office and branch locations.

2. Regarding procedures for shares recorded in special accounts, shareholders should submit inquiries or requests to the Special Account Administrative Institution.

3. For changes of address, purchase requests and other procedures, shareholders should contact the securities company that manages their account.

Stock Distribution by Ownership



Publishing the ASICS Integrated Report 2020

In publishing the first ASICS Integrated Report, we have compiled a comprehensive overview of important information pertaining to the creation of medium- to long-term corporate value. This includes a focus on our long-term VISION 2030, announced in October 2020, as well as the recently launched Mid-Term Plan 2023 for realizing this vision. We explain the new directions ASICS will take and the strategies that will get us there amid current upheavals in the external environment.

ASICS finance and IR teams led discussions regarding editorial policies and report contents through cooperation with related departments. As Senior General Manager of the Accounting and Finance Division, I declare the publication process appropriate and the content herein to be accurate.

Going forward, ASICS will continue to prioritize dialogues with stakeholders as we aim to further enhancing information disclosure and deepen communication with all our stakeholders.

Koji Hayashi,

Senior General Manager, Accounting and Finance Division (In charge of Corporate Strategy)

Editor's Note

Thank you very much for reading to the end of the ASICS Integrated Report 2020.

From FY2021 onward, ASICS published annual integrated reports to deepen understanding of our medium- to long-term value creation among investors and all our stakeholders.

In preparing this inaugural Integrated Report, the Corporate Planning Office, Sustainability Management Department, Legal Affairs, Intellectual Property Management Department, Accounting and Finance Department and other related departments worked together to identify capital, value and competitive advantages resulting from the value creation process. Through these efforts, we were able to see even more clearly the path connecting management resources constituting the wellspring of ASICS value, to the realization of our vision through the utilization of those resources. Through more detailed communications with stakeholders going forward, we will promulgate an understanding of the financial and non-financial value ASICS provides and encourage readers to share their frank opinions and requests regarding this report.

ASICS Integrated Report 2020 Editorial Committee

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